Executive Summary

- The Executive Service Rules first introduced in May, 1981 and amended, as per BOD's approvals from time to time are currently applicable.

- On the directions of HR,R&NC / BOD, services of HR Consultant were commissioned to review and assess suitability of existing rules per current market conditions & propose amendments in policies, practices and document & prepare a new Manual.

- Financial & Admin. Powers for each Position / Level have also been made an integral part of HR Manual, as per advice of Chairman, HR,R&NC.

- The Board of Directors approved the HR Manual in its 344th meeting held on 10-06-08. In addition to amendment in different clauses from time to time, the HR Manual has been thoroughly reviewed, revised and approved by the Board of Directors in its following meetings:

  - 485th meeting held on 18-03-2017
  - 587th meeting held on 21-06-2022
  - 631st meeting held on 03-01-2025

- Following Topics are covered by the HR Manual

  - Preamble
  - Employment Policy
  - Compensation Policy
  - Leave Policy
  - Medical Policy
  - Travel Policy
  - Company Provided Vehicle Policy
  - Mobile Phones Policy
  - Business Code of Conduct
  - Disciplinary Policy
  - Performance Management Policy
  - Retirement Policy
  - Human Resource Management Tools
  - Formats & Templates

Vision Statement

"To be the leading integrated natural gas provider in the region, seeking to improve the quality of life of our customers, and achieving maximum benefit for our stakeholders by providing an uninterrupted and environment friendly energy resource."

Mission Statement

"A commitment to deliver natural gas to all doorsteps in our chosen areas through continuous expansion of our network, by optimally employing technological, human, and organizational resources, best practices, and high ethical standards."

Core Values

Commitment	We are committed to our mission, vision, and to creating and delivering stakeholder value.
Courtesy	We are courteous with our customers, stakeholders, and towards each other and encourage open communication.
Competence	We are competent and strive to continuously develop and improve our skills and business practices.
Responsibility	We are responsible as individuals and as teams for our work and our actions. We welcome scrutiny and we hold ourselves accountable.
Integrity	We have integrity as individuals and as teams; our decisions are characterized by honesty and fairness.

HR Vision Statement

"To attract, develop and retain human resource through capacity building and creation of a conducive work environment."

HR Mission Statement

"The HR department aims to become a strategic partner of SNGPL management by inspiring people excellence, promoting performance driven culture and developing a professional environment founded on the principles of fairness, equal opportunity, and mutual respect for achieving the overall vision and mission of the Company."

Preamble

Philosophy behind this Manual

Since its inception in 1963, Sui Northern Gas Pipelines Limited (SNGPL) has grown manifold as a result of its sustained efforts, progressive outlook and dynamic approach in operations. Today, SNGPL is the largest integrated gas company serving millions of consumers in North Central Pakistan through an extensive network in Punjab and Khyberpakhtunkhwa. Besides its decades of experience in operations and maintenance of high-pressure gas transmission and distribution systems, SNGPL has also expanded its activities to undertake the planning, designing and construction of pipelines, both for itself and other organizations.

As business of SNGPL grew manifolds over the years, so did complexities of managing it. Until recently, one of the key challenges at its hands was the effective management of its greatest asset – its people. Accordingly in 2003, the Management undertook a comprehensive organizational development and human resource management initiatives to reorganize and transform SNGPL in becoming the employer of choice in the energy sector, offering the best possible human resource practices matching up to any professional organization of international repute.

Keeping pace with the changing market and incorporating the philosophies of transparency, equitability, and consistency, the policies of this HR Manual have been prepared and updated from time to time after profound thought, discussion and collaboration with experts in the field. This Manual is formulated around some of the most modern concepts in human resource management and it is the property of SNGPL and its people. Hence, it goes without saying that all staff should both acquaint and adopt this Manual in letter and spirit for the development of both themselves and SNGPL.

This HR Manual is a living document and will continue to evolve as the Company adopts smarter and better practices over time. For details on the individual sections of this Manual and how to use them, please refer to the **(User Guide)** in the following section.

Organization Structure

A. Custodian of Organizational Structure:

SGM HR shall be custodian of organizational structure and the Board of Directors is the competent authority to make any changes in it.

B. New Department Creation and Restructuring:

The concerned departmental heads (SGM/GM) who has identified the need for the creation of the new department/function or restructuring the existing will prepare a business case which will cover the mission and objectives, need analysis, cost benefit analysis and work load /job analysis and job descriptions. SGM-HR after scrutinizing the rationale will forward the request to Management Committee (MC) for consideration. After MC recommendations, agenda for the same will be presented to HR,R&NC / Board of Directors (BoD) for approval. After the approval from the BoD, the necessary implementation procedures will be initiated.

C. Position Creation Procedure:

Departmental Heads (in case of need for the new position) shall forward new position request to SGM HR. Job description for the new position will be created by requesting department which will be accompanied with new position request. SGM HR after reviewing the prospects of new position shall forward the same to the Management Committee (MC) for consideration. After MC recommendations the same will be presented to Human Resource, Remuneration and Nomination Committee (HR,R&NC) & BoD for approval. HR department after approval from the HR,R&NC and BOD shall incorporate the new position in the Organization structure. HR department will conduct necessary recruitments (If required).

Note:

Creation of new department or new position(s) within a department shall require disclosure about availability of budgetary provision with reference to HR Benchmark.

D. Manpower Budgeting

Headcount for each department is approved by the Board based upon recommendations of the HR,R&NC. All departments are supposed to work within these approved limits to achieve departmental targets.

HR Department is the custodian of record of all approved positions (both held and vacant) for each department.
Any vacancies created over a period due to attrition or new approved positions are filled through new recruitment, transfer or promotion processes as defined in the Manual.

HR Department plans recruitment at least once in a year while remaining within the approved manpower limits and HR Benchmark/ Budget. All HODs should plan manpower requirements for their departments preferably before the start of financial year so that budgetary allocations for new positions could be made. These requirements would be submitted to the HR department as per the timeline announced by HR department. HR will present the compiled recommendations to the Competent Authority for budgetary approvals.

User Guide

1. User Guide

The logic of the structure adopted as well as continuing guidance for upkeep of the manual is expounded upon here. The presentation of the manual has been organized in an easy to access and logical format. The narration, notations, and illustrations all have a specific purpose that would play an important role in the maintenance of this document. The ensuing section sheds light on access and guardianship parameters, as well as detailing the authorities for the ongoing maintenance of the manual.

2. Table of Contents

The table of contents provides at a glance a visualization of the framework adopted. There is a comprehensive listing of all the individual sections with page numbers for easy reference.

3. Policies and Practices

Each policy is built around five broad components. A brief explanation of these is presented as follows:

- **Summary of the Policy**. Some of the policies will have a summary. The summary is useful for policies which are largely concerned with benefits that are objective and quantifiable. This section is structured in a tabular format to provide a quick reference to the viewer at a glance. It essentially outlines the entitlement and its limits for various grades of employees.

- **Statement of Intent.** Statement of Intent precedes the descriptive section of each policy. The purpose is to define the core thought behind the policy so that it may be interpreted in the correct context and that decision making by managers can be facilitated.

- **Eligibility**. Where applicable, this section articulates the categories of employees that qualify for a certain benefit, based on their gender, grade, years of service or other qualifying criteria.

- **Entitlement**. Overall limits for a perquisite and entitlements within different cadres are defined within this section. In certain cases unusual situations and ensuing changes in entitlements are also articulated in this section.

- **Dispensation and Practice**. A prescribed process or procedure for the dispensation of an employee benefit (where applicable) makes up the content of this section. Usually the approval discretions and authorities are also laid out here.

4. HRM Tools

The purpose of this section is to provide detailed information on any particular aspect of human resource management that is covered in the manual properly, but still needs/requires more elaboration. For the purpose of this manual, the four sections that

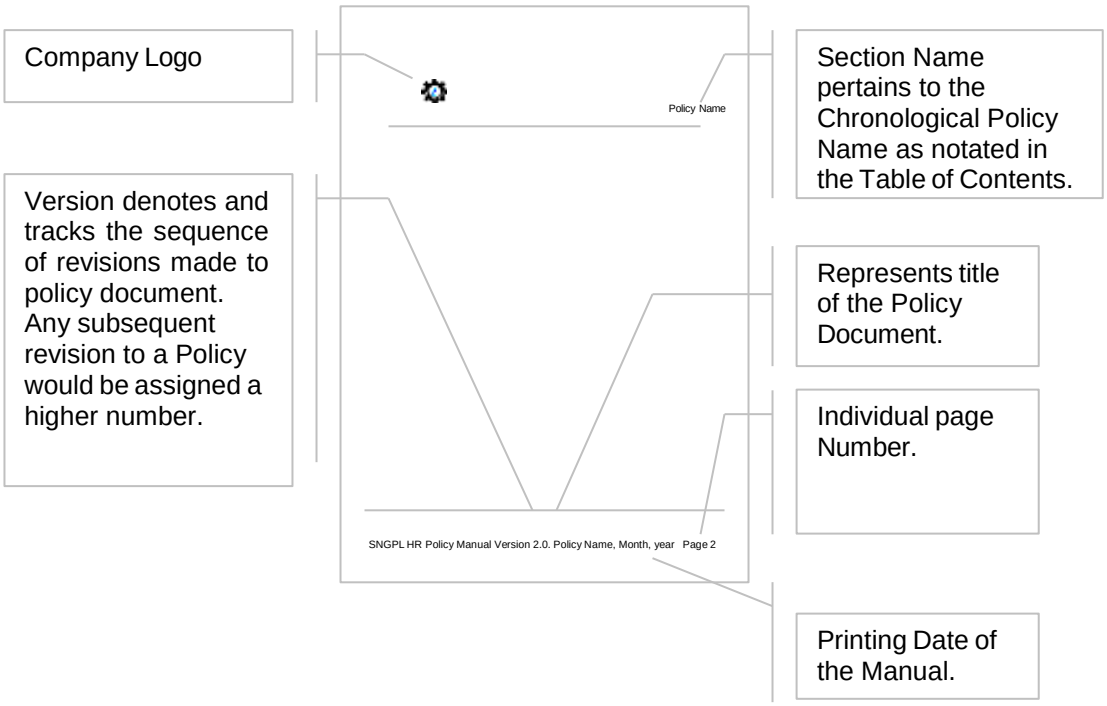
comprise HRM Tools entail a write up on the following:

- Job Analysis and Evaluation
- Job Description Documents
- Interviewing Guidelines
- Orientation Procedures
- Department Wise Capability Matrix
- Guidelines for Performance Improvement Plan

5. Formats

This section consists of sample formats of all the standard forms and application documents which are used for effective and organized documentation of the human resource processes as it applies to each individual. Some examples include the leave application form, job description format, performance appraisal form etc.

Individual Features of the Structure



Manual Updating Procedure

As stated earlier, the human resource policy manual is a 'living' document, meant to keep pace with SNGPL's growth. Ongoing amendments and additions of policies will entail the need for an effective procedure for updating and upkeep of the manual.

- **Custody**. Before providing guidelines for updating, it is important to define access and guardianship parameters. Copies of the Manual are to be distributed to the following:

1. The MD/CEO
2. DMDs/ CFO/ SGMs
3. All Departmental/ Regional Heads
4. Company's Internal Web Portal

Each member of Management provided with a copy accepts it on behalf of the employees in his or her department and is the custodian of that copy. He or she is also responsible for its safekeeping and careful handling. New employees will be provided adequate time to peruse the manual and familiarize themselves with the policies and practices of the Company. In additional to this, all employees will be permitted unrestricted access to the manual at all times, without hindrance or questions.

- **HR Manual Updation:** Amendments / additions /relaxations may **only** be approved by the *Board* of *Directors.* Once a policy amendment has been approved and is ready to be incorporated in the manual, the responsibility will shift to the Head of HR. In order to apprise executives about specific changes, he or she will ensure updating the read only copy of Manual on internal web portal and issue a notification/ circular in this regard for information of all executives. It will be crucial that the amendment is assigned the proper numbering and is dated accurately, as prescribed in the earlier paragraphs of this section.

Board Prerogative:

Although every attempt has been made to anticipate all situations requiring formalized policies, circumstances may arise which are not covered in the manual or a situation may warrant deviations from the stated policy. These cases will be resolved by a decision taken by the Board of Directors in order to prevent the appearance of prejudice or bias which may occur if the decision is taken by any one individual. The Board of Directors has the authority to relax any clause/ condition in the HR Manual.
Any changes in the Organogram shall be the prerogative of the HR,R&NC / Board.

Management Committee

The Management Committee will comprise of incumbents of the following positions:

- MD/CEO
- DMDs
- All SGMs & CFO
- GM (HR) as Secretary

Policy and critical matters should be discussed in Management Committee.

Confidentiality

This policy manual is the property of SNGPL for the exclusive use of its employees to facilitate understanding of the rights, responsibilities and obligations in their employment relationship with the Company. Under no circumstances should it be removed from the office premises, or copied with a view to disseminating the information contained herein to outsiders.

Employees have an obligation to respect this element of confidentiality regarding the manual and its contents.

Copyright

This manual has been created for the exclusive use of the management and employees of SNGPL. Any reproduction, distribution, or use of this manual for any purpose other than outlined above, is strictly prohibited.

Employment Policy

1.0 Statement of Intent

1.1 SNGPL's most important assets are its people, capital and reputation. It is the people of SNGPL who make the organization unique and define its reputation for excellence and professionalism. SNGPL is an equal opportunity employer and believes in gender diversity and inclusiveness.

1.2 SNGPL is committed to ensure that all staff is treated fairly and with dignity, and that no discrimination or harassment occurs in the workplace. SNGPL is an equal opportunity employer, which means all their policies, and procedures are aimed at ensuring that all decisions made in relation to appointments, promotions, transfers, training opportunities and performance assessments are made entirely on merit alone. The objective of the policy is to ensure that no applicant or employee is discriminated on the grounds of their race, nationality, ethnic/ social origin, religious or political beliefs, age, gender, marital status or disability. The nature of disability should be such that it does not hinder performance of job. All human resource decisions are made by utilizing objective standards that are based on an individual's qualifications and experience as they relate to a particular vacancy.

1.3 SNGPL always strives for excellence in performance and believes that continuous improvement must be fostered as an integral part of its organizational culture. The Company is committed to provide an open and honest work environment that enables every employee to reach the highest possible level of professional and personal fulfillment. In return, it expects that every employee will put forth maximum effort towards the performance of their jobs and the achievement of Company's goals.

1.4 The primary aim is to build SNGPL from within, promoting and rewarding people on the basis of performance alone. SNGPL's ability to continually identify, recruit, develop, and motivate its most precious resource in an increasingly competitive marketplace will be its greatest strength going forward.

1.5 Establishment

1.5.1 The Company's approved establishment at any time represents the staff requirement assessed according to the activities of the Company as approved by the Board from time to time. The establishment has been classified into four broad groups as under:

1.5.1.1 **GROUP I**
will include all engineering personnel working in Transmission, Distribution, customer service and Projects departments etc or elsewhere in the Company.

1.5.1.2 **GROUP II**
will include Services executives of HR, Retail Sales, Corporate Sales, Procurement, Stores, Administration, Media Affairs, Corporate Affairs, Training & Development, Law, Risk Management Departments and Sports Cell etc.
Separate sub-group will be created within main Group II to include 'SECRETARIES'.

1.5.1.3 **GROUP III**
will include personnel of Finance / Accounts / Audit/ Billing/ Recovery/ Regulatory Affairs/ Compliance and Treasury Departments.

1.5.1.4 **GROUP IV**
will include personnel of IT/ MIS and IT(Ops) Departments

1.5.2 Cross-Group Movement:

Executives are assigned specific group at the time of recruitment/ promotion from Subordinate cadre. Group identification is necessary for relative seniority ranking at the time of promotion. Some departments/ sections require expertise from different groups. In such cases, the Management may post executives of one group to other for cross-functional exposure or operational requirements without changing their earlier assigned group.

An officer from any group may be appointed against positions of GM (Risk Management), GM (Lands), and GM (HSE).

2.00 Recruitment

2.1 SNGPL's recruitment decisions are based upon a careful selection process in order to determine the individual best qualified for a position to be filled in. As an equal opportunity employer, SNGPL follows a transparent and merit-based recruitment policy and its selection procedure and employment policies are geared to attract and retain capable and qualified employees who are willing to contribute their best to accomplish the objectives of the Company. SNGPL believes that its employees are the people who give the Company their skill, energy and time, making them its most precious asset.

2.2 It is SNGPL policy to promote from within the organization, wherever possible, however, if suitable personnel are not available to meet the overall requirement of the job, the Company may recruit from outside sources. Selection and placement of a candidate is determined mainly by their qualification, experience and existing job group, vis-à-vis the overall job requirements at hand.

3.00 Recruitment Prerequisites

3.1 SNGPL provides fair opportunity for both internal/external candidates required for entry-level as well as lateral positions on purely merit basis. The minimum educational qualification and work experience (post qualification managerial/executive level experience) requirements for all grades and positions are spelled out in (Table-I). A candidate must possess the prerequisites mentioned therein.

3.1.1 **Note:** Management's Selection Committee shall recommend to Management Committee for relaxation of one or any recruitment prerequisites for an external or internal candidate(s) for a given grade / position based on individual case and the Company's recruitment needs at hand. Such relaxation can be implemented only after approval from Human Resource, Remuneration and Nomination Committee / Board of Directors.

Table I – Recruitment Prerequisites

Here's a breakdown of the recruitment prerequisites from the provided tables, presented in paragraph format to ensure no detail is missed:

The document outlines the recruitment prerequisites for various positions, categorized by grade, group, and job title. Each position has a minimum qualification and minimum experience requirement.

Grade I positions have a minimum age of 21 and a maximum age of 30. These positions are categorized into Group II Services, Group III Finance/Accounts/Audit/Billing, and Group IV IT/MIS/IT(Ops).

- For **Group II Services**, both Officer and Secretary roles require a **HEC-accredited 16-year degree in a relevant discipline, including MBA/Law Graduate/BBA (4 years)**. Proficiency in MS Office/Internet is also required. No prior experience is specified for these roles.

- For **Group III Finance/Accounts/Audit/Billing**, the Accountant/Officer role requires either **ACCA** or **M.Com/MBA(Finance)**, with no prior experience specified.
- For **Group IV IT/MIS/IT(Ops)**, the Officer role requires **M.Sc.(CS) /MBA (IT)/ BBA (IT) / BCS (4years) /B.Sc. (Engineering - IT)**.

Grade II positions have a maximum age of 32. These are categorized into Group I Engineering, Group II Services, Group III Finance/Accounts/Audit/Billing, and Group IV IT/MIS/IT(Ops).

- For **Group I Engineering**, the Engineer position requires a **B.Sc.(Engineering)** with no prior experience specified.
- For **Group II Services**, the Officer position requires either an **M.Phil/MS/MBA (18 years schooling)** or a **HEC-accredited 16-year degree in a relevant discipline, including MBA/Law Graduate/BBA (4 years)**. The Secretary position also requires the same qualifications. For Retail Sales/Corporate Sales/Procurement/Stores positions in Group II, a **B.Sc.(Engineering)** is additionally required. For the Secretary position, proficiency in MS Office/Internet is also required. One year of experience is required for Officer position with 16-year degree.
- For **Group III Finance/Accounts/Audit/Billing**, the Accountant/Officer role requires **ACCA (Professional Membership)** or **M.Com/MBA(Finance)**, with 1 year of experience for those with M.Com/MBA(Finance). For Billing positions, a **B.Sc.(Engineering)** is additionally required.
- For **Group IV IT/MIS/IT(Ops)**, the Officer role requires **M.Sc.(CS) /MBA (IT)/ BBA(IT) / BCS (4 years) /B.Sc (Engineering - IT)**, with 1 year of experience.

Grade III positions have a maximum age of 35. These are categorized into Group I Engineering, Group II Services, Group III Finance/Accounts/Audit/Billing, and Group IV IT/MIS/IT(Ops).

- For **Group I Engineering**, the Engineer position requires either **M.Sc.(Engineering)** or **B.Sc.(Engineering)**, with 1 year of experience required for the latter.
- For **Group II Services**, the Officer position requires either an **M.Phil/MS/MBA (18 years schooling)** or a **HEC-accredited 16-year degree in a relevant discipline, including MBA/Law Graduate/BBA (4 years)**, with two years and three years experience, respectively. For Retail Sales/Corporate Sales/Procurement/Stores positions, a **M.Sc.(Engineering)** is additionally required. In some cases, B.Sc.(Engineering) can also meet the additional qualification. The Secretary position also requires the same qualifications, with proficiency in MS Office/Internet also required.
- For **Group III Finance/Accounts/Audit/Billing**, the Accountant/Officer role requires **ACCA (Professional Membership)** or **M.Com/MBA(Finance)** with 2 and 3 years of experience, respectively. For Billing positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required.
- For **Group IV IT/MIS/IT(Ops)**, the Officer role requires **M.Sc. (CS) /MBA (IT)/ BBA(IT)/ BCS (4 years)/ B.Sc. (Engineering - IT)** with 1 year of experience.

Grade IV positions have a maximum age of 38. These are categorized into Group I Engineering, Group II Services, Group III Finance/Accounts/Audit/Billing, and Group IV IT/MIS/IT(Ops).

- For **Group I Engineering**, the Executive Engineer position requires either **M.Sc.(Engineering)** or **B.Sc.(Engineering)**, with 2 and 3 years of experience, respectively.
- For **Group II Services**, the Executive Officer position requires either an **M.Phil/MS/MBA (18 years schooling)** or a **HEC-accredited 16-year degree in a relevant discipline, including MBA/Law Graduate/BBA (4 years)**, with 4 and 5 years of experience, respectively. For Retail Sales/Corporate Sales/Procurement/Stores positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally

required. The Executive Secretary position has the same qualification requirements as the Executive Officer, along with proficiency in MS Office/Internet.

- For **Group III Finance/Accounts/Audit/Billing**, the Executive Accountant/Officer role requires **CA/CMA**. For Billing positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required.
- For **Group IV IT/MIS/IT(Ops)**, the Executive Officer role requires **M.Sc.(CS) / MBA (IT)/ BBA(IT)/ BCS (4 years) / B.Sc (Engineering - IT)**, with 5 years of experience.

Grade V positions have a maximum age of 41. These are categorized into Group I Engineering, Group II Services, Group III Finance/Accounts/Audit/Billing, and Group IV IT/MIS/IT(Ops).

- For **Group I Engineering**, the Senior Engineer position requires either **M.Sc.(Engineering)** or **B.Sc.(Engineering)**, with 5 and 6 years of experience, respectively.
- For **Group II Services**, the Senior Officer position requires either an **M.Phil/MS/MBA (18 years schooling)** or a **HEC-accredited 16-year degree in a relevant discipline, including MBA/Law Graduate/BBA (4 years)**, with 7 and 8 years of experience, respectively. For Retail Sales/Corporate Sales/Procurement/Stores positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required.
- For **Group III Finance/Accounts/Audit/Billing**, the Senior Accountant/Officer role requires **CA/CMA** with 3, 5 and 6 years of experience. For Billing positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required.
- For **Group IV IT/MIS/IT(Ops)**, the Senior Officer role requires **M.Sc.(CS) /MBA (IT)/ BBA (IT) /BCS(4 years) /B.Sc (Engineering - IT)** with 8 years of experience.

Grade VI positions have a maximum age of 44. These are categorized into Group I Engineering, Group II Services, Group III Finance/Accounts/Audit/Billing, and Group IV IT/MIS/IT(Ops).

- For **Group I Engineering**, the Deputy Chief Engineer position requires either **M.Sc.(Engineering)** or **B.Sc.(Engineering)**, with 8 and 9 years of experience, respectively.
- For **Group II Services**, the Deputy Chief Officer position requires either an **M.Phil/MS/MBA (18 years schooling)** or a **HEC-accredited 16-year degree in a relevant discipline, including MBA/Law Graduate/BBA (4 years)**, with 10 and 11 years of experience, respectively. For Retail Sales/Corporate Sales/Procurement/Stores positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required.
- For **Group III Finance/Accounts/Audit/Billing**, the Deputy Chief Accountant/Officer role requires **CA/CMA**, with 6, 8 and 9 years of experience. For Billing positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required.
- For **Group IV IT/MIS/IT(Ops)**, the Deputy Chief Officer role requires **M.Sc. (CS) /BCS (4 years) / B.Sc. (Engineering - IT)** with 11 years of experience.

Grade VII positions have a maximum age of 47. These are categorized into Group I Engineering, Group II Services, Group III Finance/Accounts/Audit/Billing, and Group IV IT/MIS/IT(Ops).

- For **Group I Engineering**, the Chief Engineer position requires either **M.Sc.(Engineering)** or **B.Sc.(Engineering)**, with 11 and 12 years of experience, respectively.
- For **Group II Services**, the Chief Officer position requires either an **M.Phil/MS/MBA (18 years schooling)** or a **HEC-accredited 16-year degree in a relevant discipline, including MBA/Law Graduate/BBA (4 years)** with 13 and 14 years of experience respectively. For Retail Sales/Corporate

Sales/Procurement/Stores positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required.
- For **Group III Finance/Accounts/Audit/Billing**, the Chief Accountant/Officer role requires **CA/CMA**, with 9, 11, and 12 years of experience. For Billing positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required. The Deputy Company Secretary position requires either a **CA/CMA** or a **membership in a recognized body of Corporate/Chartered Secretaries**, or a **master's degree in business administration or commerce or a law graduate**, with 12 years of experience. At least 5 of those 12 years must be relevant to the position.
- For **Group IV IT/MIS/IT(Ops)**, the Chief Officer position requires **M.Sc.(CS) /BCS(4 years) /B.Sc (Engineering – IT)** with 14 years of experience.

Grade VIII positions have a maximum age of 50. These are categorized into Group I Engineering, Group II Services, Group III Finance/Accounts/Audit/Billing, and Group IV IT/MIS/IT(Ops).

- For **Group I Engineering**, the General Manager position requires either **M.Sc.(Engineering)** or **B.Sc.(Engineering)**, with 14 and 15 years of experience, respectively.
- For **Group II Services**, the General Manager position requires either an **M.Phil/MS/MBA (18 years schooling)** or a **HEC-accredited 16-year degree in a relevant discipline, including MBA//Law Graduate /BBA-4 years)**, with 16 and 17 years of experience, respectively. For Retail Sales/Corporate Sales/Procurement/Stores positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required. The Company Secretary position requires either a **CA/CMA** or **membership in a recognized body of Corporate/Chartered Secretaries**, or a **master's degree in business administration or commerce or a law graduate**, with 15 years of experience. At least 5 of those 15 years must be relevant to the position.
- For **Group III Finance/Accounts/Audit/Billing**, the General Manager role requires **CA/CMA** with 12, 14, and 15 years of experience. For Billing positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required. The Company Secretary position requires either a **CA/CMA** or **membership in a recognized body of Corporate/Chartered Secretaries**, or a **master's degree in business administration or commerce or a law graduate**, with 15 years of experience. At least 5 of those 15 years must be relevant to the position.
- For **Group IV IT/MIS/IT(Ops)**, the General Manager position requires **M.Sc.(CS) / BCS (4 years) / B.Sc. (Engineering - IT)** with 17 years of experience.

Grade IX positions have a maximum age of 52. These are categorized into Group I Engineering, Group II Services, Group III Finance/Accounts/Audit/Billing, and Group IV IT/MIS/IT(Ops).

- For **Group I Engineering**, the Senior General Manager position requires either **M.Sc.(Engineering)** or **B.Sc.(Engineering)**, with 17 and 18 years of experience, respectively.
- For **Group II Services**, the Senior General Manager position requires either an **M.Phil/MS/MBA (18 years schooling)** or a **HEC-accredited 16-year degree in a relevant discipline, including MBA/Law Graduate /BBA-4 years)**, with 19 and 20 years of experience, respectively. For Retail Sales/Corporate Sales/Procurement/Stores positions, either **M.Sc.(Engineering)** or **B.Sc.(Engineering)** is additionally required.
- For **Group III Finance/Accounts/Audit/Billing**, the Chief Financial Officer role requires **CA/CMA** with 15 years of experience, with 5 years in listed companies with total assets of five billion or more.
- For **Group IV IT/MIS/IT(Ops)**, the Chief Information Officer position requires **M.Sc.(CS)/ BCS(4 years) /B.Sc. (Engineering - IT)** with 20 years of experience.

Grade X positions have a maximum age of 55. These are categorized into Engineering and Services.

- For **Engineering**, the DMD (OPS) position requires either **M.Sc.(Engineering)** or **B.Sc.(Engineering)**, with 20 and 21 years of experience, respectively.
- For **Services**, the DMD (S) position requires either an **M.Phil/MS/MBA (18 years schooling)**, a **HEC-accredited 16-year degree in a relevant discipline, including MBA/Law Graduate /BBA-4 years)**, **CA/CMA** , **M.Sc.(Engineering)** or **B.Sc.(Engineering)** with 22, 23, 18, 20 and 21 years of experience, respectively.

Notes to Table-I:-

1. The minimum experience requirement is post qualification experience of executive level.

2. Discipline of qualification will be finalized by the Management Committee at the time of placement of advertisement for recruitment.

3. All academic degrees submitted and forming the basis of appointment must be recognized/ verified by HEC.

4. For experience hires, the HR department shall conduct mandatory experience verification with past employers during the period of probation. In case the experience of employees cannot be verified within initial probation, the period of probation may be extended once on existence of sufficient cause.

5. Identification of fake or forged credentials at any time during the term of employment would constitute 'Gross misconduct' and merit summary dismissal.

6. Equivalence Certificate of HEC is required against all degrees from abroad.

7. Requirement of minimum qualification includes HEC accredited / recognized 16 years degree or equivalent in relevant discipline.

8. Membership of Professional body for incumbent having following professional qualifications is mandatory. Due verification of credentials will be obtained from the relevant professional body in Pakistan.

    - For Engineers - Membership of Pakistan Engineering Council

    - For CA, CMA & ACCA (For Grade-II & III) - Membership of concerned professional institute/body.

    - Experience required for CA/ CMA qualified incumbent for Grade-V & above must be Post Membership.

    - Experience required for ACCA qualified incumbent must be Post Membership for Grade-I to III.

9. For hiring in HR Department for Grade VIII and above, the individual must possess HR management qualification (post graduation) along with 16 years HR related experience.

10. Recruitment for the statutory positions (CFO, Head of Internal Audit and Company Secretary) will be done as per criteria laid down in SECP's Public Sector Companies Rules, 2013 read with Listed Companies (Code of Corporate Governance) Regulations, 2019 as amended from time to time.

11. Details of shortlisted candidates for the statutory positions will be the shared directly with the HR,R&NC. However, non statutory positions falling under the purview of the HR,R&NC /Board shall be recommended by the Management Committee.

TABLE – I-A **TERMS AND CONDITIONS FOR PROMOTION**

The document outlines the eligibility and conditions for promotion within the company, detailing various positions and the requirements for advancement. The promotion structure is hierarchical, with each level having specific criteria for eligibility, including minimum years of service in the current grade, and in some cases, specific qualifications.

Promotional Hierarchy and Eligibility

- **Deputy Managing Director (Grade-X)**: To be eligible for promotion to this position, a candidate must have at least **3 years of service in Grade IX** while holding the position of Senior General Manager.
- **Senior General Manager/CFO/CIO/HoIA (Grade-IX)**: Eligibility requires at least **3 years of service in Grade VIII** while holding a position of General Manager/Company Secretary/HoIA.
- **General Manager/Company Secretary/HoIA (Grade-VIII)**: A minimum of **3 years of service in Grade VII** while holding the position of Chief/Deputy Company Secretary is required for promotion to this level.
- **Chief/Deputy Company Secretary (Grade-VII)**: Candidates should have at least **3 years of service in Grade VI** while holding a position of Deputy Chief Engineer/Deputy Chief Officer/Deputy Chief Accountant/Deputy Chief Officer (IT/MIS)/IT(Ops), in addition to meeting clause 9.2.
- **Deputy Chief Engineer (Grade-VI)**: This role requires at least **3 years of service in Grade V** and having an Engineering Degree and registration with PEC, while holding the position of Senior Engineer, as well as meeting clause 9.2.
- **Deputy Chief Officer/Deputy Chief Accountant/Deputy Chief Officer (IT/MIS)/IT(Ops)/Deputy Chief Secretary (Grade-VI)**: Eligibility requires at least **3 years of service in Grade V**, and 6 years for Secretaries, while holding the position of Senior Officer/Senior Accountant/Senior Officer (IT/MIS)/IT(Ops)/Senior Secretary, in addition to meeting clause 9.2.
- **Senior Engineer (Grade-V)**: Candidates for this position should have an Engineering Degree, Registration with PEC and at least **3 years of service in Grade IV**, or at least **8 years in Grade IV** while holding the position of Senior Technical Officer/Executive Engineer or Executive Technical Officer , and must meet clause 9.2.
- **Senior Officer/Senior Accountant/Senior Officer (IT/MIS)/IT(Ops)/Senior Secretary (Grade-V)**: A minimum of **3 years of service in Grade IV** is required, and 6 years for Secretaries, while holding the position of Executive Officer/Accountant/Officer (IT/MIS/IT(Ops)/Secretary, as well as meeting clause 9.2.
- **Executive Engineer (Grade-IV)**: To be eligible, candidates should have an Engineering Degree, Registration with PEC and have at least **2 years of service in Grade III** or at least **8 years in Grade III**, while holding the position of Engineer/Technical Officer , and must meet clause 9.2.
- **Executive Officer/Accountant/Secretary/Officer (IT/MIS)/IT(Ops) (Grade-IV)**: This level requires at least **2 years of service in Grade III** while holding a position of Officer/Accountant/Secretary/Officer (IT/MIS)/IT(Ops), as well as meeting clause 9.2. For secretaries, at least 4 years of service in Grade III or as in Rule 9.2.7.1 is needed.
- **Engineer/Tech. Officer/Officer/Accountant/Secretary/Officer (IT/MIS)/IT(Ops) (Grade-III)**: Candidates need at least **1 year of service in Grade II** for B.Sc. Engineers or **2 years of service in Grade II** for others, while holding a position of Engineer/Tech. Officer/Officer/Acctt./Secretary/ Officer (IT/MIS)/ IT(Ops) plus an engineering degree and registration with P.E.C. and or as in Rule 9.2.7.1. For secretaries, at least 3 years of service in Grade II are needed.

- **Tech. Officer/Officer/Accountant/Secretary/Officer (IT/MIS)/IT(Ops) (Grade-II)**: A minimum of **1 year service in Grade I**, subject to a minimum of 6 months service after confirmation in Company service for directly recruited executives or 2 years for secretaries is required for promotion to this level while holding the position of Tech. Officer/Officer/ Acctt./Secretary/Officer (IT/MIS) / IT(Ops).
- **Officer/Accountant/Officer (IT/MIS)/IT(Ops)/Secretary (Grade-I)**: Positions to be filled from the positions of Technical Officer/Engineer, Supervisor/Senior Supervisor, Associate Engineer/Sub-Engineer in the relevant field.

Subordinate Staff Promotion to Executive Cadre

Promotions from subordinate staff to the executive cadre are divided into two pools:

- **Pool A (Seniority Basis):** 50% of positions are filled through seniority, requiring 13 years of total service with at least 3 years in Grade VII and no disciplinary actions such as downgrading or annual increment stoppage in the last 3 years, or a warning in the last year.
- **Pool B (Relevant Qualification Basis):** The other 50% of positions are filled based on qualifications acquired during service (as agreed between Management and CBA) or qualifications held before joining, with a minimum of 10 years of service, at least 4 years in Grade VI, and no disciplinary actions in the last 3 years, or a warning in the last year.

General Promotion Process

- Eligible employees in both pools are invited for an aptitude/written test (MCQs). Five candidates per position are shortlisted for interviews based on the written test merit.
- Employees qualifying for both pools are considered under Pool B (Relevant Qualification).
- Employees who improved their qualifications without HR approval may be considered on a one-time basis, provided they applied for an NOC earlier.
- Employees facing disciplinary proceedings may participate provisionally but will be ineligible if penalized.
- A minimum of 45% marks in the written test is required for shortlisting for interviews, and a minimum qualifying mark of 60% is needed in the interview.
- If no suitable candidate is found in one pool, the vacancy is transferred to the other pool. In the case of odd numbers of vacancies, preference is given to Pool B.
- HR will create question papers and provide sample papers.
- B.Sc. Engineers (registered with PEC) having prior permission for improvement in qualification can be promoted to Executive Cadre Grade-I if vacancies exist.
- Individuals with ACMA qualifications are exempt from the written test but must attend the interview, subject to vacancy availability.
- The cases of candidates with B.Sc. (Engineering) and ACMA will be considered separately from the normal subordinate to executive promotions.
- Subordinate employees with CA/ACMA qualifications may apply for executive cadre positions up to Grade IV through open merit, meeting HR Manual criteria.

4.00 Recruitment Classification

Recruitment at SNGPL is classified as per the following (4) four types:

4.1 Entry-level Recruitment
4.2 Lateral Recruitment
4.3 Outsourced Recruitment
4.4 Ex-staff Recruitment

4.1 **Entry-level Recruitment**. This includes the recruitment of executives into executive Grade-I to Grade-IV in specified categories. SNGPL promotes selection of internal/external candidates for entry level positions on purely merit basis. Test will be conducted for entry-level recruitment (Grade I - IV) and Test Result will be posted online. Weightage of the test and Interview is tabulated as:-

The selection criteria includes a **test** which accounts for **55%** of the total score. An **interview** is also a part of the process and contributes **30%** to the overall score. The **academic record** makes up the remaining **15%** of the score, with **5% allocated for each of the last three educational stages**. For each educational stage, if a candidate has secured **1st Division**, then they will get **5 marks** and if the candidate has secured **2nd Division**, they will get **2.5 marks**.

- Candidates will be called for interview in top order of merit of the third party Test subject to obtaining minimum eligibility of 60% marks.
- No third division in the entire academic career.
- Minimum qualifying marks in the interview will be 60%.
- Final Selection will be in top order of merit against advertised vacant positions subject to securing a minimum of 60% aggregate marks.
- Three (3) candidates to be interviewed against each vacant position.

Final hiring decisions are based on the recommendations of the Selection Committee duly approved by the Managing Director/CEO (see Appointment. Para 6.4). **Recruitment process prescribed in 4.2 shall also apply for entry level as well.**

4.1.1 **Interview Panel.**

Interview Panel comprises of the following selection committees:

A). Recruitment (Grade I – IV):

The document outlines the composition of different groups, each with a designated chairman, members, and secretary. **Group I (Engineering)** is chaired by the DMD(Ops) and includes the senior-most SGM (Group-I), SGM(HR), and the senior-most GM (Group-I) as members, with the GM(HR) serving as secretary. **Group II (Services)** is chaired by the DMD (Services), and has the senior-most SGM (Group-II), SGM(HR), and the senior-most GM (Group-II) as members, with GM(HR) as secretary. **Group III (Finance/Accounts/Audit/Billing)** is chaired by the DMD (Services) and includes the Chief Financial Officer/HoIA for Audit Positions, SGM(HR), and the senior-most GM (Group III) as members, and the GM(HR) as secretary. **Group IV (IT/MIS)/IT(Ops)** is chaired by the DMD (Services), and includes the

senior-most SGM of Group-I, SGM (HR), and GM(IT/MIS) as members, and GM(HR) as secretary. Notably, the SGM(HR) and GM(HR) are members and secretary respectively across all groups.

Note: Senior Most GM (respective Group) based at Head Office will be member.

B). Recruitment (Grade V – VII):

The provided document outlines the composition of different groups, with each group having a designated chairman, members, and a secretary. **Group I (Engineering)** is chaired by the DMD(Ops), and its members include the SGM (Concerned), SGM(HR), and HoD/GM(Concerned), with the GM(HR) serving as the secretary. **Group II (Services)** is chaired by the DMD (Services), and its members include the SGM (Concerned), SGM(HR), and HoD/GM(Concerned), with the GM(HR) acting as the secretary. **Group III (Finance/Accounts/Audit/Billing)** is chaired by the DMD (Services) and includes the Chief Financial Officer/HoIA, SGM(HR), and HoD/GM(Concerned) as members, with the GM(HR) as the secretary. Finally, **Group IV (IT/MIS)/IT(Ops)** is chaired by the DMD (Services), and its members are the senior-most SGM of Group-I, SGM(HR), and GM(IT/MIS), with the GM(HR) as the secretary.

C). (Grades VIII) Suitability Interview of candidates will be conducted by the MC and shall recommend three most suitable candidates against a position for final selection by HR,R&NC /the Board. In case no suitable candidate is found amongst the 3 shortlisted candidates, the Committee may ask additional candidates from the pool for the position.

D). (Grades IX-X) Suitability Interview of candidates will be conducted by MD/ CEO as Chairman & DMDs as Members for recommending minimum three most suitable candidates. In case no suitable candidate is found amongst the 3 shortlisted candidates, the Committee may ask additional candidates from the pool for the position. Final selection will be subject to the approval by HR,R&NC /BoD on recommendations of the MD/CEO & DMDs.

4.1.2 Recruitment of Management Trainees:

In case the Company adopts and advertises the positions of MTs, the fresh graduates (16 years of education) of accredited universities be appointed as Management Trainees.

MTs will be engaged through 3rd. Party for a fixed period of 2 years. It will be mandatory for the 3rd party to advertise the Management Training/ Talent Development Program in at least one newspaper of nationwide circulation. Fixed stipend as decided by the Management will be given to the MTs during their training period. The training period of the Management Trainees is liable to be terminated at any time before the expiry of the period of 2 years at the sole

discretion of the company without any notice and if not terminated earlier, the engagement in the company shall stand terminated on the expiry of 2 years period.

An individual engaged as Management Trainee will have no lien to seek permanent employment in the company as a result of this training/ development program; however, he/ she may apply for career term employment in the company at any time through advertised jobs.

4.2 **Lateral Recruitment**. This includes the recruitment of executives from *Grades V through X.* Experienced professionals from the market or potential internal candidates meeting eligibility criteria can apply in response to job advertisement and can be recruited from time to time based on the needs of the various functions of SNGPL. In case candidates are not likely to be available from within through regular promotion process; whereby internal candidates are considered for next higher grade as per promotion criteria, the Company may resort to external sources of lateral recruitment such as advertising in newspapers or consulting professional headhunting firms for assistance or referring to the database available with the company from its previous advertisements or unsolicited applications received over time.

Lateral recruitments for grade V and above is made on the recommendation of the Selection Committee on the basis of interview subject to following conditions:

- No third division in the entire academic career.
- All shortlisted candidates meeting the advertised criteria will be interviewed by the Selection Committee.
- Minimum qualifying marks in the interview will be 60%.
- Final Selection will be in top order of merit subject to securing a minimum of 60% aggregate marks & number of vacant positions.

Final hiring decisions are based on the recommendations of the Selection Committee duly approved by the Managing Director/CEO upto Grade VII and HR,R&NC /BoD for Grade VIII & above.

4.3 **Outsourced Recruitment**. SNGPL may also lease employees from a specialist service provider for project work or for executive and / or administrative support for limited time periods. Departments desirous of contracting such services shall submit their written requisitions to the HR Department that is responsible for relationship management with outsourcing firms and / or contractors.

4.4 **Ex-staff Recruitment**: Previous employees who in the past had left the Company on their own accord may also be rehired at the discretion of SNGPL. Typically, these employees are hired on contractual basis. Retired staff may also be re-hired for services on a contractual basis that may be renewed at a mutually agreed term, however this option is available only cases where no other suitable candidate is available and all avenues for filling the role have been exhausted. The Board of Directors is the only competent authority to approve re-employment of retired employees on contractual basis.

However, an employee who was asked to leave the Company in the past due to a breach in any policy shall not be re-hired for service again. In case an employee

applies for a job in any other organization without obtaining NOC from the Company, his/her request for waiver of notice period shall not be accepted. Moreover, if such employee applies for a job in the Company in future, his/her request for re-employment shall not be entertained.

4.5 **Advertisement**: All posts for direct recruitment shall be advertised externally giving full requirements of the posts such as qualifications, experience, age and skills requirements etc. Advertisements shall be published on SNGPL website and in at least one daily English newspaper and one Urdu newspaper having nationwide circulation. Grades I-IV (entry level positions) of all departments of a group are advertised without reference to the department. Posts for recruitment of disabled persons shall be advertised separately. The Company reserves the right to accept or reject any applicant and the decision of the Company Shall be final in this respect.

4.5.1 Internal candidates are encouraged to apply after obtaining NOC from the Management. In case of selection, the internal candidate shall be offered the advertised position. The internal candidate shall have to resign from existing position in order to accept offered position. There may be grounds for which promotion board for the position being advertised is not conducted. In such cases, if internal candidate; having completed the minimum parking period for promotion is selected, on the basis of his application as an external candidate, against one grade higher position to his/ her existing grade, then continuity in service to join offered position will be allowed with application of increment of upgradation/ promotion.

4.5.2. There should be a minimum period of 15 days for closure of job applications from the date of publication of the advertisement.

4.6 **Deputation from Government:** The Managing Director/CEO is authorized to allow deputation of Land Acquisition Collectors, Special Judicial Magistrates and Surveyors from Federal/ Provincial Governments.

4.7 **Secondment/ Deputation from SNGPL:** The HR,R&NC on recommendations of the MD/ CEO may allow deputation of an employee to other organizations on their requisition. The Human Resource Department is authorized to deny/discourage such requests in normal circumstances. General terms of secondment/ deputation are stipulated below while specific terms (if any) are approved by the Board of Directors in case to case basis:

- Deputation/ secondment will be allowed only once in career.
- Maximum period of deputation will be three years.
- The borrowing Organization/ Department will transfer the amount accumulated against gratuity/ provident fund etc. for the period of deputation without which SNGPL will not incur liability for such benefits for that period.
- Leave balance of the executive will be communicated to borrowing Organization. No leave will be accumulated during the period of deputation.
- Annual performance appraisal as received from Borrowing Organization/ department will be finalized by SNGPL Management as per Performance Management System.
- Service during deputation period will be accounted for at the time of consideration for promotion.
- SNGPL Executives who are on secondment/ deputation will be considered for promotion as per Company's laid down criteria. If promoted, the promotion will only actualize upon their resumption of duty at SNGPL within one year of decision of promotion.

5.00 Recruitment Quotas

Recruitment to be made on National basis and purely on merit. No provincial quotas as prescribed by Federal Government shall apply to the Company. However, 2% seats shall be reserved for recruitment of disabled persons and shall be completely segregated from normal recruitment. Besides the reserved quota, the disabled persons shall also be eligible to compete on open merit as well.

6.00 Recruitment Process

SNGPL's recruitment procedure comprises of a structured methodology for ensuring that the best possible talent available is procured and comprises of the following four (4) steps:

6.1 Requisition
6.2 Resourcing
6.3 Interview & Selection
6.4 Appointment

6.1 **Requisition.** Manpower requirements are forecasted by individual Department Heads (see **Annexure-A**) and collated by the HR Department based on the given analysis of employee data, identifying future retirements, and keeping in view the Company's strategic corporate plans. For planning a human resource base, manpower numbers are pre-approved based on projected annual requirements of SNGPL as part of an annual business planning process. All individual requests are to be within these budgetary parameters. The following requisition procedure applies to budgeted manpower demands:

6.1.1 **Step1**. Department Head / SGM forward a written requisition (see **Annexure-B**) with attached job description document(s) for the position(s) that need to be filled by the HR Department.

6.1.2 **Step2**. Once HR has received the requisition request, it verifies the same to ensure that the request is within approved manning and budgetary levels for the respective department and commences processing the same.

In cases where the requisition exceeds a department's allocated limit, the concerned departmental heads/SGM will forward a request for enhancing the sanctioned limit to the Management Committee (MC) for consideration. After MC recommendations the same will be presented to Human Resource, Remuneration and Nomination Committee (HR,R&NC) & BoD for approval.

6.2 **Resourcing.** Once the recruitment need has been established through the requisition process, HR proceeds to resource talent. Human Resource Department advertises the positions available with newspapers in at least one daily English newspaper and one daily Urdu newspaper having nationwide circulation, headhunters, and / or consulting firms. All the candidates who have applied in response to the posts advertised for entry level recruitment will appear in the written test conducted and the candidates short-listed on the basis of the test results are called for interview and subsequent selection as per the prescribed criteria. In the event that an external candidate is being considered, he / she is required to provide comprehensive personal information in the shape of an employment application form (see **Annexure-C**) as well as relevant references and testimonials that are required.

6.3 **Interview & Selection**. Once all relevant applications are pre-screened and forwarded to the originators of the requisition, the HR Department shall commence the process of test/interview, selection, and subsequent offer for employment. Interview Committee shall be at liberty to structure interviews in their respective styles. For purposes of guidance and consistency, detailed interview guidelines are presented in the (Interview Section, HRM Tools).

6.3.1 The Human Resource Department is responsible to carry out interview scheduling as per the convenience of the managers engaged in the process independently. In instance where out-stationed applicants merit a final interview, they will be invited to the Head Office.

6.4 **Appointment.** Selection of suitable candidates by the selection committee is followed by an offer for employment issued by HR after due approval from Management.

6.4.1 **Permanent Employees.** The Selection Committee makes recommendations on the enhanced salary to be offered to selected individuals while remaining within the approved pay scales of respective grades. The elements of market competitiveness, suitability of individual, prospect of retention, present actual salary in the grade and motivation to accept offer should be considered while recommending the salary offer. For senior level positions i.e. Grade VIII and above or in cases where the compensation level falls outside the usually prescribed range for the corresponding grade-level, the above consultation also involves the MD/CEO and BOD. The MD/CEO has the authority to issue appointment letters for executives in Grades I-VII (**Table-II**) below. Appointments are to fall within the parameters of the annual requisition quotas approved for each department at the beginning of each fiscal year (see **Annexure-B**).

6.4.2 **Contractual Employees**. SNGPL may hire employees on temporary engagement on contractual basis from time to time depending on the operational needs or on recommendations and approval of MD/CEO. The temporary service of employee in the company is liable to be terminated at any time before the expiry of the contract at the sole discretion of the company without any notice and if not terminated earlier, the engagement in the company shall stand terminated on the expiry of the contract. An employee engaged on temporary basis will have no lien to seek permanent employment in the company as a result of this temporary contractual employment; however, he may apply for career term employment in the company at any time through advertised jobs. The appointment of contractual employees is similar to regular employees in terms of their contract letter issuance authority. However, all contractual employees are governed as per the conditions of employment in their contract such as term, pay, scope of work, renewal terms, etc. (see **Annexure-D**).

6.4.3 **Appointment**. On final selection of candidates; appointment letter is issued (see **Annexure-E**) and subsequent commencement of service is subject to his or her clearance of the Company's medical/fitness exam.

Table II – **Appointment Approval Authority**

Grade	Competent Authority
VIII - X	Board of Directors (BOD)
I – VII	Chief Executive (MD/CEO)

7.00 Medical Exam

7.1 Clearance of a medical exam is a pre-condition to commencement of employment at SNGPL since all prospective employees must be physically fit and mentally able to perform their duties in an effective manner upon joining the Company. Accordingly, the HR Department issues instructions for a medical exam of the candidate. Medical fitness makes the candidate eligible for employment in SNGPL.

8.00 Probationary Period

8.1 Confirmation of an executive after appointment is followed by a probationary period of:

- One year for engineers inducted in Grade-II and all other executives inducted in Grade-IV & above.
- Six (6) months for Executives inducted in Grade I-III.

The probationary period shall be regarded as an extension of the selection process and is utilized for close observation and evaluation of the employee's performance as well as the behavior in the role assigned (refer to Performance Management Policy).

8.2 The probationary period concludes with a comprehensive performance evaluation (see Annexure-F) for the actual period of probation. The probationary period may be extended by 6 months by the MD / CEO and if an employee is not confirmed on completion of this extended period, his service will be automatically terminated. In case of extension of probation, employee will be provided in writing the reasons for extension and steps required for confirmation. Period of annual appraisal making part of promotion criteria will start after completion of probationary period.

8.2.1 For Grade I-VII, on the satisfactory conclusion of his probationary period the Appointing Authority will confirm the executive on the recommendations of Confirmation Committee in Grade-III (for Engineers inducted in Grade-II) OR in the Grade of appointment (for other Executives) – **(Annexure-G)**.The composition of confirmation committee will be same as promotion committee (see 9.2.1).

8.2.2 For Grade VIII & IX, the confirmation committee and approving authority for confirmation of service will be HR,R&NC.

8.2.3 For Grade X, the confirmation committee and approving authority for confirmation of service will be HR,R&NC/Board.

8.3 Employee Orientation

It will be mandatory for all the new joiners to attend the employee orientation program. T&D department shall design the Orientation program for all new joiners. List of new joiners will be communicated by HR department to T&D who will conduct employee orientation accordingly.

9.00 Promotions

9.1 SNGPL recognizes that its people are its most valuable asset. The Company also recognizes that all staff members aspire to grow with the institution for better status and standard of living, With the growth in perquisites, benefits, and job responsibility, employees feel motivated to improve their performance, which in end serves the interest of the organization as well as providing management with a continuous inflow of individuals who have grown with the organization to shoulder higher responsibilities over time, Hence, it is Company policy to promote suitable staff to positions of higher responsibility.

9.1.1 Recruitment by Promotion to the post in various grades shall be made on seniority-cum-fitness basis (Refer to Promotion Criteria – **Annexure-H**) from amongst the persons who hold the posts specified in the column III and experience as prescribed in column IV of **TABLE-I-A** to these rules except where specially relaxed in exceptional cases in consultation with the Board.

9.1.2 Prerequisites for promotion to executive cadre as agreed with CBA and to the extent approved by BOD from time to time shall form an integral part of the manual.

9.2 Promotion cases are considered keeping in view the availability of slots in the Company and the overall performance and the potential of the individual employee. Without prejudicing other conditions an executive becomes eligible for promotion upon completion of requisite parking period in a particular grade and having minimum equal number of APRs (equal to the number of years of parking period) in that grade as well. All APRs of an executive in a particular grade from which promotion is being considered shall be taken into account at the time of promotion.

Potential Assessment is conducted for eligible executive for promotion to Grade-IV up to Grade-VII by a third party and 25% marks are allocated for this in the Promotion Criteria. PA test score shall be valid for two years and Potential Assessment shall be re-conducted thereafter. All SNGPL employees have an equal opportunity for promotion based upon their performance, qualifications and demonstrable merit. Promotion is not a vested right of an employee and the decision of the management will be final and binding, It is imperative to recognize that promotion is not solely a function of seniority, but will occur when an employee's duties and responsibilities are altered to such an extent that they warrant of a shift in the grade level or an employee is appointed to a role that is graded higher on account of job description (refer to JD Section, HRM Tools).

Promotions to various job grades is categorized into two (2) broad types corresponding to differing management cadres based on the unique considerations for each as follows:

9.2.1 **Grade I-VII:** Promotions in these grades are considered once in a year on the basis of performance, seniority, education, and professional qualification, Promotion within these grade-levels requires recommendations of the Promotion Committee duly agreed by the MD/CEO. For the Promotion of Chief (Grade-VII), the case may be discussed by the Management Committee. Composition of **Promotion Interview Committee (Promotion Board)** will be as under:-

The document outlines four recruitment groups, each with a specific composition of roles. **Group I (Engineering)** and **Group III (Finance/Accounts/Audit/Billing)** share a similar structure, with the Deputy Managing Director (Operations) and Deputy Managing Director (Services) respectively, acting as **Chairman**. Both groups have a Senior General Manager (Concerned), a Senior General Manager (HR), and a Head of Department/General Manager (Concerned) as **members**, and the General Manager (HR) as **Secretary**. Similarly, **Group II (Services)** and **Group IV (IT/MIS) / IT(Ops)** also share a structure, with the Deputy Managing Director (Services) acting as **Chairman** for both. In both groups, there is also a Senior General Manager (HR) and a Head of Department/General Manager (Concerned) who serve as **members**.

However, Groups II and IV differ in other membership roles. **Group II** has a Senior General Manager (Concerned) as a **member**, while **Group IV** has the senior-most Senior General Manager of Group I, as well

as a General Manager (IT/MIS), as **members**. The General Manager (HR) serves as **Secretary** for both groups.

The structure shows that recruitment groups are headed by either the DMD (Ops) or DMD (Services) as chairman. Each group also has a number of members including an SGM (Concerned), an SGM(HR) and a HoD/GM (Concerned). The GM(HR) acts as secretary for all four groups.

9.2.2 **Grade VIII-X:** In addition to adequate performance evaluation scores, promotion to and within these top-levels is strictly managed through an improved succession planning process focusing on successful grooming of potential performers by their successors followed by an interview by the Promotion Committee. A brief concept paper is required to be provided by the candidate at the time of Promotion, elaborating vision for furthering corporate interests and specifying achievements/justifications to evaluate his/her fitness and eligibility for said position. The HR,R&NC / Board to meet periodically over the year for conducting promotion interviews of the executives and/or to fill the vacancies as and when they occur. The cases for promotion are sent to Human Resource, Remuneration and Nomination Committee /Board of Directors for consideration as and when called for. The adverse remarks, if any, in all APRs of respective grade about the concerned executive are also highlighted for information of the Promotion Committee/ Promotion Board i.e. HR,R&NC /BOD. Suitability marks (10) in the promotion criteria are awarded by the Human Resource, Remuneration and Nomination Committee and final approval of the Promotion is given by the Board of Directors.

Experience of working in field (posting away from Head Office), for at least cumulative three years in the career (with minimum six months at each stretch), is mandatory for consideration of promotion against positions of Grade-VIII of Distribution, Customer Services, UFG-C, Transmission, Telecom, Compression, Projects (except Lands), Quality Assurance, Corrosion Control and HSE departments.

Note: Information about ineligible candidates on account of less than three years field experience will be shared with the Promotion Board separately.

9.2.3 Engineering personnel who possess an engineering diploma (three years polytechnic diploma awarded by Board of Technical Education or equivalent qualification recognized by Boards of Technical Education or Pakistan Engineering Council) on promotion to executive cadre as Technical Officer will be promoted up to Grade III in normal routine. However, they will be eligible for promotion to Grade IV and V after spending 8 years service each in Grade – III & Grade – IV respectively (without appearing in PA Test) against vacancy of Grade – III.

9.2.3.1 For Coat & Wrap job and Gas Dispatchers, science graduates (B.Sc.) shall also be considered for promotion to executive cadre provided they have 12 years experience in Coat & Wrap and Chart Reader/Computists in Gas Control Department. Once promoted they shall be eligible for being considered for promotion upto Grade-V.

9.2.4 Employees having less than 16 years of Education in Group II shall not be promoted beyond Grade-V. For secretaries, parking periods are defined below:

a. Grade-I = 2 Years
b. Grade-II = 3 Years
c. Grade-III = 4 Years

d. Grades IV/V = 6 Years in each grade

Secretaries will be considered for promotion without appearing in PAT and marks for appraisal reports will be 80 against vacancy of Grade-IV.

Re-designation of Secretaries is not allowed due to different promotion criteria and pre-requisites for promotion followed during their career.

Note: Cut-off date is 30.06.2025 for implementation of the amendment of re-designation of secretaries.

9.2.5 For promotion of executives of Group-III the minimum qualification of executives shall be as under:

9.2.5.1 Finance/Accounts/Audit/Billing - CA/ACMA

B.Coms / CA (Inter) / CMA (Inter) in Group III shall not be promoted beyond Grade-V.

9.2.5.1.1 However,ACCA/M.Coms/MBAs (Finance) from reputed universities in Group-III will be eligible for promotion upto Grade-VI only, provided they meet the required promotion criteria.

9.2.6 Graduates in Group-IV shall not be promoted beyond Grade-V.

9.2.6.1 However, MBAs (IT) from reputed universities in Group-IV will be eligible for promotion upto Grade-VI only, provided they meet the required promotion criteria.

9.2.7 "An executive in Grade I–III, who possesses or acquires CA/ACMA (all Parts) qualifications, will be given the benefit of accelerated promotion. For this purpose he/she will be allowed a remission of a maximum of 4 years service in terms of eligibility period to reach Grade IV from the date of his initial appointment / promotion into the executive cadre allowing his up-gradation to the next higher grade(s) in a manner that he reaches Grade-IV by having served an aggregate of 1 year instead of 5 years in Grade-I to III to reach Grade-IV subject to vacancy and suitability."

9.2.8 Special Compensatory Policy

An executive whose career path is blocked on reaching the highest grade/level within his department due to absence of higher grade positions within that department and due to technical and specialized work of his own department and who is otherwise qualified for promotion after completing the requisite parking period and meeting the promotion criteria may be recommended for a one time up gradation of the position to the next grade under Special Compensatory Policy for Compression, Telecom, and IT/MIS Departments and Coating Plant.

The salient features of the Special Compensatory Policy are as follows:-

- Such executive will be given a one time promotion to the next grade, after approval of the Competent Authority, comprising of:

  a) Increase in salary @10%

  b) Perks of next grade i.e. allocated vehicle & fuel entitlement.

- Such promotion will be allowed only once in the career of the executive.

- The reporting line of such an executive will however remain as per approved Organogram.

- He/ She will exercise all administrative and financial powers of his/her new grade.

- Once such executive leaves the Company or transferred to other department, the position shall be relegated to the original grade.

9.3 All promotion cases are recommended by a Promotion Committee that assesses the suitability considerations of a candidate for a required role as per Promotion Criteria approved by BOD (**Annexure-H**).

Table III – Promotion Approval Authority

Grade	Competent Authority
VIII-X	Board of Directors (BOD) with Human Resource, Remuneration and Nomination Committee Recommendations.
I-VII	Chief Executive (MD/CEO) with Promotion Committee Recommendations.

9.4 Seniority

9.4.1 The seniority of an executive shall be reckoned in relation to the executives belonging to the same service, cadre whether serving in the same department or office or not but within the four main groups of establishment mentioned in Para 1.5.

9.4.2 Four separate seniority lists of the groups shall be maintained to determine the group-wise seniority of executives up to Grade VI whereas Master Seniority irrespective of the groups for grades VII to X will be maintained.

9.4.3 Seniority of an executive in a grade shall take effect from the date of his continuous service in that grade.

9.4.4 If two or more executives are appointed to a grade on the same day, then their seniority in that grade shall be determined on the basis of their seniority in the next lower grade.

9.4.5 The seniority of an executive, who has been confirmed after completing his period of probation, shall count from the date of his initial appointment in that grade.

9.4.6 Where all factors are equal, seniority will be determined according to age.

10.00 Transfers

10.1 The services of an employee may be transferred to any office within the Company, or to any associated / sister concern, whether existing or established in the future, at Company's discretion. The purpose of transfers from the job rotation perspective is to develop and train employees for their career growth and have a sufficient pool of trained resource in each area or department. However, transfers should not unduly disturb the combined skill set of a department or cause operational issues.

10.1.1 Transfer to Any Department/ Location:
Transfer can be made to any department on operational requirements with approval of the MD/ CEO – refer to clause No. 1.5.2 (Cross Group Movement). The Executives are expected to put in their best efforts to fulfil the requirements of assigned role.

10.1.2 MD / CEO may re-designate any executive (upto Grade-VII) as Officer on Special Assignment (OSA). For Executives of Grade-VIII and above, the matter will be referred to the HRR&NC/ Board for posting as OSA. Status of OSA(s) will be reviewed biannually for further assignment/ posting.

10.2 **Temporary Transfer** The Chief Executive may depute an executive on duty outside his/her station of posting and order him/her to reside at a temporary station for a period not exceeding three months. In such cases the executive will draw Halting Allowance as per his/her entitlement. However, if cumulative period of temporary transfer in case of two or more temporary transfers exceeds the period of three months, within six months period, no Halting Allowance will be applicable beyond the defined limit of three months.

10.2.1 The Management will endeavor to keep Succession Plan in place and arrange regular promotion processes to fill the vacancies in timely manner. If need arises, MD/ CEO can sparingly assign the charge (additional/ acting) of a vacant position of DMD/SGM/GM/HOD/In charge to an executive for a maximum period of 90 days. The executive entrusted the charge should be of same grade or one grade lower (senior most in his/her grade, relevant executive in case of lower grade) than the respective position. The Management will try to fill the position during this interim period through permanent transfer or initiation of promotion/recruitment process. In case the position cannot be filled within the defined period, the matter will be referred to HR,R&NC/ Board for way forward to fill the position including the options of promotion or external sourcing. The extension in period of additional/ acting charge will be approved by HR,R&NC.

10.3 **Joining Time** The time allowed to an executive in which to join a new post or to travel to or from the station to which he/she is posted shall be seven (7) days. This joining time of seven days shall not be prefixed or suffixed by privilege leave. In case the employee immediately reports to the concerned station without availing his leave of seven days (joining period), he would be allowed to avail such leave afterwards but not later than 2 months. The joining time shall not be admissible in case of transfer at own request. If transfer is made within the same city, then no joining time will be applicable.

10.4 Job Rotation

10.4.1 Job rotation is an essential part of career development. It is the systematic movement of employees from job to job within an organization for giving employees the opportunity to explore alternative career paths and to increase their productivity by being cross functionally trained to achieve company goals.

10.4.2 This policy deals with the job rotation of the executives of the company. The diversified nature of job positions of the company necessitates the need to develop a comprehensive plan that caters the movement of specialized job position holders by rotating them within department or different location of the same department, and general management and other non-specialized positions where employees can be rotated within department or between departments of the same group.

10.4.3 Cross group, movement of candidate is recommended only in case of non-availability of suitable candidate of that respective group.

10.4.4 **Applicability:** The job rotation policy is applicable to all executives of Grade-I to Grade-VI.

10.4.5 With exemption of some specialized departments/jobs, no executive shall hold the same position for more than five years.

10.4.6 Executives of following departments shall be rotated within their departments being specialized department(s)/location(s)

- Telecom
- Compression
- IT/MIS
- Coating Plant

However, the HR,R&NC may exempt any other department from the rotation policy.

10.4.7 **Responsibility:**

Responsibility for implementation of this policy is shared by concerned Head of Department and General Manager (HR).

10.4.8 **Modus Operandi:**

Minimum duration after Job rotation is one year. For application of Job Rotation all the positions are divided into two categories.

Specialized Positions (Specialized positions are the job positions which require specific expertise / qualifications and experience achieved over a period of time that cannot be readily replaced).

Non-Specialized Positions: (Non-specialized positions are those which do not require specific expertise and qualification)

Job Rotation for Specialized Departments

The HoD of specialized departments as mentioned above shall propose a rotation plan for their executives within their departments. The concerned shall identify a position for which they shall be rotating executives to groom their junior level executives for that particular position. The HR department shall then hold a meeting with the concerned HoD and Senior General Manager / DMD concerned along with Senior General Manager (HR) to finalize the internal rotation plan.

10.4.9 **Job Rotation / Succession for Specialized (Core) Positions**

The HODs of all departments to prepare a list of their specialized (core) positions and identify incumbents, of other departments of same group who can eventually fill the particular position by rotation / succession. HODs will share their recommendations with concerned DMD for endorsement. The recommendations will be forwarded to the HR department for further action. Transfers / re-designation as a consequence of rotation policy shall be subject to approval of MD/CEO.

The purpose of job rotation is to develop and train employees for their career growth and have a sufficient pool of trained resource in each area or department. However, while making rotation plan following factors shall be considered:

- Job rotations should not unduly disturb the combined skill set of a department or cause operational issues.

- The department should not run short of subject specialist that the process efficiency is impaired.

- The proposed rotation should not affect succession plan.

- The next position should commensurate with the employee qualification/specialization.

- The proposed rotation should be necessary to develop employee skills relevant to their future succession.

10.4.10 **Job Rotation for Non-Specialized (Non-Core) Positions.**

Executives posted in non-specialized (non-core) positions can be rotated to any other department within their group of service. HR department to prepare a department wise list of executives who are working on the non-specialized positions for more than (5) years. These lists of all departments of a group shall be shared with all HODs of respective Group so that suitable replacements can be identified by them in case of rotation of executives of a department. HODs will share their recommendations with concerned DMD for endorsement. The recommendations will be forwarded to the HR department for further action. Transfers / re-designation as a consequence of rotation policy shall be subject to approval of MD/CEO.

10.4.11 **Implementation:**

The HR department shall roll out the transfers/posting by preparing and issuance of transfer orders of the Executives to be rotated after approval of the Management for non-specialized departments.

The HR department shall forward the finalize plan to the Management for approval and subsequently advise the concerned for implementation after it has been accorded approval for specialized departments.

11.00 Succession Planning

11.1 Succession planning is an essential tool used by SNGPL to develop people for current or future senior management positions and to focus on employees with high leadership and management potential. Consistent performers who demonstrate flexibility and adapt well to the dynamic business environment find the best opportunities for developing their career with SNGPL. Other factors affecting career development include: professional qualifications, experience, ability, and the availability of suitable vacancies within the organization.

11.2 The main purpose of succession planning at SNGPL is to prepare and maintain an inventory of “ready now" managers that can be placed into top management positions. These positions typically comprise of Grade-VIII & above. It is a key tool used by top management for talent mobilization, organizational development, and strategic planning. In case succession planning fails, any executive at any of the above-mentioned position may be taken from outside. Succession plan for the positions of Grade VIII, IX & X will be prepared by HR Department and monitored & approved by the Committee

comprising of MD/ CEO, DMD (S), DMD (Ops) and SGM (HR). Human Resource, Remuneration and Nomination Committee will prepare, monitor & approve succession plan for the position of MD/CEO on similar lines as HR Department for all other positions.

11.3 **Procedure for Succession planning:** The succession plan shall include the following:

11.3.1 Position Identification
11.3.2 Successors Identification and Gap Analysis
11.3.3 Planning and development
11.3.4 Succession planning Tracking and Review

11.3.1 Position Identification:

11.3.1.1 HR department to initiate the process by identifying the key positions for succession planning purposes within SNGPL.

11.3.1.2 HR department shall compile a final list of key positions. HR Senior management shall also set the succession planning criteria by collecting and analyzing Job Descriptions for the identified positions, company goals, strategic challenges that key positions face, and the requisite competencies and skills required for success.

11.3.1.3 The HR department shall forward the succession criteria to the Committee.

11.3.1.4 Examples of this criteria may be one or more of the following:

- Successors must be best-fit having necessary skills and competencies to handle the identified Key Position.
- Successors must show a high degree of motivation to develop their career.
- The Successors must not have received any major penalty during last three years.
- If not presently serving in respective service group, the Successor must have previously served in the respective service group for more than 5 years during service.

11.3.1.5 The Committee shall review and approve the succession planning criteria.

11.3.2 Successor Identification and Gap Analysis:

11.3.2.1 HR department shall review performance data from the Performance Appraisal Process of all potential Successors. This stage avoids bias and ensures that successors are picked in an effective and consistent manner across the company.

11.3.2.2 HR department shall prepare a draft list of potential successors, and discusses the list with the concerned SGMs and Departmental Heads.

11.3.2.3 The concerned SGMs and HODs shall review and discuss the list of potential successors and shall forward it to the Committee for approval through HR Department. Additional potential successors, not

previously included, may also be identified based on one or more of the following factors:

- Past & current performance indicators.
- Recommendations from their current HODs.
- Feedback from candidate's supervisors.
- Ability tests, assessment centers or team exercises.
- Academic qualifications.

11.3.2.4 HR department will compile the final list of successors that contain the approved nominees and will also identify the competencies required by the key positions.

11.3.2.5 HR department shall compare the details of each successor to these competencies required by the key positions and develops Gap Analysis Study. This process will result in a clear understanding of the gaps between successor skills and abilities and the requirements of future positions.

11.3.3 Planning and Development:

11.3.3.1 HR department shall analyze the successor's data (competencies and performance levels) against the key position requirements. This will give a clear picture of the potential of each successor and will allow the matching of every successor against one or more of the key positions.

11.3.3.2 Based on Successor Competency Gap Analysis, HR department will develop draft Successor Development Plan for each successor. The Successor Development Plan shall define all the activities required to build the necessary experience and competencies, and specify by what date these actions must be completed. These development activities may include training, specific work-experience and even education diplomas or certificate studies. Training needs from Successor Development plan will be shared with Training and Development Department (SNGTI) who will arrange necessary trainings accordingly.

11.3.3.3 The Committee shall review and approve Successors Development Plan and budget.

11.3.3.4 The approved Succession Plan is confidential document and cannot be shared with the identified Successors.

11.3.3.5 The Human Resources Department will update employee record into HR System.

11.3.4 Succession Planning Tracking and Review:

11.3.4.1 HR System will record the progress of each Successor Development Plan. This Progress will be analyzed and reported to SGM (HR).

11.3.4.2 SGM (HR) will review the reports and the same will be presented to the Committee for review. The Committee will review the succession plan periodically.

11.3.4.3 HR department shall maintain a succession plan on the prescribed format**.** The HR department shall take necessary steps to ensure confidentiality of this document.

12.00 Personal Information and Privacy

12.1 All personal information provided to SNGPL is kept confidential and used purely for the maintenance of personal records, payroll and benefit administration, strategic human resource planning, and career development purposes. Employees are required to provide accurate and current personal information and notify their Line Managers about changes to any of the following, who in turn are responsible for updating such information with the Human Resources Department:

- Legal Name
- Home address and telephone number
- Marital status
- Dependant details
- Emergency contact details
- Academic/professional qualifications

12.1.1 Employees may be provided access to their personal files ***by periodically updating Personal Data Forms*** to ensure accuracy of personal information. However, the information made available to them will exclude statements of intention such as salary forecasts, career plans, references sent in confidence, and similar items.

13.00 Office Attendance

13.1 All employees are required to mark attendance through biometric or electronic mean or any alternate procedure adopted by the Company from time to time. This is to ensure proper record keeping and ease of reference. The attendance should be marked as a notation of the arrival and departure times even if an employee comes into the office on a holiday. If this attendance procedure turns out to be a cumbersome practice, an electronic check-in on a given workstation at any office may be used to facilitate the above process.

14.00 Dress Code

14.1 Employees should be aware that their attire is a reflection of their professionalism as well as that of the organization. A professional business appearance together with a high standard of personal hygiene is expected of all employees. For example, an appropriate dress code for men includes at the very least dress trousers, a collar shirt, and dress shoes. Employees should be conservatively dressed, neat and well groomed while on duty. As an alternate option, employees may also wear a formal *Awami* dress such as *Shalwar Kameez* with waistcoat. ***Female employees are also expected to be dressed in a proper and dignified manner***.

15.00 Safety and Security

15.1 SNGPL is committed to maintaining a safe and secure working environment for all employees and visitors. Every effort is made to ensure office equipment and all safety devices are in proper working condition. Employees have an equal obligation to adopt safe working practices and to familiarize themselves with the emergency procedures in case of fire or other emergency requiring evacuation, practice drills of which will be conducted regularly during the course of a year. In addition, employees are strictly forbidden from bringing any firearm or threatening object to work.

16.00 Notice Periods

16.1 During the probationary period, either, the employee or the Company may terminate employment without assigning any reason, subject to a resignation notice period of one (1) month or payment of ***one (1) month's remuneration*** in lieu thereof. Following confirmation, the notice period requirement will be three (3) months from either side or payment of ***three (3) months remuneration*** in lieu thereof. In exceptional circumstances, a waiver of the notice period may be granted by the Managing Director/CEO upto Grade-VII & HR,R&NC / Board for grade VIII and above.

In case an employee applies for a job in any other organization without obtaining NOC from the Company, his/her request for waiver of notice period shall not be accepted. Moreover, if such employee applies for a job in the Company in future, his/her request for re-employment shall not be entertained.

17.00 Exit Formalities

17.1 **Interview.** All outgoing employees must appear in an exit interview which will be conducted by HR Department. This is a formal discussion aimed at receiving honest and worthwhile feedback for the Company to continuously improve the work place and work practices adopted so as to ensure talent retention. Exit interview form (**Annexure-I**).

17.2 **Employment Certificates**. Service Certificates will be provided to employees on their request by the HR Department. Any request for employment references or for the verification of employment certificates should be forwarded to the Human Resources Department that will arrange for the same.

17.3 **No Objection Certificates**. HR department will provide certificates to employee on their request. The employee may request NOCs for obtaining passport/ visa or for any other purpose by stating the purpose in writing.

17.4 **Clearance of Dues**. Upon confirmation that an employee is leaving the service of the Company, all documents, property, and materials need to be properly accounted for that had any association with the incumbent. In this effect, the concerned Department is to issue a "liabilities/ clearance certificate" on behalf of the employee and forward it to HR Department that is to forward the same to Payroll for necessary accounting. After approving the liabilities/ clearance certificate, HR will prepare a final clearance certificate and inform the concerned Department. Payroll will also receive a copy of this certificate from HR to prepare any outgoing staff dues as a final settlement.

18.00 Cessation of Service

Cessation of service may result under any of the following conditions:

18.1 Termination / Dismissal
18.2 Retirement, Early Retirement
18.3 Death
18.4 Retirement on Medical Grounds
18.5 Resignation

18.1 **Termination/Dismissal**. Services of confirmed employees may be terminated by the Company on a three (3) month's notice or on payment of remuneration for the same period in lieu thereof. Services of probationary officers may be dispensed with a one (1) month's notice or remuneration in lieu thereof. SNGPL reserves the right to suspend services of an employee that is either declared unfit by its Medical Board or due to his /

her poor performance evaluation and recommendations of Line Managers / supervisors. SNGPL also reserves the right to dismiss without notice from service any employee that is found guilty of misconduct or any fraud on behalf of the Company or abetting consumers in pilferage of gas, doubtful integrity etc. (see Disciplinary Policy).

18.1.1 An executive who has been convicted by a Court of Law for a criminal offence including moral turpitude may be removed from service forthwith. No notice of termination of service will be necessary in such cases. However, if the concerned executive is exonerated by the appellant court, he / she will have the right to be reinstated with back benefits.

18.2 **Retirement & Early Retirement** An employee may request to retire upon completing twenty (20) years of continuous service in which case he will be eligible for all terminal benefits. Such request will be subject to approval of the Competent Authority i.e. MD/CEO (upto Grade VII)/BOD (Grade VIII & above).However, retirement is mandatory upon attaining the age of sixty (60) years.
(see Retirement Policy).

18.3 Death. If an employee dies in service ***and whose period of service on the date of death exceeds ten (10) years,*** he / she is deemed to have retired from service, and the family will be entitled to all regular retirement benefits mentioned in this policy.

18.3.1 Notwithstanding the above, in case of death on duty due to terrorist attack, widow/widower or one son or daughter of the deceased to be given job in company within 30 days commensurate to qualification and skill set. Initially, he/she will be appointed as paid trainee and confirmed subject to meeting standards required for the position.

18.4 **Retirement on Medical Grounds**. If an employee has already exceeded the period of sick leave and subsequent to that, the prolonged illness period, being still medically unfit to return to work in the view of the Company's Medical Board, the employee may be retired on medical grounds. Other conditions for mandatory retirement may apply when the Company's Medical Board declares an employee unfit for service without having availed the sick or prolonged illness leaves mentioned above. ***Upon retirement on medical grounds employee will be entitled for full terminal benefits.***

18.5 **Resignation**. As in most organizations, this remains as the most common method of separation / cessation of service. In resigning, an employee is to abide by the Company's notice period and exit formalities mentioned in the previous sections. In addition, the employee must submit a resignation letter addressed to his / her immediate line manager or supervisor detailing reasons for resigning and the last proposed date of work. This letter must be submitted at least three (3) months prior to the actual projected date of separation to allow for all other exit formalities ***as per SOP*** to take place and more significantly, recruitment of an appropriate replacement.

18.5.1 No resignation shall be deemed effective during the pendency of any disciplinary proceedings (except proceedings due to un-authorized absence) *against the executive.*

19.00 Variations to Terms of Employment

19.1 At any given time, SNGPL retains sole right to alter the terms and conditions of employment, including and not limited to the duties and responsibilities of an employee. The employee may be required to undertake reasonable duties, other than those for which he / she were originally hired to perform.

Compensation Policy

21.00 Statement of Intent

21.1 SNGPL pursues a compensation philosophy of establishing and maintaining consistency and equity within the organization as well as aligning its overall remuneration policies with the marketplace. It believes in attracting and retaining talent through a combination of monetary and non-monetary rewards and incentives. Accordingly, SNGPL places itself amongst the better paymasters within the industry and continuously endeavors to improve the level of job satisfaction of its employees through learning, development and making SNGPL the best place to work.

22.00 Job Evaluation

22.1 SNGPL has assigned a grade level to all jobs after a thorough job evaluation exercise. It is essential to be familiar with SNGPL's approach towards and the methodology used for evaluating a job since the results of the evaluation in conjunction with market data, determine the overall compensation for a particular position. Job evaluation is a process, which results in the internal ranking of jobs within an organization. It establishes an orderly, rational, and systematic structure of jobs based on their relative worth within the Company. Jobs that have similar levels of responsibility have similar grades, however, this does not mean that they are necessarily paid the same; rather they are valued the same within the Company.

23.00 Job Grades

23.1 SNGPL's grading structure comprises of ten (10) job grades that make up the executive staff of the Company. The process of allocation of jobs to these ten grades (***see Table-IV***) is an objective evaluation of the value contributed by an individual position to the organizational objectives. It is pertinent to note that positions that fall within one grade may originate from different departments of SNGPL. The purpose of having a grading structure is to assign appropriate levels of remuneration to each job grade as elaborated upon in the following section on compensation.

Table IV – Executive Job Grades

The document outlines a grade management structure, presenting a hierarchy of positions and job titles across different levels. At the **Top level**, the highest position is Deputy Managing Director – Grade-X. Following this are the Senior General Manager – G-IX (SGM), under Grade-IX, and Department General Manager – G-VIII (GM), under Grade-VIII. The next level is **Middle**, which includes (Dy. Chief) Engineer, Officer, Accountant, Secretary – G-VI at Grade-VI; (Senior) Engineer, Officer, Accountant, Secretary – G-V at Grade-V; and (Executive) Engineer, Officer, Accountant, Secretary – G-IV at Grade-IV. The **Lower level** is composed of Engineer, Officer, Accountant, Secretary – G-III at Grade-III; and Engineer, Officer, Accountant, Secretary – G-II at Grade-II. Finally, the lowest level is represented by Officer, Accountant, Secretary – G-I at Grade-I.

24.00 Compensation

24.1 In order to formulate and establish a competitive compensation structure, SNGPL evaluates its remuneration package viz. a viz. competitors and aligns compensation to the market ***after 2 years.*** The market survey findings represent remuneration offered by major players in the market for various jobs and are interpreted in terms of SNGPL's size and structure.

24.2 SNGPL's compensation policy revolves around the concept of salary ranges, which can be identified as a range defined by two figures corresponding to the minimum and maximum salary levels for each job grade respectively (see Table-V). Results of regular market studies provide figures that are representative of these ranges as recompense earned by individuals in a particular job / industry type.

25.00 Application

25.1 SNGPL undertakes ongoing exercises to determine whether its employees are spread evenly across the individual salary ranges. The desired pattern of the spread is one where most of the employees are placed near the mid-point or average of the salary ranges mentioned above with Exceptional/ Poor (E) performers abiding above and below the mid-point, respectively. It is SNGPL's intent to actively move towards this ideal stage by fine-tuning its compensation package for successive grades

26.00 Salary Structure

26.1 SNGPL's salary structure is re-evaluated through market survey for the following objectives:

- To substantially increase the take-home salary of each executive.
- To bring the compensation level closer to the prevailing position in the companies operating in the Oil & Gas Sector in the country.
- To restructure the existing policy with progressive market practice.
- To adequately cater for providing improved financial prospects during career advancement.
- To be tax effective and efficient

26.2 The salary package (SP) takes into account total compensation offered by SNGPL to its employees. This figure may be adjusted from time to time by the Company in response to prevailing market trends to maintain the competitiveness of the salary structure and to keep pace with the effects of inflation. SNGPL's current basic salary scales are as follows:

Table V – Pay Scales w.e.f. 01.07.2022

(In PKR Per month)

The table in the source document presents salary ranges for different grades, from Grade I to Grade X.

- **Grade X** has a basic salary range from 565,000 (Low) to 3,272,440 (High), with a mid-point of 1,918,720.
- **Grade IX** has a basic salary range from 270,000 (Low) to 2,228,670 (High), with a mid-point of 1,249,335.
- **Grade VIII** has a basic salary range from 205,000 (Low) to 1,184,805 (High), with a mid-point of 694,903.
- **Grade VII** has a basic salary range from 148,000 (Low) to 1,007,585 (High), with a mid-point of 577,793.
- **Grade VI** has a basic salary range from 110,000 (Low) to 664,310 (High), with a mid-point of 387,155.
- **Grade V** has a basic salary range from 81,000 (Low) to 451,525 (High), with a mid-point of 266,263.
- **Grade IV** has a basic salary range from 63,000 (Low) to 343,880 (High), with a mid-point of 203,440.
- **Grade III** has a basic salary range from 49,500 (Low) to 287,270 (High), with a mid-point of 168,385.
- **Grade II** has a basic salary range from 45,000 (Low) to 255,100 (High), with a mid-point of 150,050.
- **Grade I** has a basic salary range from 37,630 (Low) to 221,960 (High), with a mid-point of 129,795.

The grades are presented in descending order, from the highest grade (Grade X) to the lowest (Grade I). Each grade has three salary points: Low, Mid, and High. The data shows that the higher the grade, the higher the salary range.

Salary Structure under (SP) refers to: Basic Salary plus all fringe benefits such as housing, utilities, conveyance allowance, Company car (taking into account petrol, maintenance, insurance & driver wages), club membership (max of Rs. 1.5 million during service only), group life insurance, medical expenses etc. as per entitlement.

For executives who reach the maxima of their existing pay scale, separate allowance titled *"Personal Pay"* will be allowed to the extent of capped/denied gross salary. The amount of this *"Personal Pay"* accumulated over the years, will **NOT** form part of "Basic Salary" during service. Basic Salary component of Personal Pay will however be admissible to be included in emoluments reckonable for terminal benefits on superannuation.

26.3 A 20% MD/CEO post allowance of the basic salary will be given to an incumbent holding acting charge for the position of MD/CEO upon the position falling vacant.

27.00 Performance Award

27.1 Performance Award may be introduced as per policy which may be approved by the Board of Directors from time to time.

27.2 An executive having completed minimum two years confirmed service in the Company

may be granted a Performance Award on making a positive and tangible contribution to the efficiency of the Company's working. The case for grant of performance award can be initiated by the Area Incharge/Head of Department and will be presented before the committee comprising DMD (Services / Operations), SGM (Concerned), SGM (HR) and GM (HR) to firm up recommendations. These recommendations will be forwarded by the Management to Human Resource, Remuneration and Nomination Committee for consideration and approval. Performance Award will be granted at the following rate:

The source document presents a grade management structure that outlines performance awards at different levels.

- **Levels VII–X** are categorized as the **Top level**, with performance awards of one basic salary up to a maximum of Rs. 175,000/-.
- **Levels IV–VI** are categorized as the **Middle level**, with performance awards of one basic salary up to a maximum of Rs. 125,000/-.
- **Levels I–III** are categorized as the **Junior level**, with performance awards of one basic salary up to a maximum of Rs. 75,000/-.

This indicates that higher-level grades receive higher potential performance awards. The table groups several grades into three levels (Top, Middle, and Junior) and specifies a maximum award amount for each of these levels.

Not more than 10% executives of a department can be granted performance award in a

financial year. The restriction of 10% executives is not applicable where the number of executives in a department is less than 10. The executive once granted performance award will not be considered for this benefit in the same financial year.

The performance award shall not be granted for work done in normal course of duties. It shall only be granted only on the basis of cogent/ convincing reasons after determination of "positive and tangible contribution" that is further explained as under:

- Improved efficiency
- Workable solution to problems being faced by the Department / Company
- Handling smartly the awkward situation
- Contribution to UFG Control efforts
- Avoiding expected loss through diligent working
- Successfully undertaking assignments that are not part of defined KPIs of the concerned

Each case for grant of Performance Award will be brought before the Human Resource, Remuneration and Nomination Committee and the Board of Directors for information.

28.00 Long Service Award

28.1 SNGPL greatly values staff loyalty and commitment. To this end, the Company rewards employees with a token of appreciation on completion of years of service as mentioned in (Table-VI) below:-

Table VI – Long Service Award

The source document details the "Years of Service Token of Appreciation," which is awarded in the form of a **22-carat gold ring**, with the weight of the ring increasing with years of service. Employees receive an 8-gram gold ring after 10 years of service. After 15 years, they are awarded a 9-gram gold ring. For 20 years of service, the token is a 10-gram gold ring. At 25 years, the token becomes an 11-gram gold ring. Employees who complete 30 years of service receive a 12-gram gold ring, and after 35 years of service, they receive a 13-gram gold ring. The table shows a progression in the weight of the gold ring that is awarded, increasing by one gram for every 5 years of service beyond the initial 10 years.

29.00 Payment of Salary

29.1 Salary is paid monthly in arrears and is deposited by direct credit transfer to the employee's Bank account. Payment is made by the 28th of each month or the nearest preceding working day.

30.00 Salary Advances

30.1 As Company policy, salary advances are not granted, Exceptions with appropriate approvals would be in situations where an employee is expected to be out of station on annual leave when salaries are normally credited, and does not anticipate returning before the first of the following month.

31.00 Annual Increment

31.1 Salaries are normally reviewed once a year following the performance appraisal process. All increments are awarded on the basis of merit and are paid entirely at the discretion of the Company. SNGPL reserves the right to amend the review date in the future if required.

31.2 A percentage of basic salary *as per increment matrix* is usually given as an increment once a year to the Executive as per the rating achieved through Performance Management System. The effective date of annual increment is 1st of July every year. These increments are separate from any Performance Award that may also be awarded to executives depending upon their performance appraisal score. Note: Performance awards or increments are not a vested right of employees i.e. Management has final say in deciding such matters.

Increment Matrix

The source document presents a performance evaluation system, categorizing employees into performance levels from "Exceptional" to "Poor," each with a corresponding description mark range, rate of increment, and percentage of executives within that category.

- **Executives** rated as **"Exceptional" ("A")** achieve a mark of **4.00 and above**, receive a **10% increment**, and constitute **10%** of the executives.
- Those rated as **"Very Good" ("B")** are further divided into three sub-categories:
  - Scores from **3.75 – 3.99** receive a **9%** increment, representing **10%** of executives.
  - Scores from **3.50 – 3.74** receive an **8%** increment, accounting for **15%** of executives.
  - Scores from **3.25 – 3.49** receive a **7%** increment, representing **25%** of the executives.
- **"Good" ("C")** ratings include scores from **3.00 – 3.24**, with a **6%** increment, and comprise **30%** of executives.
- The **"Average" ("D")** category is split into two sub-categories:
  - Scores from **2.50 - 2.99** receive a **5%** increment, with **5%** of executives falling in this range.
  - Scores from **2.25 – 2.49** receive a **2.5%** increment, accounting for **4%** of executives.
- Finally, the **"Poor" ("E")** category includes scores **below 2.25**, receives **no increment (0%)**, and represents **1%** of executives.

This structure shows a clear performance hierarchy with incremental benefits correlated with higher ratings and the percentage of executives expected at each level.

- Any amount greater than this to be decided by the Management on the basis of the Company's financial performance for the year under review.
- 100% of inflation as declared in annual official Consumer Price Index (CPI). Adjustment to be given to all except those whose performance is rated "E".

31.3 An increment @ 7% will also be allowed to the executives who improve their qualification in their relevant field, higher than that of existing qualification, without proceeding on Study Leave after obtaining NoC. For the purpose of qualification CA/ACMA being professional qualification shall be considered higher qualification than a Masters degree. This increment percentage will be awarded to employees on every improvement in qualification after 28-11-2012 (maximum two times in a

career) and award date is as per approval of the Competent Authority.

32.00 Salary Deductions

32.1 The salary payable is subject to statutory deductions such as income tax. In addition, the following deductions may be made from salary:

- Deductions made with the written authorization of the employee for repayment of loans, salary advances etc.
- Adjustment of any over payment.
- For employee's unauthorized absence of duty / leave without pay.
- Upon termination of employment where annual leave taken exceeds the pro-rata entitlement.
- Any other legitimate deductions.

Leave Policy

33.00 Statement of Intent

33.1 SNGPL appreciates the importance of rest and recreation for the well being of employees and that contingencies arising from illness and unforeseen eventualities require employees to be away from work. It allows a leave of absence from active employment in such situations, bearing in mind the ongoing operational requirements of the Company. Leave cannot be claimed as a matter of right, however, when exigencies of service so require, the leave sanctioning authority shall have discretion to refuse leave of any description or to recall an employee before the expiry of his or her leave.

34.00 Eligibility

34.1 All employees are eligible to avail leave in accordance with the policies contained in the HR manual.

35.00 Annual Leave

35.1 Employees are entitled to thirty-six (36) calendar days of leave in a year at the rate of three (3) days per month. When public holidays or weekends fall within the leave period requested, they shall be included as part of the leave. However, an employee may schedule their leaves so as to align their start / end dates with public holiday (s). All leave requests are to be forwarded to respective Department Heads on SNGPL leave application forms (see **Annexure-J**).

36.00 Minimum Annual Leave Requirement

36.1 Annual leave may be availed at one time or may be divided and availed at various times during the year, subject to appropriate approvals. Assuming earned eligibility, employees are required to take at least Ten (10) working days of uninterrupted annual leave during each calendar year. Executive staff from Grade VII and above shall submit an advance plan for availing Annual Leaves at the beginning of the year to HR department through the HoD. Whereas all other employees are also encouraged to share schedule of their planned annual leaves at the beginning of a year, so that contingency arrangements for work handover are made in advance. There can be no departure from this minimum annual leave policy unless other prolonged absences (sickness, maternity leave etc.) have already satisfied the requirement for absence as such.

37.00 Annual Leave Accumulation and Encashment

37.1 The purpose of rest is defeated if annual leave is not availed each year. Therefore, carryover of leave beyond permissible accumulative limit of 60 days is not allowed under normal circumstances. Under exceptional circumstances that may warrant carryover for Grade I – VI & VII – X, an approval from the SGM (HR) and Managing Director/CEO respectively will be required. For executives leaving the Company after 12 months service or retiring on attaining the age of superannuation, encashment of leave may be granted up to a maximum of 60 days @ **100%** of gross salary.

37.2 At the end of the year, leave balance will be shared with executive.

38.00 Sick Leave

38.1 Employees are entitled to leave during periods of illness, up to a maximum of thirty (30) days during a calendar year. The leave will be granted when the Company doctor provides a medical certificate illustrating the condition of the incumbent. This leave shall neither be accumulated nor encashed. However, additional sick leave with full pay may be granted for up to ninety (90) days with recommendations of the Company doctor and treated as an extended sick leave.

38.2 Leave upto one (1) day maybe granted on medical grounds without production of a medical certificate, however, the Company still has a right to ask for a medical or doctor examination certificate if deemed so necessary. Sick leave in excess of entitlement will be treated as leave without pay, except in cases of prolonged illness.

39.00 Prolonged Illness

39.1 In the case of prolonged / serious illness, including conditions arising from an accident and supported by a medical certificate, extending beyond the normal and extended entitlement for sick leave, the balance of the annual leave will be adjusted against the absence. Thereafter, the employee will be allowed leave with full pay for a maximum period of ***one (1) Year***, with medical assessments made at the end of each three-month period. During this time, the employee should provide regular updates to management on his or her medical prognosis and make every effort to return to work as soon as possible. Any prolonged illness authorizations will have to be made by the Managing Director/CEO upon recommendations of the Medical Board and doctors involved in the treatment.

39.2 Whilst every effort would be made to accommodate an employee upon his or her return to work, it is understandable that positions cannot be left vacant indefinitely in an ongoing business. Accordingly, in case of prolonged illness, it may be necessary for the Company to make temporary or permanent arrangements to fill the ailing employee's position. Therefore, situations may arise where a suitable position is not available for the employee upon his or her return.

39.2.1 The Company will retain the option to retire the employee on medical grounds should the ailment be of a long-term nature taking more time than that allocated above.

40.00 Maternity Leave/Paternity Leave

40.1 Maternity leave will be available for female employees for a maximum period of ninety (90) days, up to three (3) times during the entire length of service with the Company. It will be permissible to take this leave in conjunction with annual leave.

40.2 Paternity leave will be available to employees for a period of 5 days on birth of child, up to 3 times during the entire length of service with the Company. It will be permissible to take this leave in conjunction with annual leave.

41.00 Hajj Leave

41.1 Pilgrimage leave is available to employees for *Hajj.* For performance of Hajj, the Company allows up to forty-five (45) days. Hajj leave may be availed only once

during an employee's entire length of service with SNGPL. Annual leave may also be availed by an employee in the year of his or her Hajj pilgrimage.

42.00 Ex-Pakistan Leave

Application for Ex-Pakistan privilege leave shall be submitted to HR Department through concerned Head of Department at least 15 days prior to commencement of leave. HR Department shall issue leave approval advice and a "No Objection Certificate" to the applicant after it is approved by the Competent Authority i.e. (Managing Director/CEO) where after the executive may proceed on Ex-Pakistan Leave.

43.00 Special Leave

43.1 In case of demise of an employee's spouse (wife / husband); leave of absence may be sanctioned to allow the employee sufficient time to adjust to the tragic loss and to make necessary arrangements in the household for children and or other dependents. For the said purpose leave entitlements have been separately defined for female and male employees as follows.

43.2 Owing to the religious requirement of *Iddat* female employees may be allowed up to one hundred thirty (130) days leave. Male members of staff however may be allowed upto ***thirty (30)*** days leave of absence. For this purpose, the concerned employees will need to produce a death certificate for approval of the leave by the sanctioning authority

44.00 Leave Without Pay

44.1 Leave without pay is not a matter of right but may be considered in exceptional circumstances such as unusual family obligations or unforeseen situations. It will not be granted unless the employee has first exhausted all annual leaves. Maximum time limit for leave without pay will be **(60) days** approved only by the MD **/**CEO. The MD/CEO may give exemption and grant leave without pay for any extended period deemed justifiable in a particular case. Privilege leave will not accrue during the period of leave without pay. An executive, who is sanctioned leave without pay beyond six months, shall lose entitlement to all terminal benefits except provident fund own contribution in case he fails to serve the Company for period equivalent to leave without pay after expiry of leave.

45.00 Study Leave

45.1 SNGPL encourages career development of its employees. The Company allows study leave equivalent to the duration of the course but shall not exceed 03 years for executives who have completed a minimum of two (2) years of service. The MD/ CEO may approve/ extend study leave up to one year in cases where original study leave was allowed for 02 years only.

45.2 The period of Study Leave shall be equivalent to the duration of the course but shall not exceed 3 years.

45.3 The course against which an executive applies for Study Leave should be relevant to his profession / discipline only.

45.4 Study leave will be granted only once in the entire career of the executive.

45.5 Applications addressed to the General Manager (HR) will be sent by the respective

Executives through their Heads of Departments. The concerned Head of Department will be required to verify that the course is relevant to the Executive's profession and that he can be spared without any relief for the period of leave applied for.

45.6 The Executive shall submit proof of his admission in the concerned Institute to the Company for this purpose. The management may from time to time directly solicit progress report from the university concerned**.**

45.7 The Company shall not be liable to incur any financial obligation in respect of the Executive during the period of Study Leave. The Executive shall not be entitled to salary etc., during the period of Study Leave except to the extent of accumulated Privilege Leave to his credit on the date of proceeding on Study Leave.

45.8 Grant of Study Leave to any Executive will be at the sole discretion of the Competent Authority.

45.9 An Executive sanctioned Study Leave must give an undertaking to serve the Company for period equivalent to study leave after the completion of the Course failing which he shall lose entitlement to all terminal benefits except provident fund own contribution.

45.10 The Executive on Study Leave will not be entitled to any increment or Privilege Leave.

45.11 After availing himself of the Study Leave the Executive will re-join the Company on the same or equivalent position from which he/she proceeded on leave, however, on completion of his/her course/obtaining degree from a recognized and reputable institute in the relevant field, he/she would be given one additional increment @ 7% of last basic salary.

45.12 The executive after availing Study Leave and on re-joining the Company would be given the benefit of his/her Study Leave and his/her parking period and requirement of annual performance reports (subject to at least one appraisal report) in his/her grade shall be reduced by an equivalent period of the degree he/she has obtained. On his/her eventual promotion if otherwise qualifying, he/she will retain his/her seniority with his/her peers in the next grade if any have been promoted during his/her Study Leave. The clause will apply in case the executive qualifies the academic course from a recognized National/International University of repute in a discipline directly related to Company business and the course has been pursued through regular classes.

46.00 Extension of Leave

46.1 As far as possible, employees should plan their leave and adhere to the annual leave schedule prepared for their department based on their own input. If an employee after proceeding on leave desires an extension for an unforeseen cause, he/she can apply for the same by sending a written request to their department head. Extension in leave will however be subject to approval of Competent Authority as per Table VII.

47.00 Overstay of Leave / Unauthorized Absence

47.1 Employees overstaying their sanctioned leave except under special circumstances that are deemed beyond their control (for which satisfactory explanation/evidence

must be provided) shall not be paid salary for the period of overstay. Any deliberate or intentional overstay, without reasonable justification, upto 10 days may be adjusted as Leave without Pay along with issuance of strict Warning with approval of the Competent Authority; and for more than 10 days, an employee will be liable to disciplinary action.

47.2 Employees are expected to be present at their place of work and contribute all their energies towards fulfilling their Company duties during normal working hours. Any unauthorized absence from work can constitute a prospective deduction from salary and / or lead to disciplinary action. Unauthorized absence from work for a continuous period of ten (10) days including absence in the case of leave applied for but not granted, or when overstayed for the same period after expiry of sanctioned leave, may as per management discretion, constitute misconduct and may lead to dismissal after holding disciplinary enquiry.

48.00 Encashment of Un-availed Leave of Deceased Employees

48.1 In case an employee dies in service, a payment of 100% of un-availed annual leave @ 100% of gross salary shall be made to the family of the deceased employee, taking in consideration any leaves accumulated on account.

49.00 Mode of Applying for Leave

49.1 Applications for all kinds of leave of absence should be made on the Company's prescribed Leave Application Form (refer to **Annexure-J**) as far in advance as possible. **The minimum time requirement for leave application of nine (9) days or more, to reach the leave sanctioning *authority fifteen (15) days prior to leave commencement.*** Where circumstances for absence cannot be foreseen the form must be completed immediately on resumption of duties. The completed application form should be submitted with proper documentation (wherever indicated) to the competent authority for the necessary approvals and subsequently, this authority should inform the employee regarding the approval or rejection of the same within **five (5) working days.**

50.00 Competent Authority to Grant Leave

The authorities competent to allow various kinds of leave are as under:

Table VII – Leave Sanctioning Authority

The source document specifies the **competent authority** for leave sanctions based on the employee's grade.

- For employees in **Grades VIII to X** and all executives holding statutory positions, the **Managing Director/CEO** is the competent authority.
- For employees in **Grades I to VII**, the competent authority is **Department Heads, SGMs (Senior General Managers), and Area In-charge**.

The competent authority must be in a grade category higher than the employee for whom the leave is to be sanctioned. This establishes a clear hierarchical structure for leave approval, ensuring that a superior in the grading system is responsible for sanctioning leave for those in lower grades.

50.1 The final approval will only take place after MD/CEO Secretariat for Grades VIII to X and the Human Resources Department for Grades I to VII have verified and approved an individual application and informed the respective sanctioning authority for the same.

Medical Policy

51.00 Statement of Intent

51.1 SNGPL regards its employees as its most valuable resource and accordingly assigns a lot of importance to the well being of its employees and their families. The Company recognizes that medical benefits give employees the peace of mind to focus on their job functions without having to worry about financial risks in the event of sickness or injury. Medical coverage forms an integral component of the total rewards package offered by SNGPL, in keeping with its stated compensation philosophy of offering a balanced and competitive remuneration package in order to attract and retain talent. To this end, SNGPL provides coverage for the cost of medical treatment for all serving as well as retired Company employees.

52.00 Eligibility

52.1 All employees and their family members are covered under the Company's medical policy. The word “family” shall mean parents, wife/husband and unmarried dependent children upto the age of 25 years. Medically incapacitated children requiring continuous medical support may continue to avail the free medical facility till the life-time of such a child. In case of an issueless Company employee; subject to having been married for over 5 years and confirmed service in the Company, one legally adopted unmarried dependent child up to the age of 25 years with proper guardianship shall be included in Family.

53.00 Entitlement

Entitlements can be grouped for four (4) types of medical coverage:

53.1 Consultation
53.2 Medication
53.3 Hospitalization
53.4 Maternity

53.1 **Consultation**. Consultation covers all medical expenses related to the cost of care provided by both general physicians and specialist alike. The Company provides free consultative services to an executive and his or her family by assigning a Company Medical Officer or such other doctor with whom prior arrangements have been made. Consultation will be provided at the Doctor's clinic or in case of illness that confines a patient to home, at his or her residence. Consultation may include specialist care if deemed necessary and recommended by the Company’s Medical Officer/Doctor.

53.1.1 General Company physicians will have regular hours to serve employees at either their own clinics and may not be available on Sundays or other national holidays, in which case any emergency care physician may be consulted if urgently required.

53.1.2 Executives on leave at other stations may avail the services of the Company’s Doctor at that station. Traveling expenses where required may be allowed.

53.2 **Medication**. All costs of medicine needed to treat patients will be fully borne by the Company. Company Medical Officers / Doctors are authorized to prescribe all

medication necessary for the treatment of an ailment. All medicine will be procured from the local market, however, in the event this is not possible, the Company may approve importing the medicine from abroad based on an individual case.

53.2.1 Repetition of prescriptions from doctor / specialists will not be accepted by Company except in cases relating to chronic ailments such as heart disease, blood pressure, diabetes, etc. and / or other prolonged illnesses.

53.2.2 Medicine expenses will be monitored monthly. Justification of high medical cost will have to be justified if ailment persists for more than (6) six months.

53.3 **Hospitalization**. Hospitalization due to sickness or injury is covered by SNPGL on the recommendations of Company's Medical Officer. Hospitalization entitlements and procedures are as follows:

53.3.1 Charges for room, board, and general nursing care including general physician and / or specialist visit as deemed necessary including dressings, ordinary splints plaster casts, drugs and medicines prescribed by the attending physician.

53.3.2 Pre and post operative laboratory tests, x-rays, electrocardiograms, physical therapy, oxygen, blood administration, and any other tests as required for a given ailment.

53.3.3 Operation theatre equipment charges, anesthesia charges, surgeon fees, charges for pre and post operative care, ICU and CCU charges, consultant fees, and any other hospitalization charges.

53.3.4 Most major government hospitals are on the Company panel as well as many private hospitals of good repute and facility. Prior approval of the SGM-HR must be solicited to avail treatment at a hospital / clinic not on the Company panel. Payment limits in such a case will be restricted to those prescribed by panel hospitals, any amounts exceeding such limits, shall be borne by the executive.

53.3.5 Employees are to obtain a reference slip from the Company's Medical Officer prior to being admitted into designated hospital for treatment. In exceptional circumstances or in cases of emergency, an executive may check-in the nearest available hospital and get necessary authorizations subsequently.

53.3.6 In cases of planned surgery or medical treatment facilities for which are non-existent in panel hospitals, the Company Medical Officer can refer cases to government hospitals and other private facilities where treatment is available. For such impending treatment / surgical hospitalization, employees are required to submit estimates from the hospitals and obtain the prior approval of the Company.

53.3.7 All executives are entitled to a full private room for the entire duration of their hospitalization. However cost should be a consideration in selecting room type, unnecessary / lavish arrangements should be avoided. Accordingly, the Approving Authority retains the discretion to disallow a room type if alternate reasonable facilities are available at lower cost.

53.4 **Maternity.** Female executives or wives of male executives are entitled for maternity benefits **on actual as per rates of Panel Hospitals.** This facility will be granted up to three (3) times during the entire length of service of the employee. As with any other medical coverage, the Company will **only** pay for charges at the designated hospitals on its panel.

53.4.1 Any maternity costs that are incurred beyond the parameters defined by this policy will be borne by the employee.

54.00 Benefits for Retired Staff

54.1 Medical facility is allowed to employees if they retire (early retirement) upon completing twenty (20) years of service, or early retired on medical grounds after completing at least ten (10) years service with the Company. Retired staff will submit medical consulting and / or medication bills for approval to the Administration Department of respective region on Company prescribed forms. For hospitalization, a pre-approval from Chief Admin Officer (Services) and Company designated physician will be required before admission. Exceptions may be granted in emergency situations depending upon the case.

54.2 SNGPL provides the same medical coverage for retired employees that it does for its regular employees except for employees who have retired before completing at least ten (10) years service with the Company, the widow / spouse of a deceased employee when remarried and children of retired executives over the age of 25 years.

55.00 Dispensation Process

General guidelines for dispensation / reimbursement of consultation, medicine, and hospitalization charges are listed below:

55.1 **Consultation.** Company Doctor / Specialist consultation including clinic visits and laboratory tests will be provided free of charge to SNGPL executives and their immediate family members (spouse and dependant children). Upon joining, each employee will be required to provide personal information to the Company on the particulars of their immediate family members and to continue to notify the Company of any changes that occur over time.

55.2 **Medicine.** All requests for medication reimbursement are to be supported by doctor / specialist prescriptions. Company Medical Officers shall not countersign any treatment slip or purchase receipt where prior reference was not obtained. The practice of over prescribing medicine is a direct violation of this policy and may lead to disciplinary action. Emergency medication purchased will be reimbursed only for a period of two to three days. As a general rule, all medicines accompanied by original prescriptions and purchase receipts will be reimbursed by the Company.

55.2.1 All executives to submit cash memos/prescriptions duly verified by Company Medical Officer.

55.3 **Hospitalization.** The following dispensation guidelines apply to all executive hospitalization:

55.3.1 Hospitalization charges for the duration of the period that the employee is

admitted will be settled between the hospital and the Company and employee's account settled after his / her release from the hospital. In cases where an arrangement of this nature is not possible, employees may opt for reimbursement of bills on a post treatment basis. Also in the event that the hospitalization expense is substantial and over an extended period of time, employees may bill the Company on a piecemeal basis to get reimbursed adequately to continue with the treatment.

55.3.2 At the time of discharge, the employee is obliged to check the hospital bill for any anomalies and sign it, prior to the hospital forwarding the same to the Chief Admin Officer (Services) for settlement. Such bills will be forwarded by the 10th of the following month as a common practice and will be duly supported by full documentation including Chief Medical Officer (CMO) / Doctor and HO verification. **Any bill received after one hundred and eighty (180) days will not be entertained for payment.**

55.3.3 For all hospitalization, a Company reference letter is to be issued for the medical institution where the employee is to be admitted. In case of planned surgery where a non-panel hospital is involved, the Chief Admin Officer (Services) will need to pre-approve the institution which must be a government sponsored or trust run hospital.

55.3.4 All hospitalization bills are to be verified first by the CMO involved in the original referral, then by the concerned Administration Department, and to be forwarded to Administration Department at Head Office for final processing all within a maximum seven (7) day period.

56.00 Emergency Treatment

56.1 In case of emergency, on holidays or at odd hours when Company designated doctors are not available, the ailing employees and eligible dependants may approach a Company designated hospital or any closest available facility directly for necessary treatment. Arrangements will be made with the hospital for extending medical help on presentation of the necessary Company identification, In emergencies; the employee is to inform the Company within twenty-four (24) hours of the emergency hospitalization.

56.2 Emergency is defined as a condition that warrants immediate medical attention or otherwise may result in a life-threatening outcome.

57.00 Treatment Abroad

57.1 Medical treatment in a foreign country is admissible to employees on an individual basis, if the treatment of the given ailment is not available in Pakistan, in accordance with the recommendations of the Medical Board.

- Medical Board to adjudge foreign treatment shall be constituted by Admin (Services) in any of Company panel/ Government hospital and comprise of following members:-

57.1.1 Medical Specialist (*A doctor who has specialized after MBBS in the field of General Medicine e.g. FCPS (Med.), MRCP, FRCP, Diplomat American Board of Medicine, etc. Medical Specialist will be required to give his opinion regarding general medical condition of the patient.)*

57.1.2 Two Specialists in the relevant field *(Specialists are doctors who have specialized in other specialties e.g. Surgery, Pediatrics, Cardiology, Cardiac Surgery, Orthopedic Surgery, Neurology, Neuro Surgery, Transplant Surgeries, etc.)*

57.1.3 Company Medical Officer as Convener of the Medical Board.

- Medical Board shall evaluate the case and make its recommendations along with basis thereof as to why treatment abroad is being recommended / not recommended.

- Only treatment expenses (advance/ reimbursement) of the patient (employee/ dependent) shall be covered in treatment abroad. No traveling/ lodging or any other expenses of the patient & his/her traveling companion/attendant shall be allowed.
- The case along with recommendations of Medical Board will be presented to the HR,R&NC for approval (prior approval only) of treatment abroad.

58.00 Exclusions

SNGPL shall not be liable to bear any expenses incurred by an employee or his / her eligible dependants in connection with any of the following:

58.1 Treatment of injury, sickness or disorder resulting from alcoholism, drug addiction, quarrels, fights or taking part in riot or civil commotion,

58.2 Provision of body building tonics and vitamins unless prescribed by Company's appointed doctor as a part of curative treatment in the course of a specific illness.

58.3 Provision of dentures, bridging & crowning. However, basic dental is covered for all executives.

58.4 Cosmetic or plastic surgery unless necessitated to correct traumatic injury occurring to an employee in the course of his / her employment that includes after work hour accidents.

58.5 Provision of hearing aids, spectacles. However, eye operation and replacement of lenses through surgery and outstation traveling where required will be allowed.

59.00 Approval Authority

59.1 An approving authority as per financial powers delegated by the Company individually approves medical bills of all regular employees at various stations. However, for retired staff and for staff posted in Lahore, approvals are centralized at the Medical Section of the Administration Department, Gas House, Lahore. The respective approving authority in the field will forward a consolidated statement of medical expenses approved or disbursed on monthly basis to the Human Resources Department, Gas House, Lahore, in a Company pre-approved format. The following table lists the competent authority for approving medical bills and subsequent reimbursement for same.

Table VIII – Competent Authority for Medical Benefits

The source document outlines **approval amounts** and their corresponding **approval authorities**. An **Admin Officer (AO) Grade I-III** can approve up to **PKR 500**. The next level of authority is an **Executive Admin Officer (EAO)**, who can approve up to **PKR 1000**. Following the EAO, a **Sr. Admin Officer (SAO)** can approve up to **PKR 1500**. The **Dy. Chief Admin Officer (DCAO)** can approve up to **PKR 2000**, and the **RM / Chief Admin Officer (CAO)** has the authority to approve up to **PKR 5000**. Approvals above **PKR 5000** require the authorization of the **Head Admin (Services)**. This structure shows a hierarchy of approval authority based on position, with increasing approval amounts as the level of the position rises.

The Management may alter these limits from time to time as deemed appropriate.

Travel Policy

60.00 Statement of Intent

60.1 SNGPL aims to provide employees traveling on the Company business with a reasonable level of comfort in their boarding and lodging arrangements at the lowest possible cost to the organization. Being mindful of the resources expended, travel should only be considered as an option when alternative modes of communication for conducting business (e.g. teleconferencing, electronic mail) are considered impractical or have proved unsuccessful.

60.2 The principal intent of the policy is that employees who incur such expenses should neither lose nor gain personal funds as a result of the business travel.

61.00 Definition of Business Travel

61.1 Business travel can be defined as being any approved travel undertaken either for training or with the specific aim of furthering the business interests of SNGPL that is reimbursed by the Company.

62.00 Eligibility

62.1 All SNGPL employees proceeding on approved travel on Company business or for training are eligible for reimbursement based on the terms of this policy.

63.00 Entitlement

Entitlements viz class of travel by air are stipulated in table below:

Table IX – Class of Travel Entitlement

The source document specifies travel class eligibility for official visits based on employee grade. **For grades VIII to X, employees are eligible for Sleeper ACC by Rail or Club Class by Air**. **For grades I to VII, employees are eligible for Sleeper ACC by Rail or Economy Class by Air**. This clearly indicates that higher-grade employees are entitled to more premium travel options, with **Grades VIII-X** being eligible for club class travel, and **Grades I-VII** being eligible for economy class. The common factor is that all employees are eligible for Sleeper ACC by Rail.

Whenever possible PIA – the National Flag Carrier should be used for travel by air. For destinations where PIA does not operate or its use is impractical and costs, other air lines may be used.

64.00 Air Travel

64.1 In case of non-availability of seats in a particular class and if the travel plans cannot be altered, approval may be granted for an upgrade. All reservations for air travel should be made through the local Administration Department no later than one (1) week prior to departure to ensure sufficient time for making suitable arrangements. Such requests highlighting exact travel dates / plans are to be

submitted on a travel authorization form (**Annexure-K**).

64.2 In case air travel is not an option, executives may travel by train / road and claim reimbursement of expenses i.e. fare in actual.

65.00 Own Boarding & Lodging Arrangements

65.1 If employees choose to arrange for their own accommodations with friends, family, or otherwise, they are entitled to a per diem allowance as outlined in the table below. This money would be in lieu of hotel accommodation, meals, incidentals, and all other expenses incurred as a result of the travel.

Table X – Own Accommodation Travel per Diem

The source document presents a structure for **Domestic and International Business/Official Visits** based on employee grade.

- For **Chairman, Director, and Senior Management** (MD/CEO, DMDs, SGMs), there are specific rates for official visits.
    - For **Domestic Business/Official Visits**, the rate is **Rs. 3,000/-** for **Grades VII-X** and **Rs. 2,000/-** for **Grades I-VI**.
    - For **International Business/Official Visits**, the rate is **US$ 650** for **Grades VII-VIII** and **US$ 400** for **Grades I-VI**.

This shows a distinction between domestic and international travel expenses, with different rates applied for different grade levels. The highest-ranking positions are grouped together for both domestic and international visits. There are different pay rates depending on whether the visit is domestic or international and the pay scales also vary based on employee grade. It's also notable that the highest level grades (VII-X) are grouped together for the domestic and international rates, and the lower grades (I-VI) are grouped together for the same rates.

The Management may alter these limits from time to time as deemed appropriate.

* These rates are applicable for all provincial capitals and Islamabad. For all other towns 50% of these rate shall apply for own arrangement or actual hotel bill for lodging or staying in a hotel.

** 15% of Daily/Halting Allowance to be given to cater for incidental expenses, tips and to meet business obligations of entertainment etc. To cover travels from Airport to Hotel & vice versa, an amount equivalent to 30% of Daily/Halting Allowance shall be paid in addition to above for each city visited officially.

66.00 Company Boarding & Lodging Arrangements.

66.1 **Accommodation.** SNGPL has negotiated corporate rates with quality hotels in most of the cities where business travel may be required. For grades VII through X, 5-star hotel accommodation will be admissible, and for grades I through VI, a 4-star arrangements will be admissible. After travel dates have been finalized, reservations are to be made through the local Admin Department in coordination with the Administration Department, (Gas House, Lahore) to ensure centralization and subsequent credit billing for proper rates.

Names of hotels for different cities to be approved by Management from time to time.

Table XI

Entitlement of executives who visit Company locations and/or are posted at construction sites and staying in Company Mess / Project Camps

The source document specifies daily allowance rates for domestic business or official visits, with different rates based on employee grade.

- **For Grades VII through X, the daily allowance is PKR 1,200.**
- **For Grades IV through VI, the daily allowance is PKR 900.**
- **For Grades I through III, the daily allowance is PKR 650**.

This shows a clear hierarchy in daily allowance amounts, with higher grade levels receiving a higher daily allowance for domestic business or official visits.

66.2 **Halting Allowance.** In the event that employees choose to stay at a Company recommended hotel or guest house, they would be entitled to a Halting allowance in lieu of expenses incurred for minor incidental expenses during the course of their stay. This per diem allowance is mentioned in the table below:-

Table XII – Company Accommodation Travel per Diem

The source document details allowances for **Domestic Business/Official Visits** and **International Business/Official Visits**, differentiated by the employee's grade and position. For **Chairman, Director, and Senior Management** (MD/CEO, DMDs, SGMs), the allowances are as follows: For **Domestic Business/Official Visits**, the allowance is **Rs. 3,000/-** for those in **Grades VII–X** and **Rs. 2,000/-** for those in **Grades I–VI**. For **International Business/Official Visits**, the allowance is **US$ 650** for **Grades VII–VIII**, and **US$ 400** for **Grades I–VI**. Additionally, for all employees, there are allowances for boarding, lodging, and meals: those in **Grades VII–VIII** receive **on actual upto US$ 650** upon production of bills, while those in **Grades I–VI** receive **Rs. 800/-** for domestic and **US$ 400** for international visits.

* 15% of Daily/Halting Allowance to be given to cater for incidental expenses, tips and to meet business obligations of entertainment etc. To cover travels from Airport to Hotel & vice versa, an amount equivalent to 30% of Daily/Halting Allowance shall be paid in addition to above for each city visited officially.

66.2.1 Limitation for Halting Allowance

i) Halting allowance may not be drawn for a period exceeding 21 days unless otherwise authorized by the Chief Executive.

ii) Halting may not be drawn for any day on which an executive does not reach a point outside a radius of 25 kilometers from his/her headquarters or return to his/her headquarters from a similar point.

66.3 **Room Service.** Hotel room service or mini-bar charges are not permissible expenses and if these charges are incurred, they would qualify as personal expenses except for Grades VII – X.

66.4 **Meals.** Expenses incurred for meals and minor incidental expenses during the course of stay and those related to entertainment would be reimbursed on submission of receipts.

66.5 **Laundry & Dry-cleaning**. Employees are entitled to utilize the laundry and dry-cleaning facilities at the hotel if their total travel time exceeds two nights. Ironing charges can, however, be reimbursed for shorter stays, albeit within reason. The overriding principle when incurring expenditures of this nature should be that they are reasonable and necessary.

66.6 **Telephone Calls.** Employees would be allowed one five-minute call to their home, for each day they remain out of station. However, not more than three calls per week will be allowed. Employees should be mindful of the high cost charged by hotels for telephone usage. All long distance telephone calls should be made from the Company's offices, wherever possible.

66.7 **Transport Expenses**. Employees who have been provided with a Company car are not entitled to claim transport charges from their residence to the airport and arriving during late nights. Where possible and available, the Company's pool car and driver can be called for. Reimbursement is generally not be made for travel from the airport to the hotel and back, as most hotels offer a pick and drop service and this facility should be utilized. However, this will be an admissible expense if personal arrangements for lodging have been made or if hotel in the city of travel does not have this arrangement. Employees are expected to utilize the vehicles available, if any, at the branch office in the city being visited. If this is not possible, transportation or taxi expenses for travel within the city may be reimbursed.

67.00 Transfer Allowances

The Company facilitates moving of its employees from one station to another by providing the following three (3) allowances:

67.1 Transfer allowance
67.2 Moving allowance
67.3 Transportation allowance

67.1 **Transfer Allowance**. For executives transferred from one station to another, a transfer allowance of one (1) month's basic pay is granted. The purpose of transfer allowance is to meet incidentals relating to relocating. Employee will be eligible for transfer allowance if the new station is more than 25 KM away from the existing station. This allowance is in addition to any other pay / allowances and may only be granted once for each move. If transfer is made within the same city, then no transfer allowance will be applicable.

67.2 **Moving Allowance**. The Company will pay for the moving charges associated with packers that are hired to move furniture, home appliances, luggage, and any other personal effects that belong to the employee and needed to be moved to the new address. Taking into consideration container / shipping costs, the Company offers ceilings on moving allowances as per the following table[1]:

Table XIII – Packing, Crating, & Moving Allowance

The source document specifies **Grade Entitlement** with varying amounts based on grade levels. **Grades VII to X** are entitled to an amount as per the actual requirement. **Grades IV to VI** are entitled to **up to PKR 30,000**. **Grades I to III** are entitled to **up to PKR 20,000**.

[1] No travel or other transfer allowances will be admissible to an executive who is being transferred on his / her personal request.

67.3 **Transportation Allowance.** For transfer, an executive will be entitled to and reimbursed for utilizing a mode/class of travel that is presently allowed for self and family under regular travel. For road journeys, a kilometer allowance will also apply to the transportation allowance.

68.00 Kilometer Allowance

68.1 Kilometer rates for car taxi, and / or public transport vary from time to time and are set by the Government of Pakistan. These charges may be accrued as per need basis and reimbursed upon presentation of proper documentation to the office of the Company where an employee is based. If personal vehicles and fuel is used reimbursement may be claimed at the rate of **PKR 15** per kilometer inclusive of vehicle wear and tear, fuel and others if any.

The Management may alter these limits from time to time as deemed appropriate.

69.00 Other Allowances

In addition to all of the above allowances, the Company also offers;

69.1 Journey advance for business travel
69.2 Retirement travel allowance to employees

69.1 **Journey Advance for business travel**. An employee who is required to travel on the Company business may be permitted to draw an advance to meet his or her travelling expenses at the discretion of the Department Head. This advance amount for business travel will be equivalent to the per diem allowed by the Company based on the respective grades of an employee and may not exceed the amount sanctioned for the maximum number of days authorized for travel.

69.2 **Retirement Travel Allowance**. An employee is allowed a one-time final moving, relocating travel allowance and one month's basic pay as per Para-67, to facilitate the journey at the place of his or her last posting to his or her hometown during leave preparatory to retirement on or after retirement.

70.00 Approval Authority

70.1 Before the commencement of all business travel, proper approvals and travel itinerary should be in place through the Travel Authorization Form (refer to **Annexure-K**). Approval authority for travel is listed in the table hereunder:

Table XIV – Travel Sanctioning & Approval Authority

The source document outlines a hierarchy of **Competent Authority** based on employee grade. The **Managing Director/CEO** is the competent authority for **Grades IX-X**. **Concerned SGMs** are the competent authority for **Grade VIII**. **Department Heads and/or Regional GMs/ RMs / Incharges** are the competent authorities for **Grades I-VII**.

70.2 Time Bar Claims:

A Travelling/ Halting Allowance bill submitted after two months from the date of completion of journey will be time barred. In special circumstances the Chief Executive may relax the provisions of this Rule.

Company Provided Vehicle Policy

71.00 Statement of Intent

71.1 SNGPL provides vehicles to certain members of its executive staff as a key component of their overall compensation package. The provision of this benefit is in line with the Company's remuneration philosophy of utilizing a competitive emolument package to attract and retain critical talent.

71.2 The principal criterion in determining eligibility will be appropriate recognition of an individual employee's position based on his or her skills, experience and market practice. Alternatively, vehicles may be assigned where mobility is a requirement of the daily business functions of a position.

71.3 The structure of this policy is designed so as to provide support to the employees in asset building. In addition, it affords a degree of independence to the employee in terms of the upkeep and maintenance of the vehicle, together with providing maximum benefit to the employee during ongoing use as well as upon cessation of service or renewal of vehicle.

72.00 Vehicle & Fuel Entitlement

72.1 All SNGPL executives in grades **VII** through **X** are entitled for Company provided vehicles and petrol sanction as mentioned hereunder.

Table XV – Vehicle & Fuel Entitlement

The source document details fuel allowances for different vehicle grades. The **Chairman of the Board and the Managing Director/CEO** are entitled to **450 litres** for a **Locally Assembled sedan car upto 1800 cc** with the best options available and add-ons. For **Grade IX and X**, the allowance is **360 litres** for a **Locally Assembled sedan car upto 1800 cc**. **Grade VIII** receives **270 litres** for a **Locally Assembled Toyota Yaris 1.3L ATIV CVT/ Honda City Automatic**. Finally, **Grade VII** is entitled to **220 litres** for a **Locally Assembled Toyota Yaris 1.3L ATIV MT / Honda City Manual**.

73.00 Repair and Maintenance Expenses

73.1 The Company will be responsible for all repair and maintenance expenses incurred in order to keep the vehicle in excellent running condition. This includes but is not limited to regular servicing / tune-up, change of tires, batteries and other parts as needed, and all repairs not covered by insurance. Prior to formally accepting the vehicle, the employee should examine it carefully and report any fault

74.00 Insurance & Taxes

74.1 SNGPL is responsible for providing insurance coverage and for payment of all taxes. However, the employee also has an obligation to ensure that these requirements are met and payment deadlines are adhered to.

75.00 Employee Responsibilities

75.1 Employees may make reasonable use of the vehicle for their private purposes. They are encouraged to regard the Company vehicle in their possession with a sense of proprietorship as they have the option of eventually owning this asset at a subsidized cost.

75.2 Employees have a responsibility to ensure that safe driving practices are adopted and all traffic rules are observed. Use of safety belts, if available, is highly recommended. The following are authorized to drive the Company vehicle provided they hold a valid driving license:

75.2.1 The executive to whom the vehicle is sanctioned
75.2.2 A professional driver engaged by the executive
75.2.3 Immediate family of executive (i.e. spouse and children)
75.2.4 Mechanics testing the vehicle for maintenance purposes

76.00 Accidents & Thefts

76.1 All reasonable precautions should be taken to guard against thefts and to prevent accidents. However, in the event the Company vehicle is involved in an accident or is stolen, immediate intimation must be given to the Administration Department. In addition, it is the employee's responsibility to ensure that all legal requirements are fulfilled in a timely fashion and the insurance company is notified. Administration Department will be the source of advice on all such situations.

77.00 Replacement

77.1 Company vehicles will normally be replaced after five (5) years from the date of purchase.

78.00 Buy Back Option

78.1 On retirement on superannuation or early retirement on completing 20 years of service, Executives will have the option to buy the car at 7 ½ % of original cost or book value whichever is higher.

78.2 At the end of 5 years term, the executive will be offered to buy back the vehicle that has been in his/her use for this period at 10% of original cost. New vehicle will be allocated to the executive as per entitlement.

78.3 In case of promotion of an executive, he/she may be offered to buy back allocated vehicle at 10% of original cost + book value of the vehicle at that time. New vehicle will be allocated to the executive as per entitlement.

79.00 Residential Accommodation

79.1 These Rules will apply to residential accommodation:

a) owned by the Company, and
b) rented by the Company for those executives for whom it is obligatory on the part of the Company to provide residential accommodation.

79.2 An executive of Transmission, Telecom or Compression & attached Departments, to whom accommodation has been allotted by the Company will be liable to the following deduction from his salary;-

For Executives Posted at Transmission Terminals:

The source document outlines bungalow entitlements and deductions based on employee grade. **Executives in Grade IV and above** are entitled to a **3-bedroom bungalow with an open lawn** and face a deduction of **Rs. 15,000 plus a utility allowance**. **Executives in Grades I to III** are entitled to a **2-3 small-size bedroom bungalow with an open lawn**, with a deduction of **Rs. 8,000 plus a utility allowance**. Finally, **all executives** are entitled to **bachelor accommodation (single room)** with a deduction of **Rs. 3,000 plus a utility allowance**.

For Executives Posted at Compression Stations excluding AC-6, Multan(T) and AC-8,Faisalabad(T):

The bungalow category is defined by different types of accommodations and corresponding deductions.

- Category A consists of a **3 Bedrooms with Open Lawn** and is designated for **Executives Grade IV and Above**, with deductions of **Rs.7,500 + Utility Allowance**.
- Category B includes a **2-3 Small size Bedrooms with Open Lawn** intended for **Executives Grade I to III**, with deductions of **Rs.4,000 + Utility Allowance**.
- Category C is for **Bachelor Accommodation (Single Room)** available for **All Executives**, with deductions of **Rs.1,500 + Utility Allowance**.

Above deduction is subject to revision (if required) after every three (03) years.

79.3 The accommodation allotted by the Company shall not be sub-let to anyone.

79.4 The allotting authority in respect of Company's owned or leased accommodation shall be the Chief Executive or an officer authorized by him.

79.5 The accommodation allotted to an executive will be used for the residence of the executive and his family only. It will not be used for commercial purposes.

79.6 Executives may not exchange the accommodation allotted to them without the prior approval of the allotting authority.

79.7 In the event of transfer, an executive will vacate the accommodation within three months of transfer, provided that:

a) If the executive is deputed on temporary duty to another station or proceeds for training, on completion of which he is likely to return to his original post, he may be allowed to retain the accommodation for the duration of the temporary duty or training as the case may be.

b) When an executive who has been dismissed, discharged or removed from service, prefers an appeal or petition against the order of dismissal etc., he may be allowed to retain the accommodation pending decision on his appeal or petition, otherwise he must vacate the accommodation provided as soon as possible but not later than one month from the date of dismissal.

79.8 In the event of death or retirement after more than 15 years of service, the executive or his family shall vacate the accommodation within six months of death or retirement.

In case of retirement of an employee, payment will be sought for this six month period either on monthly basis or will be deducted in advance through his/her final settlement of accounts. However, payment after death of an employee will not be sought from his/her family.

79.9 The allotting authority may cancel an allotment in respect of Company's owned or leased houses without assigning any reason and without providing alternative accommodation. In such cases the executive shall vacate the accommodation within 30 days from the date of the cancellation order.

79.10 An executive to whom accommodation has been allotted will not carry out any additions or alterations without the prior approval of the allotting authority.

79.11 At the time of taking over accommodation the executive to whom it is allotted will sign a receipt for all fixtures, fittings and furniture, if any. On vacating the accommodation he will hand over the accommodation to an officer of the Company authorized in this behalf together with all fixtures, fittings and furniture, if any.

79.12 An executive will be responsible for the proper maintenance of the accommodation allotted to him. Except for normal wear and tear, he may be liable to pay for any damage caused to the accommodation fixtures, fittings and furniture, if any, while in his occupation.

79.13 The infringement of any of the above Rules may render the allottee liable to cancellation of the accommodation allotted to him.

Mobile Phone Policy

80.00 Statement of Intent

80.1 Due to the exigencies of business, SNGPL requires certain members of management to remain accessible by colleagues and customers when out of the office. Mobile phones are therefore provided to such employees to enable them to remain in touch and thereby promote the smooth functioning of the Company's business.

80.2 The paramount consideration when determining eligibility for a mobile telephone facility is the need for accessibility of the employee. It is important to remember that this facility is assigned strictly on this basis and is NOT to be considered a perk of the position.

81.00 Eligibility

81.1 All executives in grades ***VIII - X*** are entitled to the facility of a mobile phone. In addition to senior management, the Company may allot mobile phones to certain types of positions that necessitate the use of the same. ***Management may also approve operational telephones for lower grades on case to case basis, where required***.

82.00 Entitlement - Billing

82.1 The limits *for various grades are as follows:-*

Table-XVI

The provided document outlines monthly and annual ceiling amounts for different grades. **MD/CEO** grade has a monthly ceiling of **Rs. 6,400** and an annual ceiling of **Rs. 76,800**. Grade **IX** has a monthly ceiling of **Rs. 5,850** and an annual ceiling of **Rs. 70,200**. Grade **VIII** has a monthly ceiling of **Rs. 4,800** and an annual ceiling of **Rs. 57,600**. Grade **VII** has a monthly ceiling of **Rs. 2,650** and an annual ceiling of **Rs. 31,800**. Grades **IV to VI** have a monthly ceiling of **Rs. 2,100** and an annual ceiling of **Rs. 25,200**. Finally, Grades **I to III** have a monthly ceiling of **Rs. 1,600** and an annual ceiling of **Rs. 19,200**. The grade levels descend from MD/CEO to I-III, with corresponding decreases in both monthly and annual ceiling amounts.

These limits are inclusive of expenses relating to calls, line rent, taxes, etc.

The Management may alter these limits from time to time as deemed appropriate.

83.00 Re-allocation

83.1 Each Department/Region has already been allocated a certain number of mobile phone connections based on their actual operational requirements. Following executives shall act as Competent Authority to allocate or reallocate the existing facility to the executives of their department:-

i) All the General Managers/Regional Managers in the Distribution Department.

ii) All the General Managers/ HoDs in Head Office.

83.2 The Authority shall also be authorized to withdraw this facility on transfer/change of assignment of an executive or due to any other operational reason.

83.3 Any additional requirement alongwith full justification shall be authorized by the respective SGM. In case where the HoD was directly reporting to the Managing Director/CEO, the Dy. Managing Director would authorize approval of additional mobile phones.

84.00 Connection Charges/Security Deposit

84.1 The Company will be responsible for all charges related to the activation of connection for a telephone line, which will be in the Company's name. The specific payment package chosen for each individual employee will depend on the expected usage and pattern of calls to be made. The security deposit or the underwritten assurance for credit limit required for the connection, if applicable, will be the responsibility of the Company.

85.00 Renewal of Contract

85.1 The period for contract with the cellular mobile company shall be one calendar year (January – December). Every year, in the first week of November, GM (Admin) shall invite fresh quotations from all the cellular mobile companies in the market. A committee consisting of GM (Admin) and GM (Telecoms) shall scrutinize and evaluate the lowest bidder. The Company with existing contract shall be given a chance to match the lowest bid, so that familiar phone numbers continue to be with SNGPL. Final recommendations of the Committee shall be forwarded to Managing Director/CEO for approval.

86.00 Settlement of Bills

86.1 The Company will be responsible for reimbursement of monthly mobile telephone bill. The excess amount incurred over and above annual entitlement will be deducted from salary of executive at the end of year.

87.00 Employee Responsibilities

87.1 Employees should exercise diligence in their use of this facility, according to which personal calls should be kept to a reasonable level. The priority should be to always use landlines wherever possible and at all times when the employee is in the office.

88.00 Replacement

88.1 The effective life of the Mobile Phone sets is 2 years, for executives provided iphone/ Samsung/ Blackberry or equivalent handsets. The Company would replace all sets after 2 years either by including in the Contract with the Mobile Phone Company or from its own resources. The price ceilings are as follows:-

i)	Managing Director/CEO	-	Rs. 350,000/-
ii)	Executives in Grade X	-	Rs. 250,000/-
iii)	Executives in Grade IX	-	Rs. 200,000/-
iv)	Executives in Grade VIII	-	Rs. 150,000/-

v)	Executives in Grade VII	-	Rs. 50,000/-
vi)	Executives in Grade IV-VI	-	Rs. 20,000/-
vii)	Executives in Grade I-III	-	Rs. 15,000/-

Respective department will ensure budgetary provision for purchase of mobile phone sets and payment of monthly bills.

The Management may alter these limits from time to time as deemed appropriate.

88.2 In case of 1st loss or damage prior to lapse of its effective life, executives provided mobile phone will bear 50% cost of the new set. In case of replacement of mobile set for the second time around during the prescribed period, the concerned executive will bear 100% cost of the new set.

89.00 Withdrawal/Discontinuation

89.1 At the time of retirement/resignation/death, ownership of the SIM shall be transferred to the concerned employee. The phone set may be retained by the concerned executive/employee.

89.2 On posting/transfer where new assignment does not require this facility, the respective Competent Authority, shall withdraw this facility and reallocate it to the next eligible person.

Business Code of Conduct

90.00 Statement of Intent

90.1 SNGPL believes the key to the proper functioning and maintenance of public and **stakeholder** confidence in the Company, is that employees perform their duties with honesty and integrity.

90.2 SNGPL requires its entire staff both in executive and subordinate cadres to observe the highest ethical standards in the conduct of its business activities to minimize the significant risk associated with non compliance. This policy is intended to assist SNPGL staff in meeting the standards of professional and personal integrity expected of them. SNGPL staff will act with honesty at all times, protecting and safeguarding the reputation of the Company. Any contravention of this policy will be regarded as misconduct (See Disciplinary Policy)

91.00 Code of Conduct

91.1 The Code of Conduct has been prepared for the use and guidance of all SNGPL employees. It clearly sets out the standards of professional behaviour that are expected and outlines the principles that should guide employees in maintaining the highest professional level of ethical conduct.

91.2 In all facets of employment, individuals are required to exercise as sincerely as possible, impartiality in the performance of their job(s) for the Company. The renowned reputation of the Company can be easily tarnished attributing to even the slightest substandard behaviour of its employees. It is for this reason, that SNGPL has developed this policy to direct individual behaviour in situations where an individual's personal interest may conflict with the interests of the Company or its customers.

91.3 All employees must avoid situations where there is a conflict of interest, as failure to comply with these ethical policies may render an individual liable to disciplinary action and even subsequent dismissal in an instance where a severe breach of policy occurs.

91.4 It is not possible to make a policy comprehensive enough to cover every eventuality; hence, staff should use common sense and remain conscious of their personal behaviour with respect to the Company and its operations. The following guidelines provide a business code of conduct within which all SNGPL executives must abide.

92.00 Confidentiality

92.1 During the course of employment with SNGPL, employees may have access to confidential information pertaining to the Company or its customers. As a matter of course, they are expected to maintain confidentiality and integrity of all such information during and after their employment with SNGPL. Within the Company, disclosure of such information must be limited to those persons whose duties require and permit them to have access to it. It may be noted that customer privacy is a basic principle of relationship management.

92.2 Employees should also guard against unintentional disclosure through careless handling of data. Desks and open areas should be clear of business related paperwork after business hours/ office timings and sensitive information should be

kept in a locked area. During telephone conversations, care must be taken to prevent outsiders from overhearing confidential information. Particular care needs to be exercised in handling of credit information and data given must be governed by acceptable standard practice. A supervisor must be referred to whenever doubt exists in the minds of staff.

93.00 Honesty & Integrity

93.1 Company employees shall not convert for their own personal use any funds or property which is not their own, nor should they assist another person in the misappropriation of such assets. SNPGL expects absolute assurance of its employees when it comes to honesty and integrity. Maximum caution has to be exercised in making sure that information given to customers is free of errors, making it as factual or candid as can be while protecting interest of the Company.

93.2 In particular, no funds or accounts should be established for a purpose that is not fully reflected in the books and records of SNGPL whether pertaining to receipts or disbursements.

93.3 SNGPL executives shall not indulge in speculative trading of shares of the Company, or of a company or companies under the management of SNGPL.

94.00 Personal Conflict of Interest

94.1 An employee must not engage in any activity that could result in a potential or perceived conflict of interest. Thus, an employee should not represent SNGPL in any transaction if the personal interests of the employee might affect his or her ability to represent SNGPL fairly and impartially. Any transaction by SNGPL that also involves a member of the employee's family must be brought to the attention of the Company management and authorized by the Company to be handled by another employee.

94.2 Employees should never become personally involved in any transaction, negotiation, or contract on behalf of the Company with an entity, a family member, or a friend in which they have an interest, without full written disclosure and prior consent of SGM HR, Head of Compliance / Audit, and / or individual Department Head.

95.00 Exchange of Gifts

95.1 **Receiving**. It is the Company policy that no gifts should be accepted from customers or suppliers. Having said this, potential donors of gifts should be informed as politely as possible regarding this policy. Since moderate hospitality is an accepted courtesy of a business relationship, recipients should not allow themselves to get into a situation where they might be influenced in making a business decision as a consequence of accepting such hospitality. However, where refusal of a gift would be regarded as an insult or where the return of a gift would be impractical, a gift may be accepted under the following criteria:

95.1.1 The gift should not be in the form of liquid cash.

95.1.2 The value of gift should not be higher than the nominal value i.e. PKR 2,000/- and Gift Report Form is to be submitted (**Annexure-L**).

95.2 **Giving.** It is also Company policy that no gifts should be given either directly or indirectly, or through third parties to promote SNGPL's political or economic advantage. Exceptions are made for gifts of nominal value that are given on the Company's behalf as common promotional goodwill.

96.00 Outside Employment

96.1 Any outside employment/ dual employment (part/ full time) or occupation, paid or unpaid is not allowed. Although, service by employees in a voluntary capacity for charitable organizations is encouraged, it does require approval even if there is no conflict with their work.

No employee without prior written approval of the Company (see Employment Policy) shall enter into any personal business venture.

97.00 Employment of Relatives

97.1 SNGPL permits the employment of relatives of employees provided they do not directly or indirectly supervise, control, or influence the work of one another and have no say in the other's performance evaluations, salary recommendations, and disciplinary actions.

97.2 The above restrictions are in place in order to eliminate any actual or potential conflict of interest in the exercise of the above authorities. All such relationships should be disclosed in writing to the Human Resource Department at the time of recruitment of the relative. A relative is defined as follows: husband, wife, child, parent, brother, sister, parent-in-law, brother / sister-in-law, son / daughter-in-law, any blood relation or individuals residing in the same household.

98.00 Personal Loans from Colleagues & Customers

98.1 SNGPL offers a handsome compensation package with fringe benefits to facilitate staff with maintaining a respectable standard of living and for the acquisition of various assets and as such allows them to borrow sufficient monies from their lenders. Therefore borrowing money from fellow colleagues, customers or placing oneself under pecuniary obligation to a moneylender or broker or subordinate Company staff or any other person or group having dealings with the Company is strictly forbidden.

99.00 Media Communications

99.1 If an employee wishes to write any article or give an interview that may be construed as representing SNGPL's position, prior written approval must be obtained from the Managing Director/CEO. All other contacts with the media should be reported to the Company immediately, including any type of acting, television appearances, etc.

100.00 Taking Part in Collective Agitation and Political, Religious or Subversive Activities

100.1 No political activity that interferes with employment by the Company should be carried out by any SNGPL employee. Nor should an employee utilize Company facilities and material in the pursuance of political end.

100.2 No employee should collectively or through an association agitate for purposes of agitation of demands relating to their remuneration or terms and conditions.

100.3 No employee should propagate any religious or sectarian creeds or take part in such controversies that are likely to affect his / her integrity in the discharge of his / her duties, to embarrass the Company, or to create feelings of discontent or displeasure amongst the Company's employees.

100.4 No employee should indulge in provincialism, parochialism, or willful abuse of his / her office.

100.5 No employee should propagate views of political parties during working hours at the establishment or bring – or attempt to bring – political or outside influence, directly or indirectly, to bear on the Company or any employee of SNGPL in support of his / her claim or intervention on his / her behalf in any matter.

101.00 Reporting Legal Violations

101.1 If an employee becomes aware of any improper, unethical or illegal conduct on the part of a colleague, he / she has a moral obligation to report it immediately to their Department Head or Line Manager. Situations that may cause concern include but are not limited to the following: any action that is detrimental to the reputation or profitability of SNGPL, any action that undermines employee or customer rights, any action of abetting consumers in pilferage of gas; any action that may qualify as misconduct as defined and explained in this policy; and any illegal action. The Company prohibits any retaliatory action against an employee for reporting in good faith, any suspected violations of proper conduct.

102.00 Use of SNGPL Information Technology Resources

102.1 Use of SNGPL **Information Technology** resources is strictly limited to business requirements. Employees should be aware that e-mails are not confidential and may be accessed for monitoring purposes. Any breach of IT security protocol that involves private business use or unsuitable material will be considered as a misconduct. Employees will be accountable for all activities created under their password and subsequently, any unauthorized use of a password will be treated as gross misconduct.

103.00 Personal Telephone & Mail

103.1 SNGPL understands that it is occasionally necessary to attend to personal matters during office hours. However, employees should restrict their overall personal use of telephones and computers at the workplace towards urgent and unavoidable issues.

103.2 Mail received through SNGPL facilities is assumed to be for the necessary conduct of the Company's business and may be opened as deemed appropriate. Employees should avoid having their personal mail addressed to the Company. SNGPL does not hold any responsibility if a confidential document is opened which may result in inconvenience to the addressee. Any offensive or graphic mail or that of a personal / private use should not be sent on any Company address or computer terminal. Violation of such will also result in a breach of appropriate conduct at the Company

and may result in subsequent disciplinary action.

104.00 Health Safety and Environment

104.1 Each executive at SNGPL must take reasonable care to ensure the health and safety of both self and others who may be affected by his / her acts or omissions at work. Staff members should not tamper with or misuse any item belonging to the Company to secure the safety, health, and welfare of its staff and protection of the environment.

104.2 All SNGPL staff is to operate Company facilities **in a manner**, so as to ensure trust of their surrounding communities, **thus contributing directly to the Company's Corporate Social Responsibility (CSR) Policy**. Employees should promote resource conservation, and waste minimization. The Company also has a **comprehensive** Health Safety & Environment Policy and referrals should be made to the policy for guidance in atypical matters pertaining to the same.

105.00 Post Employment Obligations

105.1 During the course of employment, employees might obtain confidential information with regard to SNGPL or the business interests of the Company's clients. Hence, upon cessation of employment, employees have a moral obligation to be bound by the following restrictions:

105.1.1 For a period of three (3) months after cessation of service, an employee may not without SNGPL's prior written consent, on their own account or on behalf of any other entity, canvass, or solicit business from any client of the Company, in respect of the services provided by SNGPL.

105.1.2 Immediately upon cessation of services or in a prior preparatory period towards the same, a departing employee must ensure that information about the possession of all company property entrusted to him/her during service is returned to the company and every effort is made to facilitate and support such process.

105.1.3 Upon separation from service, employees should not use or disclose any confidential information concerning SNPGL's business which may have been acquired by them during the course of their service.

106.00 Compliance and Corporate Governance

106.1 It is the personal responsibility of each employee to understand and comply with SNGPL's Code of Conduct to protect the interest of the Company. The Company requires all employees to confirm in writing, their understanding and adherence to this Code. Executives should ensure that their subordinates understand the requirements and any violations should be immediately brought to the attention of SGM (HR).

106.2 SNGPL fully cooperates with all government and regulatory bodies and is committed to high standards of corporate governance. The Company complies fully with its obligations under the Listing Rules of all Stock Exchanges on which the company is listed.

107.00 Breaches in Code of Conduct

107.1 Breaches of the Code of Conduct can have serious implications for the Company. They can result in reprimands or penalties by regulators or other law enforcement agencies and cause reputation risks if such a breach becomes public knowledge. It is very important, therefore, that the employees of SNGPL are aware of such consequences and take immediate remedial action as soon as they witness a violation in the code. Incidents that lead to a breach of conduct or regulation of the Company must be identified, documented, and resolved. Each department or business function must take responsibility for training its staff and informing them of the Code of Conduct and procedures that relate to reporting a breach in the same.

108.00 Reporting Procedures for Breaches in Code of Conduct

108.1 In the event that a breach of code of conduct is observed which may result in a direct financial loss, regulatory sanction, or reputation damage to the Company, the following action steps must be taken:

108.1.1 The event must immediately be reported to the concerned Department Head, SGM HR, and Head of Compliance who will then advise jointly on remedial action and escalate the matter to the Managing Director/CEO and / or to any other relevant parties as necessary.

108.1.2 Thereafter, for each such breach, the affected department or business function must promptly complete a formal SNGPL Breach Report and send it to the Head of Compliance / Audit (**Annexure-M**).

108.1.3 The relevant regulator(s) must be promptly notified of such breaches in consultation with the Head of Compliance / Audit and Department Head, with appropriate explanations.

108.1.4 A complete review of the circumstances leading to the breach must be undertaken by an independent authority, either within the department or concerned business function or by an investigation team appointed by the respective Department Head, SGM HR & Compliance / Audit if the matter is considered to be relatively serious.

108.1.5 Where the review indicates a need for change in controls, procedures, or processes, it must be documented to show that it has been implemented and subsequently reviewed for effectiveness.

108.1.6 Appropriate communication must be sent to all concerned employees and departments to ensure that there is no recurrence of this nature and that the amended procedures are clearly understood by all.

108.1.7 Media Affairs Department must be notified in advance if it is anticipated that the incident may result in negative media coverage. While this section of the policy is largely intended to cover the process for reporting of breaches and remedial action taken, it is important to note that the Company takes a serious view where there is good reason to believe that a breach occurred as a result of deliberate misconduct or carelessness. In such circumstances, appropriate disciplinary action will be taken in line with the policies laid within this HR manual.

Disciplinary Policy

109.00 Statement of Intent

109.1 SNGPL believes in promoting fairness, transparency, and consistency within its human resource policies. The Company aims to promote orderly behaviour amongst all its employees in order to foster an organizational culture defined by excellence and professionalism. The Company encourages staff to improve their conduct or performance where there are shortcomings, in order to meet the specified criteria and standards required.

109.2 The Disciplinary Policy has been developed to provide a framework that may lead to improvements in performance and conduct. Its primary aim is to ensure that employees maintain the high standards expected of them in the work place and assist management in implementing its objectives through fairness and consistency thereby, assuring effective operations within the work environment.

110.00 Scope of Policy

110.1 The Disciplinary Policy is applicable to all SNGPL executives. It is the policy of the Company to ensure that all employees are aware of the contents of the policy and related disciplinary procedures.

110.2 The Company recognizes that there will be occasions where employees may commit acts of omission or if the behaviour of an employee is deemed inappropriate, will need to be corrected. To ensure internal consistency in the handling of such issues and compliance with the relevant legislation, the Company believes that a written disciplinary policy is appropriate.

110.3 The Company encourages all disciplinary issues to be handled as soon as they come to notice. Where management undertakes disciplinary action, its intention is principally to ensure that breaches of the policy in case of under-performance are handled in a fair and uniform manner and without unnecessary escalation.

111.0 Conduct and Performance Expectations

Breaches of SNGPL standards of conduct or required performance may justify disciplinary action and tend to fall into the following three (3) categories:

111.1 Inadequate Performance
111.2 Tardiness & Absenteeism
111.3 Misconduct

111.1 **Inadequate Performance**. After receiving on-the-job training, employees are expected to achieve and maintain performance standards that are satisfactory for the job concerned. These performance standards are defined as job objectives that are also part of the Company's performance monitoring and management process. Consistent failure to achieve the stated objectives in a particular role could inevitably lead to disciplinary action. **An executive who receives two consecutive Poor (E) ratings in the APR or any person whose integrity is considered doubtful shall not be retained in the Company.**

111.2 **Tardiness and Absenteeism**. In the event that an employee has an unacceptably high frequency of absences or is consistently late for his / her assigned work schedule, action will be taken. Unauthorized and habitual absences will also be investigated immediately by respective line managers and employees asked to provide legitimate explanations for the same. If an evidence or explanation provided is deemed unsatisfactory, it would be categorized as ***misconduct/***violation of disciplinary rules of the Company and would subsequently warrant disciplinary action.

111.3 **Misconduct.** Any willful breach or non-observance of SNGPL/ relevant prescribed rules/ regulations and policies shall constitute misconduct. Alternatively, lapses in the expected standards of reasonable behavior and conduct may also be considered as misconduct.

Examples of misconduct include but are not limited to:

111.3.1 Failure to carry out management instructions

111.3.2 Deliberate breach of the Company's policies including disseminating information to any outside office without approval of Competent Authority

111.3.3 Any act or threat of physical violence or abusive behavior towards either people or Company property/ record

111.3.4 Bullying or harassment

111.3.5 Intimidation or incitement of others to disobedience

111.3.6 Engaging in immoral behaviour! sexual harassment

111.3.7 Habitual negligence or neglect of work

111.3,8 Misuse of Company's property, facilities, and assets

111,3,9 Making false/ misleading statements

111.3.10 Theft, fraud and deliberate falsification of records

111.3.11 Deliberate damage to or misuse of Company equipment and resources, including abuse of the email or telephone systems or intentional access to inappropriate internet sites (porn, gambling, etc,)

111.3.12 Willful insubordination

111.3.13 Taking or giving bribes or any illegal gratification

111,3.14 Bringing the Company's name into disrepute or acting in a manner harmful to the Company's interests

111.3.15 Serious incapability whilst on duty brought on by alcohol, illegal drugs or other substances

111.3.16 Serious negligence that causes unacceptable loss, damage to property, or injury to others

111.3.17 A deliberate and serious breach of Company's Employment Policy

111.3.18 Absence without approved leave for more than ten (10) working days

111.3.19 Conviction for an offence detrimental to the Company's market reputation.

111.3.20 Partaking in embezzlement of Company funds or being in possession of financial resources or property disproportionate to his/her known sources of income.

111.3.21 Engaging in, or reasonably suspected of being engaged in illegal politics or subversive activities or being associated with others engaged in subversive activities.

111.3.22 Two consecutive "**Poor (E)**" ratings in the AAR.

111.3.23 Abetting consumers in pilferage of gas.

111.3.24 Doubtful integrity.

111.3.25 Corrupt or may reasonably be considered corrupt because

- he/she is dishonest or is involved in embezzlement or
- he/she or any of his/her family members is in possession of pecuniary resources of property disproportionate to his/her known sources of income or
- engaged or reasonably suspected of being engaged in illegal / anti state politics or subversive activities or is reasonably suspected of being associated with others engaged in subversive activities and his/her retention in service is considered detrimental to the maintenance of services with which the Company entrusted him/her.

111.3.26 An employee will not directly or indirectly associate with and/ or provide financial aid/ assistance to any religious/ political outfit banned by the Government of Pakistan.

111.3.27 Engagement in some other employment paid or unpaid simultaneously on full/ part time basis.

111.4 The above is not an exhaustive list and other instances of similar magnitude or nature may also constitute misconduct as per discretion of management. Misconduct outside the Company (e.g. conflict of interest, immoral/ unlawful activities) also render the employee liable to disciplinary action and would certainly do so if they constitute a criminal/ civil offence.

111.5 Any Executive who receives two consecutive "Poor (E)" ratings in the AAR or any person whose integrity is considered doubtful shall not be retained in the Company. Similarly, services of employees who are found abetting consumers in pilferage of gas will be terminated immediately.

111.6 Any executive convicted by Court of Law for a criminal offence including moral turpitude may be removed without notice of termination. If eventually exonerated, it is his right to be reinstated with full back benefits.

112.00 Disciplinary Procedure

112.1 The Company promotes the holding of any type of initial dialogue / discussion with an employee to ascertain the problems and possible causes for the shortcomings in standards of behaviour before issuing formal warnings. Disciplinary action procedure is initiated only when informal discussion has failed to resolve matters, or when the misconduct is of a serious nature and requires immediate investigation and action.

112.2 **No resignation shall be deemed effective during the pendency of any disciplinary proceedings against the executive except for unauthorized absence.**

112.3 An executive who after resigning absents himself/herself without permission from duty within the notice period before acceptance of resignation by Company in writing may be liable to disciplinary action for misconduct.

112.4 Depending upon the nature of the misconduct, the disciplinary process will be initiated. Dismissal not normally is an option in the event of a first breach of discipline unless the infraction is of a serious nature. However, the management has discretion regarding the stage of the procedure to initiate and the employee should have no expectations that all stages will be followed in order.

The following are **four (4) stages of disciplinary procedure** at SNGPL:

112.4.1 Stage 1 - Oral Warning
112.4.2 Stage 2 - Written Warning
112.4.3 Stage 3 - Investigation
112.4.4 Stage 4 - Disciplinary Action

112.4.1 **Stage-1 Oral Warning**. When a disciplinary matter arises, a line manager should establish the facts at hand and if appropriate, obtain any witness statements. Once this evidence has been presented to the incumbent in a confidential meeting, a formal oral warning may be given to the employee as stage one of the disciplinary procedures. The reasons for the warning should be clearly outlined together with the conduct or performance improvement required. The line manager will then prepare a written record of the meeting that will also be signed by the employee, a copy of which will be placed in the employee's personal file. Employee signature on this record will not indicate any agreement with action taken on his / her account; rather it will only acknowledge receipt of the corrective action. If an employee refuses to sign the corrective action, it will be noted on record that a copy was given to the employee and that he or she refused to sign the same.

112.4.2 **Stage-2 Written Warning**. If performance still fails to improve as per the standards required in stage one, the competent authority (MD/CEO for Grade I-VII and BoD for Grade VIII & above) may issue a written warning or charge sheet to the alleged employee in order to tender an explanation as to why action should not be taken against him / her for the alleged deviation from the disciplinary policy of the Company. The management will allow the accused to show reasonable cause within a period not less than three (03) days or more than fourteen (14) days from the date on which the charge sheet has been issued and communicated to the defendant.

112.4.3 **Stage-3 Investigation**. If the explanation submitted by the accused employee is not found satisfactory, then the competent authority (MD/CEO for Grade I-VII and BoD for Grade VIII & above) may appoint an inquiry officer senior in rank to the executive proceeded against or a committee as the case may be to investigate into the charges allowing the accused employee full opportunity for defense.

112.4.3.1 The inquiry officer may examine any oral or documented evidence in support of the charge or in defence of the executive as may be considered necessary and also be entitled to cross-examine the witnesses against the alleged employee.

112.4.3.2 The Inquiry Officer can choose to hear the case from day to day and no adjournment will be given except for reasons to be recorded in writing. Every adjournment, with reasons, will be reported forthwith to the Competent Authority. No adjournment shall be given for more than a week.

112.4.3.3 If the Inquiry Officer suspects that the executive proceeded against is hampering with, or attempting to retard, the progress of the inquiry, he / she shall proceed to complete the inquiry in such manner as he/she thinks best fitted to do substantial justice.

112.4.3.4 The Competent Authority may appoint a Board of Inquiry consisting of two or more persons instead of an Inquiry Officer under this rule. Where a Board of Inquiry is appointed, reference in this document to an Inquiry Office can be interpreted as reference to such a board

112.4.3.5 No TA/HA other than the normal entitlement shall be payable if the inquiry is held at a station other than the duty station

112.4.3.6 No party to an inquiry shall be entitled to be represented at the inquiry by an advocate/outsider**.**

112.4.4 **Stage-4 Disciplinary Action** Should the findings of the inquiry exonerate the employee, no further action will be taken and any curtailed allowances reimbursed / readjusted to original. On the other hand, if the accused is held guilty of the charges as per the facts brought out during the investigation, the competent authority will decide on the type of disciplinary action to be taken. The following is a short list of possible disciplinary actions:

112.4.4.1 Letter of warning

112.4.4.2 Fine upto 50% of the basic salary payable to an accused in a month

112.4.4.3 Forfeiture of pay of the period of unauthorized absence
112.4.4.4 Stoppage of annual (performance) increments

112.4.4.5 Recovery of the loss sustained by the Company

112.4.4.6 Reduction to a lower grade with no adjustment in salary

112.4.4.7 Compulsory retirement

112.4.4.8 Removal from service (does not disqualify for future reemployment)

112.4.4.9 Dismissal

112.4.4.10 Anyone of the above punishments may be awarded. However, forfeiture of pay as at clause 112.4.4.3 or fine as at clause 112.4.4.2 may be awarded singly or in combination with anyone of the other punishments.

112.4.4.11 The above is not a comprehensive list and punishments may vary depending upon an individual case and its subsequent ruling.

112.5 If an employee is removed or dismissed from service on disciplinary grounds, he/she will be entitled to only his/her own share of provident fund and interest thereon if applicable and he/she will not be entitled for the company's contribution and interest.

113.00 <u>Suspension from Work</u>

113.1 The management may decide to suspend an employee temporarily if:

- there is a strong prima facie case against the delinquent; or

- the charges are of such a serious nature that dismissal will be the probable punishment; or

- during the course of disciplinary inquiry his/her retention on duty would temper or frustrate the inquiry proceeding; or

- criminal case is registered against him/her and criminal investigation is under process

This suspension is not part of the disciplinary action, therefore should not be construed as such and will be given in parts but not exceeding **a maximum period of 45 days.** The suspended, employee, however, must be available to attend the office for meetings that take place as part of basic disciplinary procedure.

113.1.1 In case the executive who is placed under suspension is in Grade VIII to X, his case shall be referred to the next HR,R&NC / Board Meeting for

information.

113.2 Temporarily suspension is to be given by an order in writing to an employee specifying its duration or time for the ensuring investigation. Such investigations might include cases where there is a suspicion of any impropriety, potential dismissal for misconduct, need to gather evidence, major disagreement between employees, and or some sort of 'cooling off' is required. Suspension will not constitute a disciplinary action in itself and will be for as short a period as is practicable not exceeding the prescribed limit above

113.3 During the suspension period, a suspended member of staff will be required to co-operate fully with any investigation. Any reluctance or delay to do so will be treated as misconduct. Depending on the findings, a suitable disciplinary procedure may be invoked at any stage. Also during suspension, the employee shall not leave the station of posting without the prior permission of the Company.

113.4 It is mandatory that the employee must be advised in writing on the termination of suspension.

114.00 Application for Review

114.1 An executive who feels aggrieved by an order of punishment may prefer a petition in writing to revise the orders to his appointing authority, mentioning any additional grounds that he may have in support of his defence, such petition shall be made within 30 days of the date of such order of punishment.

115.00 Principles for the Disciplinary Procedure

115.1 SNGPL will ensure that each case is investigated as fully as circumstances permit before any action is taken.

115.1.1 At every state of the procedure, the reasons behind the disciplinary action will be fully explained,

115.1.2 The employee will be given sufficient time to present his or her case and explain the mitigating circumstances.

115.1.3 Written records of each stage of the disciplinary procedure will be maintained and retained in the employee's file.

115.1.4 All disciplinary proceedings, witness statements, and records will be kept confidential, subject to any legal or regulatory requirements binding on the Company.

115.1.5 An enquiry officer will be required to complete the enquiry proceedings and submit report within 15 days but not later than 90 days except for valid reasons beyond control of Enquiry Officer.

115.2 Where allegations of misconduct or inadequate performance prove to be unfounded on investigation, the employee thereafter will not be discriminated against or suffer any detriment as a result of such allegations having been made.

116 Insubordination

116.1 Insubordination is broadly defined as an unwillingness to submit to authority, either through an open refusal to obey an order, failure to carry out an order, or an attempt to undermine managerial authority. In the workplace, insubordination comes in many forms, such as:

i. Outright refusal to carry out an order without appropriate reason or justification
ii. Actively challenging or criticizing a superior's order
iii. Disputing or ridiculing authority which tends to damage the Company's interest
iv. Making threats, using abusive attitude or profane language towards superior

116.2 However if an order is inappropriate, or out of bounds, or if the employee has a legitimate reason for refusing to carry out an order, there may be some flexibility in interpreting the employee's response. Generally employees cannot decide for themselves which instructions they will or will not obey. If an employee has a complaint about management behavior, they should follow appropriate employee grievance process. Even though employees should rarely be allowed to challenge authority, there are some instances in which such a refusal is justified, including but not limited to the following:

i. Carrying out the order would endanger the health, welfare or safety of the employee and/or the other employees in the workplace
ii. Carrying out an order involves an illegal act
iii. The order is accompanied by religious, racist or sexist slurs

116.3 An employee who is guilty of insubordination shall be issued a show cause notice and if the employee fails to show appropriate cause, the employee shall be subjected to disciplinary action as laid down in disciplinary policy, after giving an opportunity to apologize and carry out instructions.

Performance Management Policy

117 Statement of Intent

117.1 SNGPL understands that the most important method of attaining and maintaining performance excellence in a Company lies in proper monitoring, appraisal and feedback of individual staff performance. To ensure optimum degree for coherence of Company objectives with individual performance objectives, it is paramount to first clarify expectations and performance standards and then review delivery of each employee. Proper alignment of compensation and benefits with employee performance is ensured only after a thorough comparison of employee performance with employee objectives.

117.2 SNGPL's performance management philosophy is based on:

117.2.1 Seeking out and identifying prospective management talent, and filling management positions with qualified personnel.

117.2.2 Providing opportunity and encouragement for present and prospective management personnel to develop themselves in all skills and to acquire broad business understanding and judgment in order to realize full management potential.

117.2.3 Measuring performance for value addition and rewarding performance to motivate and retain high performers and deal sternly with consistent underachievers.

117.2.4 Assuring that quality and quantity of management reserves are adequate for anticipated requirements.

117.3 This Performance Evaluation Policy has been developed to evaluate and measure performance of an employee in an objective manner in view of the above objectives. This policy allows SNGPL Management to accordingly propose and agree development and / or improvement initiatives in rewarding a staff member in line with their respective performance outcomes.

118 Scope of the Policy

118.1 All executives are required to go through the formal process of performance assessment according to the terms of this policy. The Performance Evaluation exercise is carried out at the end of each financial year. The Annual Appraisal Reports are to be completed within a maximum period of 90 days from close of the financial year.

118.2 SNGPL intends to be clear and explicit to its employees in matters that concern them directly or indirectly. All employees therefore have the opportunity to develop a thorough understanding of the performance review process beforehand, through this manual.

118.3 Two important points regarding performance management that need to be kept in view at all times are:

118.3.1 Performance management is a continuous process and the yearly exercise of completing the template to include revised/updated form (**Annexure-N**) is only a formal document and an agreement to this effect. In light of the same, line managers are required to continuously monitor performance and provide

feedback and coaching throughout the year instead of waiting for the year-end. (**Annexure-O & P**)

118.3.2 Performance Management is not a confidential or one- time annual appraisal report (AAR) of an employee by a line manager. Nor is it truly represented fairly by way of an annual confidential report (ACR). Rather, it is a two-way exercise in which employees must understand and agree with the contents of their performance and improvement objectives over a defined period of time with his / her Line Manager.

119 Template Features

119.1 SNGPL has one format for Performance Evaluation to rate employees depending upon which Grade they belong to. The template makes it possible to assign a rating on key features of an employee's job by evaluating performance against his / her expected targets and behavior as also mentioned in their KPIs.

120 Performance Evaluation Template

Performance evaluation consists of the following five (5) key steps which this template for senior executives is designed to capture:

120.1 Setting performance objectives and behavior expectations
120.2 Measuring performance against performance objectives - What's
120.3 Measuring performance against behavioral expectations - How's
120.4 Agreeing performance improvement objectives
120.5 Monitoring / feedback at regular intervals throughout the performance evaluation cycle

120.1 **Setting performance objectives and key behavior**. An employee's performance in a role is made up of two distinct components. The objective outcomes of the role and the way these outcomes are achieved. These two components can be best labeled as the 'What's' and the 'How's' respectively. 'What's' essentially are the key accountabilities of a role as defined in the key performance indicators (KPIs), whereas 'How's' stipulate the key behavioral expectations from the incumbent of a job. The formal presentation of the above expectations as presented in the JD provides a guiding light to the employee to work towards the achievement of such objectives and display of satisfactory behavior throughout the performance cycle. It is therefore, in the best interest of the employee to understand as thoroughly as possible his or her KPIs (**Annexure-O**).

120.2 **Measuring performance against what's.** The 'What's' primarily are 'performance targets' against key accountabilities that find their base in the JD, as previously mentioned. These are objective outcomes and define the essential purpose for existence of a role. These accountabilities are assigned relative weightiness according to their importance (time allocation) to the job, with the highest weightage given to the role that forms the fundamental reason of existence for that job. Performance against each of these is rated, moving from leading performance to inadequate respectively. The product of relative weightiness of a key accountability and an employee's performance rating against the same provides us with the weighted outcome against that accountability. All weighted outcomes are summed up to arrive at the overall performance rating of an employee against key accountabilities.

120.3 **Measuring performance against how's.** The 'How's' are 'behavioral expectations' and essential skills that an employee is required to exhibit and conform to in order to deserve the role he / she occupies.

120.3.1 Rating System

Exceptional A	Employee has mastered every element of the assigned position and is performing at a level well beyond that normally expected of the vast majority of experienced individuals with similar duties.
Very Good B	Performance is clearly and substantially above required standards and which occasionally excels.
Good C	Performs as per the required level, it encompasses good performance.
Average D	Employee meets some job requirements but performance is deficient in few areas, which will require effort and development to reach an acceptable level.
Poor E	Fails to meet acceptable standards of performance with respect to assigned duties and responsibilities thereby requiring immediate remedial action.

120.4 **Agreeing performance improvement objectives**. The evaluation process is followed by identification of areas for performance improvement and how these will be achieved. Accordingly, the line manager acts as a mentor to his or her direct reports and begins the process of coaching, counseling, training and regular feedback on performance improvement objectives agreed between the subordinates and himself. Identification of improvement objectives and follow up thereon is mandatory for all executives. A regular follow up on the agreed objectives is important feature to facilitate development of an employee and to enhance performance level. Alterations and adjustments in the set objectives may be required from time to time as needed by SNGPL.

120.4.1 **Reporting / Countersigning Authority**. The section (6) of the Performance Evaluation Template captures the individual comments and signatures of the Line Manager, Department Head, and Job Holder. Although this 'pen picture' section is the most subjective, it is also the most descriptive in capturing the exact comments between managers and their subordinates. The Promotion Committee also uses this section as a primary tool for determining the suitability of candidates for promotion to roles of higher responsibility.

120.4.2 In order to maintain a candid approach in performance evaluation, the template provides a provision for comments by the Line Manager, Head of the Business Unit and the Jobholder. The greatest benefit of this is that the executive may agree or disagree to the evaluation or parts thereof.

120.5 **Monitoring & Feedback**. Once completed, the Performance Evaluations are dispatched to the Human Resource Department that will prepare a summary for placing before the senior Management as well as the Promotion Committee of the Company. A copy of each evaluation will also be filed in the personal file of the employee. This is also true with the original spirit of performance management as an ongoing exercise.

120.5.1 When judging an employee with respect to performance evaluation, the Company has few considerations such as assessing the individual's performance in current role / job and his or her capacity for advancement in terms of specific organizational or functional levels / areas within SNGPL. A person's performance in the present job is only an indicator of fitness or lack of for a higher position. It is for this reason, that the performance evaluation and its potential for job advancement (Section 7A, 7B & 7C),requires in depth analysis and judgment which can go beyond the scope of the actual appraisal, since an employee maybe excellent in terms of his or her rating, but not the most suitable prospect for higher responsibility. Hence, judgments with respect to potential should be made by representations and / or opinions of several top management and qualified evaluators.

121 **Areas of development for the year**. In this section (3A & 3B) of the performance evaluation form, the supervisor / line manager lists key areas for skill gap which need improvement / development for the year and will be measured again in the subsequent evaluation exercise. As performance evaluation is an ongoing exercise, managers and subordinates may both revert back to this section to work on the areas that need the most attention in a given role. As with the evaluation for senior roles, these evaluations are dispatched to the Human Resource Department that will prepare a summary for placing before the senior Management as well as the Promotion Committee of the Company. A copy of each evaluation will also be filed in the personal file of the employee.

122 Communication of adverse remarks

Any adverse remarks given in the appraisal report should be communicated to the concerned executive within 30 days of finalization of the appraisal. Adverse remarks to be communicated to appraisee will be specified by appraiser in the appraisal report. The communicated adverse remarks will separately be given in pen pictures at the time of consideration for promotion. The concerned executive may submit the response in writing to the HR department through respective reporting manager within **15** days of receipt of such remarks. The reporting manager will forward this response to HR Department no later than five days of receipt of the same. Based on the reply of concerned executive, HR Department may initiate the case to be discussed in a committee comprising of GM (HR), SGM (HR), respective HoD & SGM. If this committee finds, based on cogent reasons, that the adverse remarks are not justified then the same will be expunged from appraisal report of the executive after approval of the Managing Director/CEO. If adverse remarks are written by the Managing Director/CEO then the response will be forwarded to him/her for further directions. The adverse remarks shall be retained:

a) If no response is received from concerned executive within the given time or

b) The committee formed to review adverse remarks and/or Managing Director/CEO is convinced that these should be retained.

The decision to expunge/ retain adverse remarks will be communicated to concerned executive.

123 Low Performing Individuals

For low performing employees i.e. individuals receiving Poor (E) rating in an appraisal report, HR department will arrange a counseling session. HR personnel and the concerned department personnel will be designated who will listen to their concerns.

This session will be held before the KPI setting for the next year. The performance improvement will be made part of KPIs of that person. After goal planning, T&D department will make necessary training plans for these employees and will arrange midyear counseling sessions to motivate them for improvement. The objective of the midyear counseling will be to discuss their half year performance review. On receiving Poor (E) rating in one appraisal report, an executive will be transferred from his present place of posting to any other department/ location. An executive will be terminated on the basis of Poor (E) performance ratings even after continuous counseling & training sessions, the employee remains a low performer in his/her 2 consecutive performance appraisals.

For more detailed counseling, ‘’**Guidelines for Continuous Performance Improvement’’** in chapter HRM Tools may be referred.

Retirement Policy

124 Statement of Intent

SNGPL understands the need to provide their employees with economic protection against loss of earnings that may be attributed to retirement, termination, major illness, disability, or death.

125 Eligibility

125.1 An executive has to retire from service at SNGPL upon attaining the age of 60 years.

125.2 No extension of service is given to any executives reaching the age of superannuation. However, SNGPL can employ the services of an executive in special circumstances on a contractual basis. The power to rehire retired employees shall vest solely with the Board.

126 Early Retirement

126.1 An executive on completing 20 years of service, may apply for an early retirement at SNGPL. A three (3) months notice period or pay in lieu of is required for early retirement. Such requests will be considered for approval by the Competent Authority.

126.2 An executive may opt for early retirement under the Pension Rules by giving 3 months notice in writing or by paying to the Company in lieu of the notice, a sum equivalent to his/her remuneration for this period or a sum equal to the proportionate remuneration for the unexpired period of the notice. Provided that the Appointing Authority may for special reason, waive the whole or part of the notice period.

127 Retirement Schemes & Benefits

SNGPL offers the following retirement schemes:

127.1 Provident Fund Scheme
127.2 Pension Fund Scheme
127.3 Gratuity Scheme
127.4 Other Benefits

127.1 **Provident Fund**. All employees upon confirmation may subscribe to the Company Provident Fund (**Annexure-Q**).Once a member, the employee is required to nominate a person or beneficiary who will, in the event of employee's death, be entitled to receive payment of the amount outstanding to his / her credit in the fund. Such nominations are to be made on the Provident Fund Nomination Form (**Annexure-R or S**).

127.1.1 **Rate.** All members contribute 7.5% of their basic monthly salary to the fund. This amount is deducted through payroll every month and profit is payable yearly on the credit balance of a subscriber at competitive market rates. For further details, please (refer to the SNGPL Provident Fund Rules).

127.1.2 **Encashment.** Upon attaining the age of 50, a subscriber may withdraw a non-refundable advance up to 60% from his or her outstanding account, but only for significant reasons such as the ones listed below:

- Payment of life insurance premium
- Construction or refurbishment of a house
- Purchase of agricultural land from government
- Purchase of residential plot / house for residential use
- Coverage of expenses for a serious medical condition
- Child's higher educational needs
- Others (as per management consent)

Upon retirement, however, trustees and employees may withdraw the full amount due.

127.2 **Pension Fund**. SNGPL also offers **a Pension Fund Scheme governed by Pension Fund Rules** for all executives that have been in Company service for at least 10 years. Such senior executives may apply to the Trustees of the Pension Fund. Nominations are made on prescribed forms to be provided by the Human Resource Department, Gas House, Lahore.

127.2.1 **Rate**. Pension is calculated at the rate of 1/100th times an executive's pensionable salary* at the time of retirement multiplied by the length of pensionable service with a maximum cap of 30% of pensionable salary at the time of retirement.

127.2.2 **Encashment.** A member of the Pension Fund who has attained retirement is entitled to receive a pension provided he / she has completed at least 10 years of pensionable service. A member is also entitled to encash up to 50% of his / her pension as a lump sum payment. Pension to a widow is at 50% of a member's rate. If the widow is 10 years younger then the member then her pension is reduced by 1½ % for each complete year in excess of 10 years by which her gap differs from that of the decease member. If she remarries, payment of pension shall cease and she will receive a lump sum equal to two years pension. For unmarried children under the age of 18, the widow receives an additional 10% of member's pension with a cap of 40% where there are four or more qualifying children. In case where the child of a female member is to receive pension, the following applies: Each unmarried child under the age of 18 receives a pension of 20% of the member's pension with a cap of 80% where there are four or more qualifying children. For further details, please (refer to SNGPL Senior Staff Pension Fund Rules).

** Pensionable Salary is basic salary i.e. excluding all allowances and benefits for his/ her last completed year of service at SNGPL.*

127.3 **Gratuity.** An executive who has completed a minimum of five (5) years of continuous service with the company is entitled to gratuity. This five year condition shall not apply in case the executive has to leave service on medical grounds, redundancy, death, or for female executive getting married. The period exceeding six (6) months of service will count as full year of service for calculation of gratuity and periods less than 6 months will not count.

127.3.1 **Rate & Encashment.**

- An executive that qualifies for pension at the time of retiring from SNGPL and does not surrender his / her pension is entitled to a

gratuity at the rate of 20 days of basic pay * for each completed year of service.

- An executive who qualifies for pension and surrenders his/her pension is entitled to a gratuity at the rate of 50 days basic pay for each completed year of service.

- An executive who does not qualify for pension at the time of retirement shall be entitled to gratuity at the rate of one-month basic pay for each completed year of service.

- An executive who does not qualify for pension and leaves on his / her own accord before he / she is due for retirement is entitled to gratuity at the rate of 10 days basic pay for each year of service

- No gratuity will be paid to an executive who has been removed or dismissed from service for misconduct.

- On the death of an executive while in service of the company, a gratuity at the rate of 20 days basic pay for each completed year of service will be paid to his/her survivors.

- Pension may also be surrendered by the widow of an executive that had 10 or more years of service and opt for gratuity at the rate of 20 days basic pay for each year of completed service.

- If there is no surviving widow, then the children's pension, if any, cannot be surrendered for additional gratuity.

127.4 **Other Benefits**. In addition to the aforementioned schemes, SNGPL also offers the following two retirement benefits for employees: 1) Medical Coverage and 2) Buy Option of Company Car.

127.4.1 **Medical**. For retired executives who entitled for pension, the same medical coverage is available as was to them during tenure; however, these medical facilities are only for self, spouse and unmarried dependent children upto the age of 25 years in Pakistan. Medically incapacitated children requiring continuous medical support may continue to avail the free medical facility till the life-time of such a child. In case of issueless Company employee (refers to Rule 52.1 of Medical Facility), one legally adopted unmarried dependent child up to the age of 25 years is entitled to medical facility. For widows of executives who expire while in Company service in case the service exceeded 10 years, are entitled for medical facilities for self and children (unmarried dependent children upto the age of 25 years.) If the widow remarries, such medical facilities will cease, however, continue for her children as per company rules.

127.4.2 **Car.** All executives upon retirement/early retirement are given the option to purchase the Company car in their possession at the time. This benefit is given to the employee in the way of a nominal fee of 7½ % of original cost or book value of the automobile whichever is higher. This same benefit is also available to widows of executives whose service with SNGPL was 10 years or longer.

Human Resource Management Tools

128 Purpose of HRM Tools

128.1 Human Resource Management Tools is a supplement section of the HR manual that is designed to provide additional procedures and definitions pertaining to specifics of the policies in the manual. It particularly facilitates the implementation of the Employment Policy of SNGPL as a whole and contains the following sections:

129 Job Analysis and Evaluation
130 Job Description Documents
131 Interviewing Guidelines
132 Department wise Capability Matrix
133 Guidelines for Performance Improvement Plan

129 Job Analysis and Evaluation

- SNGPL is committed to ensuring that all jobs are correctly evaluated, and this policy has been developed to ensure that the process is both equitable and transparent, irrespective of the size or level of job.

- The aim of job evaluation is to provide a systematic and consistent approach to defining the relative worth of jobs within the company as well as with the market. The goal of job evaluation is to compare jobs with each other in order to provide a rational, orderly hierarchy of jobs based on their worth to the company and to create a compensation structure that is fair, equitable, and consistent.

- The job evaluation process consists of a broad spectrum of activities beginning with job analysis and its resulting job description. Though two separate processes, data collected during job analysis will be used during the job evaluation process.

- Job analysis is a comprehensive process while job evaluation is a comparative process. Job analysis is done to develop a job description, while job evaluation systematically determines the value/worth of a job in relation to other jobs within the Company. Thus, efficient employment of these processes Job Evaluation and Analysis will provide a basis for designing new organizational roles and jobs, aligning existing roles and pay in line with organizational changes, changing organizational requirements, managing succession in organization, reviewing existing pay structure and / or implementing benchmark pay structures.

- Job analysis process will be is an in-depth examination of the tasks performed by the job, the education and experience required, the working conditions, responsibilities and authorities, and the skills and abilities needed to perform the job. Open-ended questionnaires, checklists, and / or interviewing incumbents and / or their supervisors can help collect this data.

130 Job Description Documents

130.1 SNGPL recognizes that the cornerstone of a meaningful employment relationship with each individual employee is a clear description of responsibilities and performance objectives. The manner in which these are documented impacts every aspect of employment with the company and therefore merits greater analysis.

130.2 The company, in order to achieve its organizational goals, needs to have a full and complete understanding of what each job entails and the requisite skills, abilities, and other credentials needed to perform these jobs. The employee, on the other hand, to perform well on a given job, needs a clear comprehension of the different functions and job responsibilities he / she has been assigned. This allows the employee to direct his / her energy and skills to maximum advantage, and lays the framework for an equitable and effective performance management system.

130.3 **Objective**. These requirements are fulfilled by a job description document, which is a formalized statement of the responsibilities, duties and qualifications of a job based on information obtained through an objective job analysis. Its purpose is to identify a specific job with clarity and precision and to describe its scope and content. It should be as accurate, concise and complete as possible. It is important to bear in mind that the document describes the position and the skills and qualifications needed to satisfy that position; it is not meant to describe the incumbent.

130.4 SNGPL maintains updated job descriptions (refer to **Annexure-T**) for each position in the organization. The document aims to measure and record the three critical elements of the job, namely:

130.4.1 **Know-How.** This refers to the sum total of all skills necessary for acceptable performance including educational qualifications and relevant experience.

130.4.2 **Problem Solving**. This refers to the requirement of the position to function independently and take decisions.

130.4.3 **Accountability**. This is the impact or contribution made by a job to the overall organizational objectives.

130.5 A job description (JD) is prepared whenever a new position is established and a grade level is assigned following the job evaluation process. Job description documents serve as an invaluable management tool for effective recruitment and selection, an equitable compensation structure, meaningful performance evaluations, and forecasting the training needs of the company.

131 Interviewing Guidelines

131.1 **Objective**. The most commonly used method of selection is the interview, which is also the most important and final selection tool for inducting staff into SNGPL. Therefore, the purpose of the ensuing section is to present interview guidelines in a coherent way by which the employment interview practice can be standardized and improved resulting in supporting SNGPL's original recruitment policy intent of hiring the right person for the right job. To this end, a structured interview needs to be conducted for the induction of all staff.

131.2 The structured interview is little more than just a casual social conversation with a prospect. Rather, it is designed to ask a series of organized questions in the areas of personal history, social history, and most importantly, work history. This methodology is also commonly known as a diagnostic interview.

131.3 An interview is a meeting of people, face-to-face, to accomplish a known purpose by discussion. Within a selection interview, the purpose is to explore the degree of fit

between the applicant and the position while also considering the anticipated needs of the business unit so the best person may be selected for the best job.

131.4 Some basic questions that need to be considered prior to interviewing are:

131.4.1 Does the applicant meet minimum standards set up for the job? Before beginning the interview, the interviewer must satisfy himself that the applicant has passed all hurdles, has failed or is a borderline case. In the case of failure at one or more hurdles, the interview may be relatively brief, possibly ending in rejection of the applicant.

131.4.2 What background factors and personal qualities must be explored? In the case of the applicant who has passed all the hurdles successfully and once the interviewer is satisfied that there are no obvious personal characteristics, which would disqualify the applicant, the bulk of the interview time may be devoted to giving information of job and company. On the other hand, if the applicant is viewed as a borderline case, the task of the interviewer is more complex since he will be searching for evidence that can be used as a basis for recommendation for or against employment, or to aid in placement on a job where a specific limitation will not be a handicap.

131.4.3 Does the candidate have the basic capabilities or attributes for the Position which he / she is being considered? As part of a structured interviewing process at SNGPL, the questions designed for interviewing are to be based on the role or position required. This method will provide a more directed or structured approach for interviewing a prospective candidate as opposed to open-ended or professionally unrelated questions that do occur frequently in non¬-structured interviews.

131.4.4 Which category or position does the interviewee ideally qualify for? When answers to job related structured interview are received, it will be relatively an easier task for the interviewer to place the interviewee into a particular role or position at the company that is to be filled. It is quite possible that the candidate may either fall above or below the required prerequisites or professional capabilities / attributes that he / she is being judged on and is imperative at this juncture to "sell the job" to the right candidate if available for the role.

131.5 **Selling the Job**. One of the most important aspects of interviewing, provided that a praiseworthy candidate has qualified to fulfill the role that was being interviewed, is selling the job to him / her. Selling in this context does not refer to talking about the company to the candidate, rather the use of indirect and direct selling techniques that may land up a good candidate for SNGPL.

131.5.1 **Indirect**. In screening interviews, much of the selling that takes place from the interviewer's standpoint is indirect selling, i.e. the interviewer selling himself. So, in choosing a company to work for, the candidate’s judge their comfort level primarily from the way they react to the interviewers they encounter. For any interviewee, the interviewer is the company. It is absolutely essential then for SNGPL to assure that the line manager or person required to conduct interview on behalf of the company is a good representative of both the company and the job at hand.

131.5.2 **Direct.** Another important technique in selling the right candidate the right job is direct selling. This approach is based on identifying what the "buyer" wants, what the company has offered to meet those wants, and how to communicate the offer to the candidate. In this approach, more listening take place in the initial part of the interview to identify the right candidate's needs, followed by an effective speech that the interviewee can relate to (too much lingo can actually do more harm than good here).

131.6 **The Offer, Follow-up & Closing.** The recruiting process rarely ends with the interview. Usually, follow-up is required before closing the deal or not depending upon the case as both the employer and / or the prospective employee may need time to consider joining hands as the case may be.

131.6.1 **Offer.** Although there are various schools of thought on when to make the offer to a prospective candidate, some basic things to consider when doing so are: (a) make the offer with enthusiasm, (b) make the offer personal, and (c) use the offer to gather personal information about the candidate. Another important part of the process is the non-offer or rejecting a candidate. In such cases, it is imperative that even while rejecting a candidate, the interviewer still should be selling the company (the rejected candidate may later become a customer of the company or may just be a good friend with another candidate that the company is to hire).

131.6.2 **Follow-up**. Follow-up is a necessary part of the recruitment process. The objective here is to make the candidate feel that he / she is important to the company, however, it is very important not to make the candidate feel bothered here by invoking too much follow-up, especially when a candidate is not apt to be making a decision. On the other hand, contact around decision-making time may just be thing that makes a difference in attracting a candidate.

131.6.3 **Close.** Closing is the process of helping and not pushing the candidates in making a decision that is good for them, as making a decision can be a very difficult task for candidates due to both the importance it has for a long-term commitment and maximization of candidate options. From the company's perspective, closing is to show candidates why the company is the best decision available for them.

132 Department wise Capability Matrix

132.1 Using department wise capabilities, key capabilities for any given role can be defined. These capabilities define the 'how's for a job i.e. the behavioral expectations or essential skills that an employee is required to exhibit and conform to in order to achieve the performance standard expected of him or her (see Para 120.1). Capabilities may also be used at the interviewing stage in rating a prospective candidate against capabilities that correspond to his / her role and department (see Annexure-U).

132.2 The following section lists and defines some of the basic and advanced capabilities respectively (Table-XVII). Capabilities provide a general framework to evaluate attributes associated with a given role in a particular department. However, not all capabilities in a department need to be rated, instead depending upon the role, a few key capabilities may be selected from the Comprehensive Competency Directory to evaluate an employee / prospect for SNGPL.

Table XVII - Department wise Capability Matrix

The provided document outlines a **Department wise Capability Matrix**. The departments listed are: Retail Sales, Corporate Sales, Transmission, Distribution, Compression, Corrosion Control, Quality Assurance, Metering, Civil Construction, Projects, Telecom, HS&E, Network Planning & Design, Administration, Procurement, IT/MIS, IT(Ops), Human Resource, Training & Development, Audit, Finance, Regulatory Affairs, Accounts, Billing, Recovery, Corporate Affairs, Law, Media Affairs, Stores, Treasury, Compliance, and Risk Management.

The matrix details **Basic Capabilities** which are:

- For Retail Sales: Oral Communications, Written Communications, Negotiation Skills, Product Knowledge, and Procedures & Policies
- For Corporate Sales: Oral Communications, Written Communications, Systems Knowledge, Product Knowledge, Project Management, Work Organization, Coding Skills, and Budgeting & Cost Control
- For all other departments from Transmission to Risk Management: Oral Communication, Written Communications, Financial Analysis, Project Management, Budgeting & Cost Control, Numeracy, Management Principles, Procedures & Policies, and Legislative & Regulatory.

The matrix also lists **Advanced Capabilities** which are:

- For Retail Sales: Customer Focus, Sales Focus, Results Focus, Building Relationships & Networks, Understanding the Business, Continuous Improvement Focus, Problem solving, Concern for Quality, Listening & Responding, Demonstrating Initiative, and Teamwork.
- For Corporate Sales: Customer focus, Applying business knowledge, Quality concern, Problem solving, Flexibility & adaptability, Business comprehension, Understanding the business, and Continuous improvement focus.
- For all other departments from Transmission to Risk Management: Applying Business Knowledge, Building Relationships & Networks, Problem Solving, Customer Focus, Influencing Outcomes, Understanding the Business, Listening & Responding, Results Focus, Demonstrating Initiatives, and Teamwork.

Note: Management may update Capability Matrix from time to time in line with Industry Best Practices with the approval of the Board on recommendations of HR,R&NC.

132.3 **Basic Capabilities:** Basic capabilities are those essential skills that are absolutely a prerequisite to fulfilling the basic requirements of a given role in a department.
These include but are not limited to (please also refer to Competency Directory for additional skills):

132.3.1 **Oral communication** refers to the ability to articulate and explain information to customers, peers, managers, and subordinates. It involves basic ability to convey information, opinions, and arguments fluently, coherently, and confidently, interpreting details as necessary. An understanding on how to impact different audiences across all levels of the organization both internally and externally is also part of this.

132.3.2 **Written communication** refers to the ability to convey, explain, and understand information in writing clearly and concisely. This includes an ability to draft clear reports, letters, and memos without any grammatical or content flaws plus the ability to communicate ideas in writing related to complex issue. Complex issue implies to the ability to gather and analyze information and, where appropriate, convert and edit specialized terminology and concepts into non technical terms.

132.3.3 **Negotiation skills** involve the ability to obtain agreement between two or more parties who may have different interests. It also means the ability to be able to understand basic negotiation positions and negotiation process within prescribed routine circumstances.

132.3.4 **Product knowledge** is know-how of SNGPL's products and service offerings offered by its various business units. In addition to own, the knowledge of major competitors' products and services is also part of product knowledge. This also implies an ability to repackage solutions, products, and services.

132.3.5 **Procedures and policies** involve knowledge and application of procedures / policies relevant to own job and areas supported, including relevant forms and documentation. It means knowledge and application of policies / reporting procedures relevant to the department or unit for which the job holder is responsible, including the ability to interpret day-to-day work requirements. In addition, the ability to provide feedback on the effectiveness of these policies and procedures or where appropriate, improve existing ones and, or develop new ones as well as acting as a point of reference to peers for procedural and policy expertise are all part of this definition.

132.3.6 **Systems knowledge** refers to knowledge of SNGPL's systems, environments and applications. It involves the ability to perform basic technical procedures, answer routine questions involving the retrieval of information. For example, basic knowledge of SNGPL systems appropriate to the work area such as word processing, computer operations and data entry are all part of this know-how.

132.3.7 **Budgeting / cost control** simply refers to the knowledge of budgeting processes, including the allocation and monitoring of costs and revenues against budget as well as the ability to utilize this knowledge to take or advice on corrective action.

132.3.8 **Legislative / regulatory requirements** refer to the know-how / application of legislative and regulatory requirements or industry standards as they apply to a particular part of the business. It also includes basic knowledge of specific legislation, standards and compliance procedures relating to own work area. The ability to distinguish standard legal documents is a key aspect of this capability.

132.3.9 **Financial analysis** refers to knowledge and skill to undertake interpretation of a range of financial data, including balance sheets and cash flows. An understanding of accounting principles is needed here to draw conclusions on an entity's current performance and prospective future performance.

132.3.10 **Numeracy** refers to the ability to understand and manipulate numerical data to reach accurate and defensible inferences and decisions. A person with numeracy skills is comfortable working with numbers and is fully able to understand numerical reports as apply basic standards of numeracy in performing calculations using equipment provided.

132.3.11 **Work organization** is the basic ability to effectively manage own resources, including time management. Understanding ongoing work requirements and being able to manage own time to complete assigned tasks without close supervision, is a requirement of this organizational skills.

132.3.12 **Coding skills refers to skills in IT based roles**. The ability to code and test software programs and develops / test codes for smaller and less complex modules of a software system. Coding requires knowledge of one or two programming languages, basic testing techniques, documentation / debugging standards. Understanding of programming environment standards is a key aspect of this capability.

Note: Management may update Basic Capability Matrix from time to time in line with Industry Best Practices with the approval of the Board on recommendations of HR,R&NC.

132.4 **Advanced Capabilities**. Advanced capabilities are a less common skill set than that found in basic capabilities and are more commonly seen in managerial and senior roles in an organization that require a vision to set mid to long term business objectives and the knowledge to achieve them.

The skills required to fulfill such roles are listed below (please also refer Competency Directory for additional skills):

132.4.1 **Applying business knowledge** refers to the ability to keep informed with the relevant business, technical and professional knowledge and application of the same. This is to ensure technical or professional solutions are delivered which meet business needs and are aligned with best practice. It also ensures SNGPL's compliance with both internally and externally driven regulatory requirements. It includes actively seeking to learn more about a particular field or area with the commitment to applying that knowledge to improve the quality of solutions or services delivered to the business.

132.4.2 **Building relationships and networks** refers to the ability to identify, build, and maintain short / long term networks useful towards achieving business objectives. It includes building relationships with people who may be helpful in creating opportunities further down the line, e.g. colleagues, external associates, professional associates and 'rainmakers' such as accountants, lawyers, brokers, real estate agents etc. It also includes developing effective relationships with customers externally and internally.

132.4.3 **Concern for quality standards** refers to the underlying drive to reduce inconsistencies, risks, and errors in the surrounding work environment through monitoring, checking, and compliance with standards and procedures. It particularly includes an attention to detail associated with the creation and delivery of the product or services of an organization.

132.4.4 **Continuous improvement focus** is the desire to improve existing processes and procedures in finding better ways of implementing projects, in terms of effectiveness (quality, accuracy, reliability, etc.) and / or efficiency (cost, timeliness, etc.). This may involve challenging established processes and procedures or bringing ideas from elsewhere to add value to SNGPL.

132.4.5 **Customer focus** refers to the impetus to focus effort on delivering customer needs. It involves working with customers to better understand and anticipate their needs, and educating customers about the full range of SNGPL products, services, and solutions available.

132.4.6 **Decisiveness** is the ability to use information, apply experience, and judgment to make sound and timely decisions which add value to the business. This may involve making decisions when information is ambiguous or incomplete.

132.4.7 **Demonstrating** initiatives is the willingness to take action rather than simply thinking about it, spotting opportunities, and doing things now in order to avoid potential problems in the future. It is about being persistent in addressing issues and potential obstacles.

132.4.8 **Flexibility and Adaptability** is the ability to be flexible in one's approach and to make the most of challenging or unfamiliar environments. It is about being able to 'think on your feet' and work with a variety of situations, individuals, and groups; It also involves being able to adapt quickly and positively to change.

132.4.9 **Influencing outcomes** refers to the ability to persuade, convince, influence, or impress others in order to gain support for or agreement to an idea or concept. It may be about getting agreement to a business case, idea or concept or, in the case of selling to customers; it refers to generating excitement about SNGPL product or service.

132.4.10 **Listening and responding** is the willingness and the ability to take time to listen to others and respond appropriately. It includes questioning as well as the ability to relate to people. It is about recognizing and understanding difference in individuals and groups and adapting one's behavior accordingly.

132.4.11 **Problem solving** is simply the ability to understand problems and situations by systematically breaking down the problem, assessing, interpreting options, and weighing up and prioritizing alternatives.

132.4.12 **Results focus** refers to the willingness or the ability to do the job well and to deliver results. It involves doing things better and more effectively, and sticking at something until it is delivered. It also includes the setting and achieving challenging goals for both self and the team.

132.4.13 **Sales focus** refers to the ability to spot potential sales opportunities and develop these into profitable sales for the organization. This will include prospecting the marketplace for new customers as well as maximizing existing customer relationships on behalf of SNGPL.

132.4.14 **Teamwork** is the willingness to work in a cooperative and helpful manner with other team members as opposed to working independently. Teamwork requires focusing on team as well as individual goals and actively assisting team members towards the achievement of a common goal.

132.4.15 **Understanding the business** involves understanding the market and industry, and look at situations in terms of their full business potential to SNGPL. It includes an understanding of the key business drivers within the company, the industry, market and customer segments and utilizing this understanding to develop a business strategy.

Note: Management may update Advance Capability Matrix from time to time in line with Industry Best Practices with the approval of the Board on recommendations of HR,R&NC.

133.00 Guidelines for Performance Improvement Plan

133.1 Once an objective and workable performance management mechanism is in place to identify A, B, and C performers in a given unit, it becomes imperative to manage these employees' performance and channel their output towards the achievement of corporate goals. An integral part of the performance management policy then, is continuous quality improvement of the pool of managerial talent available.

133.2 **Identification of C-players / inadequate performers (Rated as 'E'/ Poor)** is the first step in managing poor performance. The following list provides a non-exhaustive set of generally seen characteristics of such employees:

133.2.1 Consistently failing to achieve previously agreed job objectives.

133.2.2 Performing below the level expected from their given peer group.

133.2.3 Generally costing the Company in a monetary sense and collectively pulling down the overall performance of the organization.

133.2.4 Never coming across as a good role models, coaches or mentors.

133.2.5 In managerial roles, lowering the bar for employees working under them.

133.2.6 Stagnating in a role or position for usually long periods and in this way blocking the advancement of more talented people in the Company.

133.3 **Managing C-Players / inadequate performance** involves making action plans for dealing with such performers. This can be achieved once all evaluation results are finalized and employees categorized based on their performance. A performers should be rewarded generously, the bar raised for B performers and C performers be dealt with decisively. The last part here is of greatest significance to SNGPL and therefore

deserves utmost attention. Therefore, the following write up deals exclusively with the management of C Performers. Once identified, the next step in managing poor performance is to have a clear plan of action for the employees falling in the C-category. SNGPL feels that once it has invested in a staff member even for the duration of one performance evaluation period subsequent to confirmation, it owes both the employee and itself to allow a fair action plan to be implemented in determining the fate of the C-player and consequently, managing inadequate performance in a constructive way so as to allow an opportunity for employees who want to improve. In line with the above SNGPL proffers to manage C-Players by providing the following options:

133.3.1 Helping improve the C-players performance to at least the adequate level

133.3.2 Placing the C-player into a role more suited to the skill of such an employee

133.3.3 Terminating the services of the inadequate performer should the above options do not offer a suitable course of action.

Typical execution of the above action plans constitute of the following:

133.3.4 Holding Managers Accountable
133.3.5 Delivering Candid Feedback
133.3.6 Offering Instructive Coaching
133.3.7 Giving Separation Support

133.3.4 **Holding Managers Accountable.** Managers are accountable for building strong talent pools and carrying out actions to improve C-players within their departments. It is the responsibility of Head of HR to follow up with each Department Head to see the implementation of such plans and report the same to the CEO. This follow up is to include performance management report from each department, allowing top management to see at a glance which departments are progressing and vice versa. Such a report provides a synopsis of the status of employees that were identified in the last performance evaluation process as C-performers, and the improvement actions and outcomes thereof in each of the cases.

133.3.5 **Delivering Candid Feedback**. Managers at SNGPL are expected to deliver candid feedback and not sugar coat the truth about an inadequate performer, since the only way possible for the concerned employees to improve is to know the truth about how they are doing on the job and understanding how to improve their performance. This candid and constructive feedback may be given in writing as part of the annual performance evaluation and also informally throughout the year. This will also help in avoiding surprises in case of termination attributed to inadequate performance has to be effected in certain cases. This step can help in avoiding resentment and sometimes litigation if an employee opts to challenge the termination decision in court.

133.3.6 **Offering Instructive Coaching**. Asking inadequate or C performers to improve without providing the requisite coaching and support is like setting them up to be fired and does not help SNGPL's cause. Line managers or supervisors for the C-player are to implement a corrective action plan that is designed to be more constructive than punitive. This plan must specify what the employee is to do within a defined period of time and frequent coaching and feedback is to be provided by the immediate line manager or supervisor

through out the performance cycle. In this way, a fair opportunity is given to such employees to succeed and sustain an adequate level of performance consistently thereafter.

133.3.7 **Giving Separation Support**. In case all efforts to facilitate performance improvement for C Players have failed SNGPL may decide to terminate services of such employee, in such cases to the extent possible SNGPL provides individuals with generous support in terms of severance pay. In terms of support, the Company's assistance is not just limited to pay benefits, but may also include help with outplacement services to help find the individual a new job along with counsel with lead managers of the Company. The General Manager HR or Departmental Manager for the concerned department are responsible to help the laid off employee to leave the Company with dignity and giving any emotional support to the individual(s).

133.4 **Managing B-Players / Adequate Performance**. In keeping with the philosophy of continuous improvement of the human resource talent (B) performers also need to be supported to deliver superior performance. Since such players lack the lustre of leading or (A) performers, they are not notable / visible because they are performing well in their respective roles and consequently, are generally left alone as supporting actors. However, it is these B-Players that not only make up the bulk of the work force of SNGPL, but also are vital for the company's growth and sustenance. Hence, an integral part of SNGPL's performance management policy is the retention of its average or B--Players and enhancing their performance capability.

133.5 **Identification of B-players / Adequate Performers** includes some of the following characteristics:

133.5.1 They are not necessarily less intelligent than A-Players

133.5.2 They make the fewest demands on the management's time and don't require constant attention

133.5.3 B-Players place a high premium on work-life balance, hence they highly value the time spent with family and friends i.e. they do strive for advancement, but not at all costs

133.5.4 They are truth-tellers; honest individuals who are more interested in their work then their careers

133.5.5 They are usually functional experts in their field of work

133.5.6 B-Players bring stability to an organization, i.e. they Counterbalance both ends of the bell curve and set the acceptable standard of performance

133.5.7 They form the backbone of an organization in times of transition as they are generally not promoted nor fired

133.5.8 They have the ability to assume the role of A-Players if needed to do so.

133.6 **Action Plans for Managing B-Performers**. It is SNGPL’s policy to ensure that B-Players get proper nurturing and recognition without which, they can easily slip into the category of C-Players. This becomes likely when management more often focuses on high and low performers who need more attention and B-Players that stay off the radar and inevitably get fewer advancement opportunities. This may result in B-Players

moving to other organizations due to lack of recognition, which for SNGPL represents a failure in its human resource management policies and systems. For successfully managing B-Players, SNGPL suggests the following strategies to be implemented by its management:

133.6.1 Accept the differences
133.6.2 Give time
133.6.3 Hand out praise
133.6.4 Give choices

133.6.1 **Accept the differences**. To deal successfully with B-Players it is imperative to first accept the fact that they are different in terms of their world-view, as they generally have a steady temperament and are not over ambitious for advancements. Since, most managers, leaders, or A-Players are self-motivated; they tend to undervalue B-Players with a different approach to getting things done. All senior managers at SNGPL need to be more cognizant about the B-Players working under them and their respective needs.

133.6.2 **Give time**. SNGPL Managers need to track the time that they spent with their direct reports. When managing B-Players, time has to be allocated equally to allow all direct reports to be heard as this prevents any thoughts of favoritism. SNGPL's strategy is to have regular meetings with all B-Players to make sure that each employee is heard by his or her immediate supervisor and consequently, senior management.

133.6.3 **Hand out praise**. Since it is usually the case that B-Players get lesser opportunities for career advancement than A-Performers, senior management must at least reward B Players through praise and honest complimentary feedback in order to motivate such employees and to appreciate their satisfactory performance. Managers must realize that this category of players needs recognition of their very real contributions even if it is not monetary in nature.

133.6.4 **Offer Choices**. In order to prevent B-Players slipping into the role of C-Players, SNGPL incorporates a system of compensation comprising of performance related bonuses, coaching, and promotions as needed.

Training Policy

Statement of Intent

Employee Development is the pivotal and most crucial aspect of any organization. This policy refers to the SNGPL's learning and development programs and activities.

In the modern competitive environment, employees need to update their knowledge and acquire new skills to perform at their jobs better. Management of SNGPL wants all employees to feel confident about improving efficiency and productivity, as well as finding new ways towards personal development and success.

Training refers to a planned effort by an organization to facilitate employee's learning of job related competencies including knowledge, skills or behaviors that are critical for successful job performance. To cater the training and development needs of its employees, SNGPL has put in place its state of the art in-house training institute named as, Sui Northern Gas Training Institute, Lahore (SNGTI), besides accessing national and international professional training institutes and forums.

134. Training Need Assessment

134.1 Training need assessment is the process of collecting information about an expressed or implied organizational/employee need that could be met by conducting training. The need can be knowledge or a skill gap which acts as an impediment in achieving desired standard of performance. The training need assessment is conducted by HR department of SNGPL whereas the development, implementation and evaluation of the training programs fall under the domain of SNGTI. Further details about these processes can be found in SNGTI Training Manual. Training needs are analyzed on two levels; Organizational level and individual training needs.

134.2 At organizational level, a number of department specific, technical and soft skills training programs are scheduled by SNGTI during every fiscal year for Executives and Staff of SNGPL. Details of these courses can be found in SNGTI Handbook of Training Courses. These courses are designed and complied on the recommendations of the respective Head of Departments and are updated keeping in view the operational exigencies and other important projects/assignments. There are certain training courses that are a pre-requisite for Executives to become eligible for promotion to higher management grade.

134.3 The individual training needs of employees comes from the recommendations for trainings identified in their respective Annual Appraisals. These recommendations for trainings are compiled by HR department and are shared with GM (Trg. &Dev) who after approval from SGM-HR schedules the training calendar accordingly. The recommendations for training in the Annual Appraisal may be restricted to the courses provided in the SNGTI Handbook of Training Courses. However in case, the area of specialization is not adequately addressed in those lists of courses, the respective Department may advise SNGTI to invite a suitable Subject Matter Expert, or recommend/suggest trainings outside SNGTI.

Employee Relations

135. Statement of Intent

The purpose is to maintain and improve positive working relations between SNGPL management and its employees. It includes policies and procedures relating whistle blowing and grievance redressal. The objective of this chapter is to increase awareness of employee regarding grievance redressal procedures and encouraging employees to raise their concerns in the event they come across illegal or unethical circumstances.

136. Grievance Redressal Policy

In order to resolve various grievances raised by the executives following two Committees are in place:

136.1. **Grievance Redressal Committee for Executives of Grade VIII and above:**

- Two members from the Board (Nominations to be made by the Board)
- Managing Director/CEO as third member

136.2. **Grievance Redressal Committee for Executives of Grade I-VII:**

- DMD (Concerned) - Chairman
- SGM (Concerned) - Member
- SGM (HR) – Member

137. Grievance Handling Procedure

137.1. An executive feeling aggrieved of a decision of the Company regarding his service, may represent to his/her Head of Department/Supervising Officer (in case of Grade-VIII and above) within 30 days of the cause of grievance through proper channel (in case of Grade I-VII), giving complete details of the fact of the complaint / grievance and contentions thereof explicitly stating the relief solicited.

137.2. The Head of concerned Department/Supervising Officer (in case of Grade-VIII and above), after due consideration in accordance with the rules, may in writing, dispose of the application within a period of 30 days of the receipt thereof.

137.3. Where no reply is received from the Head of the concerned Department/Supervising Officer (in case of Grade-VIII and above) within the stipulated time or the executives concerned is not satisfied with the decision conveyed to him/her, he/she may submit his/her grievance to the Managing Director/CEO through proper channel within a period of 15 days from expiry of the period as prescribed in Sr. 137.2 above, with an advance copy to the Managing Director/CEO.

137.4. The Managing Director/CEO will decide the representation/ grievances of executives (upto Grade-VII) regarding annual increment, promotion and transfer while for other service matters, he will refer the case to the respective Grievance Redressal Committee that will firm up its recommendations within 30 days of the receipt of complaint/grievance and forward the same to the Competent Authority. The decision of the Managing Director/CEO (Competent Authority) will be final and conveyed to concerned executive.

138 Introduction to Whistle Blowing Policy

Sui Northern Gas Pipelines Limited (SNGPL) is committed to conduct the business with highest possible standards of honesty and integrity and accordingly, Company's internal controls & operating procedures are intended to achieve the same. Despite having best system of internal controls, all organizations face the risk of misconduct or illegal/dishonest activities. "Whistle blowing" creates a culture of openness and accountability to prevent such situations from occurring or to address them when they do occur. It also encourages and enables all concerned to disclose as soon as possible, any legitimate concerns in every area of its operation. Whistleblower referred to as a "Complainant" later in the policy is a person who exposes, using designated channels, any information or activity that is deemed illegal, unethical, incorrect or involve misappropriation of Company's assets.

138.1 Policy Statement

All employees, Management, Board and every individual associated with the Company including ex-employees, contractors, suppliers, business partners, consumers and shareholders etc. are encouraged and have been enabled to report without fear of reprisal or repercussions, in confidentiality, under defined reporting channels, any matter coming to their attention which may concern the Company's operations, assets, reputation and finances.

138.2 Objective of the Policy:

The objective of this policy is to:

- provide a confidential and secure mechanism to encourage Company employees and other stakeholders to report any matter coming to their attention which is against the interest of the Company;
- define mechanism to address the concerns raised in a confidential and timely manner;
- define a protection mechanism for the whistleblower from possible reprisals or victimization;
- define reporting mechanism regarding whistle blowing policy and concerns raised there under in order to ensure compliance with applicable rules and regulations.

138.3 Scope of the Policy:

The policy covers all matters raised through defined channels that may involve any act of vandalism, or a behaviour that is unsafe, unlawful or unethical with respect to the Company's Code of Conduct including but not limited to:

- Offence/breach of law or failure to comply with legal obligations;
- Violation / non compliance of Company's policies / procedures;
- Corruption, bribery, theft or blackmail;
- Any act causing health and safety risks to the public/employees or damage to the environment;
- Causing damage/loss to Company's assets or reputation;
- Possible fraud, tax evasion or incorrect financial reporting with mala fide intentions;
- Illegal/unauthorized use of Company's data/information, assets or funds;
- Unethical/unauthorized representations on media/social media which is against the Company's interest;
- Failure to investigate allegations of workplace harassment;
- Actions which are unprofessional, inappropriate or in conflict with a general understanding of what is right or wrong / unethical; and
- Miscarriage of Justice.

This is not an exhaustive list and any other related matter raised under this policy will be considered seriously other than consumer complaints of general nature which are dealt with separately under Company's defined procedures

138.4 Oversight of the Policy:

Board Audit Committee (BAC) has overall responsibility for oversight of the whistle blowing policy and protection mechanism. BAC shall review the policy after every six months. All revisions in the policy shall be presented to the Board of Directors for final approval with recommendation of BAC. In order to discharge the obligation of BAC, Internal Audit department will be responsible for the effective implementation of the policy under supervision of BAC. Head of Internal Audit shall present to BAC on quarterly basis a report on /synopsis of issues and information pursued under the whistle blowing policy, clearly disclosing how such matters were dealt with and finally resolved or concluded.

138.5 Procedure for Lodging Complaints

138.5.1 Complainants may report their concerns preferably through email directly to the Head of Internal Audit @ wb@sngpl.com.pk. However following methods may also be used to raise Concerns:

- Through courier in the name of Head of Internal Audit;
- Putting complaint in dedicated whistle blowing boxes placed within Head office premises.

138.5.2 All complaints received on designated email will automatically be copied to Chairman BAC.

138.5.3 It is essential for the complainant to provide his/her name, contact number/email address and position in the Company/relationship with the Company in case of outside party.

138.5.4 Complainants must provide details of violation and where possible all relevant documents, dates, references, names of alleged person/(s) and any other detail which may help to enable proper investigation.

138.5.5 Complaints may be raised in case of any doubt or suspicion about one or more than one persons/events and not necessarily after having concrete evidence if complainants have sufficient grounds for their concern(s).

138.5.6 Whistle blowing policy requires the complainant to disclose his identity. No action shall be taken on a whistleblower information / complaint if the disclosure does not indicate the identity of the whistleblower or the identity of the whistleblower is found to be incorrect or false.

138.5.7 A format for raising complaints is attached as **"Annexure-V"** to record the employee's concern.

138.6 Procedure to deal with Complaints:

138.6.1 Head of Internal Audit shall be responsible to check whistle blowing email on daily basis and open the whistle blowing box on weekly basis.

138.6.2 Head of Internal Audit will acknowledge receipt of complaints on the email address/residential address of the complainant. Complaints received through email shall be auto acknowledged immediately however, in case of complaint

received through courier/WB box it shall be acknowledged within 3 days from the date of receipt of complaint.

138.6.3 Once concern has been raised, Head of Internal Audit shall forward all the whistle blowing complaints received through any whistle blowing channel to the Chairman BAC within 5 days of the receipt of the complaint along with a synopsis of the complaint received.

138.6.4 Complaints will be reviewed by Chairman BAC who will decide a suitable course of action in this regard to investigate the complaint. In case of trivial issues, where no sufficient evidence is available to believe that a fact finding enquiry is required or if complaint is a mere repetition of an already disposed off complaint, such complaints may be dropped by Chairman BAC on the recommendations of Head of Internal Audit.

138.6.5 Depending upon the gravity and nature of each concern raised, the Chairman BAC may initiate fact finding enquiry through a Whistle blowing Management Committee approved by Chairman BAC to carry out detailed investigation into the matter. Chairman BAC may also appoint external investigators with relevant specialized experience and knowledge, if deemed appropriate.

138.6.6 WB Management Committee shall consist of following officials:

- Head of Internal Audit;
- Company Secretary;
- GM(Compliance); and
- Any other member as approved by Chairman BAC

138.6.7 If necessary, Committee may seek additional information from the complainant raising the concern keeping his name completely confidential. Fact finding report shall be conclusive giving names of the responsible officials and/or an estimate of the loss suffered by the Company where applicable.

138.6.8 All SNGPL's Management and employees shall extend their full cooperation to the WB Management Committee in ensuring a prompt and complete investigation of the compliant.

138.6.9 The investigation shall be completed within 30 days from the date of enquiry marked. The Chairman BAC shall be authorized to extend/reduce the time for finalization of investigation of complaints on case to case basis, where deemed necessary.

138.6.10 On completion of the investigation, the WB Management Committee will prepare a confidential report for Chairman BAC who will circulate the report to all members of the BAC for their review and instructions to decide on next course of action.

138.7 <u>Corrective Actions and Compliance:</u>

WB Management Committee shall suggest to BAC any additional steps including disciplinary enquiry/action and/or internal controls to strengthen preventive measures and to enable the Company to minimize the recurrence of any malpractice or impropriety which has been uncovered. BAC will review these recommendations for any actions required by the Board and the Managing Director/CEO including formation of a Committee for disciplinary enquiry if so required.

138.8 Reporting Mechanism and Record Retention:

- Internal Audit department shall enter all the whistle blowing complaints received through any defined channel in Whistle Blowing Application (WBA) or memorandum record with detailed particulars;

- For each complaint, a separate file (in hard copy or soft form in WBA) shall be maintained and kept in record as per Company's record retention policy.

- Head of Internal Audit shall present to BAC on quarterly basis a synopsis of all complaints received through whistle blowing channels along with the disposals, enquiry reports and remedial actions taken there against.

138.9 Protection mechanism for the Whistle Blower:

It is understandable that complainants are sometimes worried about possible repercussions. The Company encourages openness and will support anyone who raises genuine concerns in good faith under this policy, even if they turn out to be mistaken.

138.10 Confidentiality:

- The Company undertakes to handle all complaints in complete confidence and promises that it will under no circumstances reveal the identity of the complainant during the investigation or subsequent to it. However, if the investigation leads to legal proceedings, the Company may be required or legally obliged to reveal his/her identity. If this is the case, the Company will take all reasonable steps to ensure that the whistleblower suffers no harm.

- The whistleblower should also be required to keep it confidential that a complaint has been filed, the nature of the concerns and the identity of those involved.

138.11 Protection against Disadvantageous Measures:

- Employees reporting a concern about any of the above matters are assured of protection against unfair dismissal, victimization or unwarranted disciplinary action, even if the concerns turn out to be unsubstantiated.
- Full protection shall be provided to the complainant in good faith against any disadvantageous measures including but not limited to unfavourable penal action, loss of status of work, transfer, unfavourable performance evaluations, harassment/threat of any of these measures, and/or any other unlawful adverse action.

- If a whistleblower is being subjected to any disadvantageous measures or is likely to be subjected to on the ground of whistle blowing, such action shall be treated as misconduct and will be subject to disciplinary action.

- If this is the case, whistleblower may file an application to Head of Internal Audit seeking redressal in the matter. Head of Internal Audit shall put up the matter before Chairman BAC who may pass such orders to the concerned persons as deemed appropriate.

138.12 Reward for the Whistle Blower:

If outcome of the whistle blowing complaint is materialized resulting in substantial benefit to the Company, BAC will recommend to the Board a suitable reward/appreciation for the whistleblower. The Board reserves the right to approve any such reward to the whistleblower. However, this policy is not intended to support any whistleblower in gaining any employment or a progression thereof, or any contract in the Company or raising acclaim against the Company for any form of compensation there against.

138.13 Possibility of False Allegations:

There exists a possibility of false, malicious or vindictive complaints raised on the basis of personal grudge. Complainants are urged to raise concerns with clear motivation that they are acting in the public interest or to protect the Company and its stakeholders. Deliberately making a false concern is also an allegation under this policy and may lead to a disciplinary/legal action against complainant. Similarly if a Contractor, Service provider etc. makes malicious or vexatious allegations, the Company will consider dispensing with their services.

138.14 Creating Awareness of the Policy:

In order to promote the policy and ensure its easy accessibility, it shall be circulated to all employees on annual basis and shall also be placed on Company's intranet. For awareness of outside parties, a synopsis of the policy along with channels available to raise concerns shall be placed on the Company's website. If stakeholder has any question about the content or application of the policy, he or she may contact the Head of Internal Audit for obtaining necessary clarification.

Provident Fund Rules

1. The Fund shall be called the Sui Northern Gas Pipelines Limited Provident Fund (hereinafter called "the Fund").

   These Rules and as from time to time amended shall have effect as from first day of January 1965.

Definitions

2. (a) "The Company" means Sui Northern Gas Pipelines Limited.

   (b) An "Eligible Employee" means any confirmed Pakistani Staff or Labour employee in the service of the Company in Pakistan, and shall not include any temporary or casual employee nor any pensioner of the Company.

   (c) "Fund" means the Sui Northern Gas Pipelines Limited Provident Fund governed by these Rules.

   (d) "The Rules" means these Rules being the Rules of the Fund and as from time to time hereafter amended.

   (e) "Member" means a Member of the Fund.

   (f) "Trustees" means the Trustees of the Fund for the time being.

   (g) "Service" means employment by the Company in respect of which the whole remuneration or part thereof is salary or wages.

   The words "Continuous Service" means service recognized as such by the Company for the purpose of this Fund in accordance with its regulations established from time to time. The Company's records concerning an employee's length and continuity of service shall be Conclusive.

   (h) "Salary" or "wages" means the fixed daily, weekly, or monthly basic salary or basic wages received by each eligible employee from the Company but does not include any dearness, acting, duty, officiating or personal allowance, overtime payment, bonus or other allowance, benefit, remuneration or profit whatsoever derived by an employee. The decision of the Company as to the amount of salary received by an employee in any month shall be final and binding on all parties.

   (i) "The Financial Year of the Fund" shall mean the period between the 1st day of July and the 30th day of June each year.

   (j) "Month" means calendar month.

   (k) "The Act" means the Income Tax Act 1922, Income Tax Rules 1982 and includes a statutory modification or re-enactment thereof.

   (l) Words of the masculine gender shall, unless a contrary intention appears, be taken to include the feminine.

(m) Words of the plural number shall, unless a contrary intention appears, be taken to include the singular and vice versa

Membership

3. An eligible employee shall apply for membership in the Fund by completing and filling with the Company the forms of Application for Membership and Nomination as set out in (**Annexure-Q**), and (**Annexure-R**) or (**Annexure-S**) to these Rules respectively. Membership in the Fund shall become effective on the first day of a month, subject as follows:

(a) An eligible employee in the service of the Company on the first day of January 1965 shall become a Member of the Fund as from that date.

(b) An employee who becomes an eligible employee after the First day of January 1965 shall become a Member of the Fund as from the first day of the month coincident with or next following the date upon which he becomes eligible.

(c) Subject to the provisions of these Rules a Member shall remain a member of the Fund until he ceases to be an employee of the Company.

Subscription of Members

4. Each Member shall subscribe to the Fund an amount equal to 7.5% of his current salary and that the Executive Staff of the Company be given the choice before 30th June 1975 to opt for either the gratuity, improved pension scheme and reduced provident fund 7.5% or the existing rules vis 10% provident fund but no gratuity and no improvement in Pension scheme.

5. The subscription payable by a Member shall be deducted by the company from his salary or wages at each periodical payment of such wages during the period of his membership in the Fund and shall be paid to the Trustees who shall pay the same into the Trust Account and shall credit the same to the personal account of the Member with the Fund.

The subscription of a Member absent on leave shall during the period of such absence be assessed on his salary or wages, if any, allowed during such absence.

Company's Contribution and Power to Discontinue

6. For and in respect of each month and on or as soon after the first day of each month as the amount of the Company's contribution in respect of the preceding month can be calculated and, except for reasons beyond the Company's control, not later than the last day of the month following that in respect of which such contribution is made, the Company shall contribute to the funds of the Fund a sum equal to the aggregate amount of subscriptions subscribed by the Members in respect of the month immediately preceding the date of each such contribution provided always that the company shall be entitled at any time upon giving notice in writing to the Trustees and to each Member personally or by sending the same by Registered Post to his last known address or by posting such written notice in a prominent place at the principal offices of the Company in Pakistan to discontinue the making of further contributions to the funds of the Fund and to terminate its connection with the Fund whereupon on the expiry of such notice the obligation and liabilities of the Company hereunder shall cease but without prejudice

to any rights which the Company may have under these Rules.

The contributions of the Company shall be paid to the Trustees who shall pay the same into the Trust Account and shall credit the account of each Member of the Fund with his proportionate share thereof.

Change in the Rate of Subscription and Contribution

7. The rate of subscription of the Members and contribution of the Company to the Fund mentioned in these Rules shall be subject to change with the previous approval of the Commissioner of Income Tax, Karachi as and when the Company considers circumstances so require and Members shall be notified thereof as provided in Rule 6 hereinabove provided always that subscription of Members in any year shall be a definite proportion of their respective salaries or wages for that year.

Investment

8. All monies not immediately required for the purposes of the Fund shall be from time to time invested by the Trustees at their discretion as authorized by Rule 3 (2) of the Income Tax (Provident Fund Relief) Rules or as may be authorized by any modification or alteration of such Rule with power to the Trustees at their discretion from time to time to vary and change any of such investments for other securities so authorized.
The Trustees may cause any securities forming part of the Fund to be held in the name of such Bank as may for the time being be the Bankers of the Fund or their nominees and may deposit any securities forming part of the Fund with such Bank.

The Trustees shall be at liberty from time to time to raise such sums as may be required for the purpose of these Rules by the sale of securities or of a sufficient part thereof or by a loan on the security thereof.

Management

9. (a) The Management of the Fund and the control of its funds shall be vested in not less than three Trustees appointed by the Company of whom one approved by the Company shall be nominated by and from among the Members. The Trustees shall undertake such management without remuneration. They shall be entitled to employ any such legal advisors, accountants or other professional advisors, as they may consider necessary or expedient in connection with the management of the Fund. All costs and expenses in connection with the management and administration of the Fund (save the cost of and incidental to its establishment, and the employment of a Secretary which shall be borne by the Company) shall be borne by and be a first charge on the Fund.

(b) The power to appoint a Secretary of the Fund shall be vested in the Company and the Company shall also have power to fill at any time any vacancy in the office of Secretary and to remove the Secretary from office and to appoint another in his place.

The said Secretary shall have the custody of all records, Books of Accounts of the Fund, and records of the proceedings and decisions of the Trustees.

The Secretary shall when required by the Trustees or anyone of them in writing

call a meeting of the Trustees.

(c) The Trustees shall have power to delegate to the Secretary of the Fund, or to such other persons as the Trustees may in their discretion from time to time deem fit, by a resolution in that behalf, all functions of an administrative or secretarial nature, provided always that such functions shall be discharged in accordance with the provisions of the Trust deed and Rules of the Fund and of the law for the time being in force.

Accounts

10. A separate account shall be opened for each member in the books of the Fund. Such accounts shall be maintained in the manner set out in the Income Tax (Provident Funds Relief) Rules or any modification or re-enactment thereof.

Revenue Account

11. (a) On or as soon as may be convenient after the 30th day of June of each year the Trustees shall prepare a Balance Sheet and a Revenue Account for the financial year ending on that date. The Trustees shall value the investments at cost price.

(b) The Revenue Account shall be credited with all income accrued during the financial year of account and the account shall be debited with the cost of administering the Fund and any other proper charges and expenses.

(c) After all such debits and credits have been made in the Revenue Account, the Trustees shall debit or credit each Member in proportion to the amount standing to his credit on the date on which the accounts are being closed with his share of the debit or credit balance of the Revenue Account. The share of each Member of such debit or credit balance shall be deemed to be debited or credited as interest in respect of such Member's own subscriptions and the Company's contributions in respect of such Member in equal proportions.

Capital Reserve Account

(d) A Capital Reserve Account shall be maintained to which shall be credited any profit arising from the sale of securities and any amount of the Company's contributions which may be forfeited to the Fund under Rule 17 or 25. There shall likewise be debited to the Capital Reserve Account any loss arising from the sale of securities.

The balance of the Capital Reserve Account whether at debit or credit shall be taken into account whenever any final settlement with a Member or his representative or nominee is made. There shall then be ascertained the proportion which the amount at the credit of the account of such Member at the end of the quarter preceding the termination of his membership, bears to the total amount standing at that date to the credit of all Members. The sum represented by such proportion of the capital Reserve Account shall before settlement as aforesaid be credited or debited to the account of such Member

Audit

(e) The Accounts shall be audited annually by a firm of Chartered or Registered Accountants appointed by the Company.

12. As soon as possible after such Balance Sheet and Revenue Account have been prepared each Member shall be furnished with a statement showing the position of his account and such a Statement shall be accepted as correct and binding on the Members save that if any manifest error shall be found therein and notified by the Member to the Trustees in writing within three months after the receipt by him of such Statement the same shall be rectified.

Advances

13. (a) Withdrawals by Members shall not ordinarily be allowed but may in their absolute discretion be permitted by the Trustees on grounds or on grounds of a similar nature as set out in the Income Tax (Provident Funds Relief) Rules.

(b) Nothing contained in these Rules shall be deemed to render it obligatory upon the Trustees to allow any withdrawal which it may be permissible for them to allow.

Nomination

14. (a) A Member may, upon signing a form of Nomination as set out in (**Annexures-R and S**) hereto nominate a person or persons who will in the event of his death be entitled to receive payment subject always to the law of succession applicable to such Member of the amount standing to his credit in the funds of the Fund.

(b) A nomination in favour of a person who is at the date of nomination a minor shall be made as in (**Annexure-S**) and shall include the name, address, and relationship, if any, of the person by whom the amount due to the minor is to be received and held on behalf of such minor during his minority.

(c) A nomination shall remain in full force and effect until revocation thereof by notice in writing to the Trustees or the death of the nominee or a fresh nomination has been made by the Member in suppression of his previous nomination.

(d) In the event of any Member failing to appoint a nominee or in the event of the death of the nominee the amount standing to the Member's credit in the funds of the Fund shall in the event of the Member's death be paid only to the executors or administrators or the holder of a Succession or Administrator General's Certificate on production to the Trustees of the Provident Fund or of the Letters of Administration to the estate of such Member or of a succession or Administrator General's Certificate in respect of such Member's interest in the Fund Provided that the Trustees may at their absolute discretion and on recording reasons thereof accept such other evidence as they may deem fit to determine the title of an heir or successor to the balance standing to a Member's credit in the Fund and receipt from such heir or successor shall be a full and sufficient discharge to the Trustees and the Trust in respect thereof.

Closing of Member's Account

15. If a Member shall cease to be an employee of the Company for any reason other than those specified in Rules 17 or 21 hereof, the Trustees shall pay to him, or in the event of his death to his nominee or (if there shall be no nominee at the time of such payment) to his heirs, executors, administrators, or the holder of a Succession or

Administrator General's Certificate as the case may be in respect of his interest in the Fund the whole of the amount, inclusive of interest, standing to the credit of such Member's account at the date of such cession of employment.

16. If a Member shall cease to be a Member owing to his employment by an Associated Company, the Trustees shall if so instructed by such Member transfer to the Provident Fund of that Company by way of donation the total amount standing to the credit of such Member as on the date of transfer with interest thereon computed under the Rules hereof, provided always that the Associated Company has a Provident Fund for membership of which the transferred employee is eligible. Where the Associated Company has no Provident Fund the Trustees shall pay to such Member the whole of the amount standing to the credit of the Member as provided in Rule 15.

17. (a) If a member resigns or leaves his employment at his own instance the Trustees shall pay to such Member the total amount standing to his credit with the fund in respect of his own subscription together with all the interest accrued thereon as on the 30th day of June preceding the date of such termination of employment. In addition, the Trustees shall pay to such Member that percentage of the amount standing to such Member's credit with the Fund in respect of the Company's contribution together with interest thereon as at such date as aforesaid on the following basis:

		Percentage Payable
(i)	Non-Unionized Staff Continuous and unbroken service Five years and above	100%
(ii)	Unionized staff, leaving Company's service on resignation, termination. or dismissal, irrespective of the period of their service	100%

(b) The amount, if any, deducted as aforesaid from a Member's account shall be forfeited to the use of the Fund and shall be dealt with in accordance with Rule 11 (d).

(c) Length of service for the purpose of this Rule shall be reckoned as from the date on which a Member entered continuous and unbroken service of the Company or, in case of an ex-employee who has re-entered the service of the Company, from the date on which the Member last re-entered the service of the Company provided always that the Trustees may waive the requirement of length and Continuity of Service on adequate Compassionate grounds and with consent of the Company may waive the requirement of continuity of service in any such case as they deem merits the concession.

18. (a) Notwithstanding any provision of Rules 16, 17, and 21 the Trustees shall at the time of final payment to or on account of any Member include in such payment the amount of the current financial year's interest accrued in accordance with these Rules until the date of termination of such Member's membership of the Fund. For this purpose the Trustees shall establish after the commencement of any financial year a predetermined rate of interest,

which shall ordinarily approximate to the actual rate of the preceding financial year.

(b) Payment will be made upon claim by the person entitled to payment and shall include interest up to the date of termination of membership in the Fund, provided always the claim is made within three months from the date on which the Member left the service of the Company or died, but if payment is not claimed before the expiration of the said three months, no interest shall accrue beyond that date. If payment be not claimed within three years from the date as aforesaid, the amount to the credit of the Member shall, at the discretion of the Trustees, lapse to the Fund.

19. (a) The amount payable to an employee ceasing to be a Member or to the nominee or legal representatives of any deceased Member or the holder of a Succession or Administrator General's Certificate in respect of such Member's interest in the Fund, or his heir, shall be sufficiently ascertained and determined by a certificate signed by two of the Trustees, and payment of the amount so certified to the Member or other person or persons entitled thereto under these Rules shall operate as a full and sufficient discharge of all liabilities of the Fund and of the Trustees in respect thereof.

(b) Before making any payment of the Company's contributions and interest thereon to any Member or his nominee or legal representatives, the Trustees shall determine what amount, if any, should be deducted in respect of Income Tax payable under the provisions of the Income Tax Act 1922 or any modification or re-enactment thereof for the time being in force, and the Trustees shall deduct such amount and pay the same to the proper authority. Should the Trustees fail to deduct such amount, the Trustees shall be entitled to recover from the Fund the amount which should have been so deducted and pay the same to the proper authorities.

Company's Lien

20. The Company shall have power to recover from the Trustees any money claims which the Company may have against any Member out of the amount credited to his account in respect of the contribution of the Company and interest thereon to the extent and in the manner permissible by Clause (f) of sub-section 1 of Section 5aC of the Income Tax Act, 1922 or any modification or re-enactment thereof for the time being in force.

Dishonesty Limitation of Benefits

21. Anything herein to the contrary notwithstanding and regardless of the Member's length of continuous service, if the Company shall establish to the satisfaction of the Trustees that a Member has committed a dishonest act, thereby causing any loss or expense to the Company or any organization whose membership is limited principally to the employees of the Company, and shall dismiss such Member from the employment of the Company, all his rights to any benefits whatsoever from the Company's contributions in his account shall as a penalty thereupon terminate; and the Trustees upon such loss or expense being established to their satisfaction, may apply so much of the amount standing to the Member's credit representing the Company's contributions plus credited earnings upon such contributions as may be necessary to reimburse the Company or the said organization for such loss or expense.

Insanity of a Member

22. If any Member shall become insane or otherwise mentally incapacitated to act and same shall be proved to the satisfaction of the Trustees they may authorize any monies to which such Member may become entitled under these Rules to be paid to any person whom in the best of interests of such Member they shall judge proper to receive the same and the receipt of the person to whom such payment is made shall be a good discharge to the Fund and the Trustees in respect thereof.

Ex-Employee Re-entering the Service of the Company

23. In the event of any ex-employee of the company re-entering the service of the Company and again becoming a Member of the Fund then a new personal account with the Fund shall be opened for such Member and notwithstanding anything in these Rules contained but subject always to the provision to Sub-Rule 17 (c) above no amount shall be credited to such account or made payable to such Member in respect of any period prior to the date of his re-joining as a Member of the Fund but without prejudice to any right to receive such payment from the Fund as the said Member may have acquired on previously ceasing to be an employee of the Company.

Payment Out of the Fund

24. The monies payable to any Member from the Fund under these Rules shall be paid to him or to the person or persons under the Rules entitled thereto and subject to the provisions of these Rules shall become payable on the day on which such Member ceases to be an eligible employee.

Restriction on Alienation

25. No Member shall be entitled to assign or deal with whether by way of security or otherwise, any interest in the monies belonging to the Fund or any part thereof or attempt or purport so to do and no such assignment or dealing or attempted or purported assignment or dealing shall be valid or effectual, and neither the Trustees nor the Company shall recognize or be bound by notice to them, or any such assignment, or dealing or attempted assignment or dealing and all monies standing in the books of the Fund to the credit of the Member so assigning or dealing as aforesaid or attempting or purporting so to do shall forthwith be forfeited to the use of the Fund and be dealt with accordingly and shall cease *ipso facto* to be a debt due to such Member who shall thereupon cease to be a Member of the Fund; and further if any prohibitory order or attachment or process of a Civil Court is served upon the Trustees or the Company or any of them or any person on their behalf by which any monies standing to the credit of a Member would or might be attached or ordered to be paid into a Civil Court or be ordered to be withheld from such Member if the Member had any interest in such monies, or should such Member be adjudged an insolvent or file his petition in insolvency or make any composition or arrangement with his use of the Fund and be dealt with accordingly and cease *ipso facto* to be a debt due to such Member who shall these upon cease to be Member of the Fund, provided always that the Trustees shall be at liberty (but not under any legal or other obligation) at their absolute discretion at any time thereafter on the request of the Company to pay over such monies or such portion thereof as they the Company may think fit for the benefit of such Member or his relatives or dependents and payment may be made from the Fund accordingly unless any monies herein referred to shall actually have been divided among the Members of the Fund in accordance with Rule 11 (d).

Rights of Members

26. Except as is by these Rules expressly provided, no Member or any person or persons on his behalf in respect of his interest in the Fund shall be entitled to claim any payment of money to him or them.

Decision of Trustees Final

27. In case of dispute, the decision of the Trustees shall be final and binding on the Members, their representatives, and the company in all matters relating to the management of the Fund, provided always that if and in so far as any such dispute shall relate to matters concerning Income Tax, such dispute shall be referred to the commissioner of Income Tax or other competent authority for the time being having jurisdiction over the Fund whose decision thereon shall be final.

Pension Fund Rules

1. Definitions

1) 'The Company' represents 'Sui Northern Gas Pipelines Limited'.

2) 'Company Service' means the service of the Company and Associated Company with who the Trustees make any special arrangement under Clause 19 or Clause 20 of the Trust Deed.

3) 'The Fund' represents the 'Sui Northern Senior Staff Pension Fund'

4) 'The Provident Fund' represents 'Sui Northern Gas Pipelines Limited Provident Fund of Sui Northern Gas Pipelines Limited'.

5) 'State Scheme' means any State Scheme or Fund in any country providing old age, retirement, death, or other benefits, which is from time to time designated by the Company as such for the purpose of these rules.

6) 'Senior Staff' means any staff employed in a category of the Company Service as specified from time to time by the Company.

7) 'Trust Deed' means the Trust Deed dated 20th June 1972 and made between Sui Northern Gas Pipelines Limited of the one part and the Trustees of the other part as amended from time to time by deeds supplemental thereto.

8) 'Associated Company' means any other company associated with the Company, which is from time to time designated as such by the Company for the purpose of these rules.

9) Throughout these Rules wherever the context admits words implying the masculine gender shall include the feminine gender and singular shall include plural.

10) Terms and expressions defined in the Trust Deed shall, if not repugnant to the context, have the meanings ascribed thereto in the Trust Deed.

2. Membership

1) The following shall be eligible to become Members of the Fund:

   (a) All Senior Staff employees and the Managing Director/CEO of the Company who:

      i. Are in the service of the Company on the first day of July 1972, and

      ii. Are members of the Provident Fund, and

      iii. Make application in writing to the Trustees, for membership as from the first day of July 1972.

   (b) All persons who subsequent to the first day of July 1972 are engaged by the Company as Senior Staff employees or become Senior Staff employees as a

result of promotion and who, having already become members of the Provident Fund; make application within 3 months to join the Fund.

2) Application to join the Fund shall be made in writing (**Annexure-W**) to the Trustees through the Company in such form of Declaration as the Trustees may from time to time direct and the Trustees shall notify applicants of their inclusion as Member of the Fund in writing.

3. Notwithstanding that in these Rules the expression 'Member' is used to describe a person (formerly a Member) after he has left the Company service, membership shall determine when the person:

(1) Leaves the Company Service, or

(2) Dies while in the Company Service, or

(3) Is transferred to any other Retirement Benefit Fund as provided in Clause 19 of the Trust Deed, or

(4) Ceases to be member of the Provident Fund.

Pensionable Salary

4. 'Pensionable Salary' in relation to an individual Member at any time shall mean his salary, excluding allowance and other benefits, for the last completed year of Company Service.

5. For the purpose of these Rules, a Member who is on leave of absence as mentioned in Rule 6 shall throughout such leave of absence be deemed to be in receipt of remuneration at the same rate as immediately before such leave of absence unless the Company, either generally or in any particular case, and having regard to any arrangement with the member, determines that account shall be taken of any increase in remuneration which the Member would have received but for such absence.

Pensionable Service

6. (1) Subject to the following sub-rules of this Rule, a Member's Pensionable Service means all period of Company Service after the Member's 21st birthday prior to the termination of membership (whether before or after the Member became a member) and shall include:

a. All periods of leave of absence with pay,

b. All periods of leave of absence without pay,

c. i) Up to one year at any time on account of illness or disability,
ii) For educational purposes with the express approval of Company.
iii) Up to 3 months at anyone time for any other reasons.

d. All periods of leave of absence due to war or national emergency as may be certified by the Company.

e. All periods of service with an Associated Company subject to the approval of the Company.

(2) A member's Pensionable Service shall not include any period during which he

is a member of a separate pension or other retirement scheme which is for the time being the subject of any arrangement made by the Trustees under Clause 21 of the Trust Deed whereby such period is not to count towards the Member's Pensionable Service.

(3) Clause 20-23 of the Trust Deed Contain special provision enabling the Trustees to make arrangements under which an employee may be entitled to count, as Pensionable Service, service before he became employed by the Company or service with the Company whilst he was a member of a separate pension scheme maintained by the company.

(4) When a member who has left the Company service for reason other than for service with an Associated Company, later reenters the Company Service, he shall be entitled to count his former Company Service towards Pensionable Service unless intervening period outside the Company is in excess of two years.

(5) Pensionable service shall be calculated and expressed in years and fractions of a year to the nearest twelfth of a year and for this purpose a month shall be reckoned as a twelfth of year any reference to the number of years of Pensionable Service shall mean the period Pensionable Service so expressed.

(6) Service by a Member after he has reached Pension Age (as defined in Rule 7) counts towards Pensionable Service.

(7) The Trustees may, with the consent of the Company, allow a Member to count service prior to the First day of July 1972 with an Associated Company or other Company or person as Pensionable Service, provided that such service immediately precedes the period of Company Service.

Pension Age

7. Pension age shall be the 60th birthday for all executives including females.

Calculation of Member's Pension

8. A member who has attained Pension Age in the Company Service shall on retiring from the Company Service, be entitled to receive a pension provided he has completed ten years of Pensionable Service. The pension shall be calculated in accordance with Rule 9, which shall be payable in the manner prescribed in Rule 20.

9. The monthly amount of Member's pension shall be calculated as follows:

1/100th of his Pensionable Salary at the time of retirement multiplied by the length of his Pensionable Service with a maximum of thirty percent (30%) of the Pensionable Salary at the time of retirement.

10. A Member shall be entitled to commute up to fifty percent (50%) of his gross pension for a lump sum payment. The lump sum amount payable on commutation shall be calculated according to (***Table-XVIII***).

Table- XVIII Commutation Calculator

Age Next Birthday	Number of Years Purchase	Age Next Birthday	Number of Years Purchase
20	24.265	31	21.777
21	24.061	32	21.522
22	23.853	33	20.260
23	23.640	34	20.993
24	23.424	35	20.720
25	23.203	36	20.442
26	22.978	37	20.157
27	22.747	38	19.867
28	22.513	39	19.570
29	22.273	40	19.267
30	22.028	41	18.956
42	18.641	62	11.104
43	18.318	63	10.713
44	17.988	64	10.327
45	17.650	65	9.946
46	17.307	66	9.570
47	16.956	67	9.200
48	16.596	68	8.836
49	16.231	69	8.478
50	15.859	70	8.127
51	15.481	71	7.783
52	15.096	72	7.448
53	14.707	73	7.121
54	14.313	74	6.802
55	13.915	75	6.494
56	13.513	76	6.194
57	13.109	77	5.906
58	12.702	78	5.627
59	12.294	79	5.360
60	11.886	80	5.104
61	11.497		

Early Retirement

11. (1) A Member who, having completed 20 years of Pensionable Service and having fifty years of age, opts for or is retired prematurely by the Company from the Company Service for any reason other than dismissal on account of fraud or dishonesty shall be entitled to all terminal benefits.

(2) A Member to whom the provisions of sub-rules (1) of this rule do not apply and who retires from the Company Service because of ill-health, or redundancy, or premature retirement by the Company or unsuitability for his particular employment by reason of age, or near attainment of Pension Age, or in special cases on the application of the member before Pension Age may, at the discretion of the Company, be granted an early Pension.

(3) The annual amount of the Early Pension shall be calculated in accordance with Rule 9 subject to the General Authorized Deduction set out in Rule 10 (1). The balance of the pension shall be reduced by such amount as the Actuary shall certify to be necessary to ensure that the reduced pension payable immediately is actuarially equivalent to a deferred pension of the amount payable from the Pension Age provided that no such reduction shall be made in case the Member's early retirement is because of ill-health certified by the Company or is under sub-rule (1) of this Rule. The provisions of the Rule 10 shall apply to the pension calculated in accordance with this sub-rule, to the extent of one-half of the immediately payable pension.

(4) A Member may, be notifying the Trustees in writing, elect to receive a deferred pension of full amount payable from the Pension Age, less amount commuted under Rule 10 (1) above instead of an immediate actuarially reduced pension referred to in the preceding sub-rule 4 of this Rule. In case the Member also opted and received the commuted value of pension under Rule 10 (2) read with Rule 11 (3) above, the deferred pension will be one-half of the pension calculated in accordance with Rule 9 before applying the provision of Rule 10(1).

(5) All payments under this Rule shall be made as prescribed in Rule 20.

Widow's and Children's Pension

12. (1) The widow and children of a deceased Member shall be entitled to pension in the following circumstances:

a) If the Member dies in the Company Service,

b) If the Member dies at any time after leaving the Company Service and is receiving or is entitled to a pension from the Fund.

(2) The widower of a female Member shall not be entitled to a pension.

13. (1) The pension payable to a widow shall be 50% of the Member's pension referred to in Rule 14. If the widow is more than 10 years younger than the deceased Member, the amount of her pension shall be reduced by 1.5% for each complete year in excess of 10 years by which her gap differs from that of the deceased Member. If the widow in receipt of a pension remarries, payment of the pension will cease and she will receive a lump sum equal to two years pension.

(2) The pension payable to a child of a male Member shall, so long as the Member's widow is receiving a pension hereunder be calculated as follows:

For each unmarried child under the age of 18, the widow will receive a 10% of the Member's pension referred to in Rule 14, with a maximum of 40% where there are four or more qualifying children.

(3) In circumstances other than those stated in the last preceding sub-rule hereof, the pension payable to a child of a male Member and in all cases the pension payable to a child of a female Member shall be calculated as follows:

Each unmarried child under the age of 18 will receive a pension of 20% of the Member's pension referred to in Rule 14, but with the maximum of 80% where there are four or more qualifying children.

14. (1) In the case of a Member who dies in the Company Service, the Member's pension by reference to which the widow's and children's pension shall be calculated is three quarters of the pension to which the Member would have been entitled:

a) If he had continued in the Company Service until Pension Age with the same Pensionable salary as at the time of his death and had then retired; or

b) In the case of a Member who has passed his Pension Age, if he had retired at the date of his death.

(2) In all other cases the Member's pension by reference to which the widow's and children's pension shall be calculated in the way pension to which the Member was entitled, save that any reduction under Rule 11 (3) shall be ignored.

(3) The provisions of Rule 10 shall not apply to a widow's and children's pension.

15. No person shall be entitled to a widow's pension unless she married the Member before he left the Company Service and was his lawful wife at his death.

16. (1) In these Rules, 'Children' means legitimate or legitimated children or children lawfully adopted by the Member (other than children of, or legitimated by, a marriage which takes place after the Member had left the Company Service). 'Children' also includes the stepchildren of a marriage of the Member that takes place before the Member leaves the Company Service.

(2) For the purpose of construing the expression 'Stepchildren' in this Rule, a 'Step-relationship' means the relationship between a person and a child born of, or legitimated by, a former marriage of the spouse of that person, or a child lawfully adopted by such spouse before his or her marriage to that person and any such relationship once constituted shall be deemed to continue notwithstanding any subsequent dissolution of marriage by the death of such spouse; but a stepchild shall not be entitled to any pension under these Rules unless, in the opinion of the Trustees (whose decision shall be conclusive), each stepchild was dependent upon the Member at the date of the Member's death.

(3) No person shall be entitled to receive pensions under these Rules, the child of more than two Members and if occasion arises, the Trustees shall decide in respect of which Member the child shall be entitled to receive such pensions.

17. A widow's pension shall be payable from the end of the month in which the Member dies and shall be payable until the end of the month in which she dies or remarries, whichever happens first.

18. A child's pension shall be payable from the end of the month in which the Member dies and shall be payable until the child attains the age of 18 years or marries or die, whichever happens first. Any alterations in the amount of a child's pension shall take effect from the end of the month in which the event causing such alteration occurs.

Integration of State Scheme

19. If a State Scheme is hereafter introduced or modified so as to be applicable to Members of the Fund, the Trustees shall thereafter, if so requested by the Company make a deduction from the annual amount of any pension payable hereunder equivalent to all or part of any benefits payable under the State Scheme to the person entitled to such pension.

Miscellaneous

20. (1) Every pension shall be payable monthly on the First day of every calendar month and shall cease with the last payment that fell due before the recipient's death.

(2) The first payment of every pension payable immediately shall become due on the First day of the month following the month in which retirement takes place.

(3) The first payment of every deferred pension under Rule 11 (4) shall become due on the First day of the month following the month in which a Member attains Pension Age.

(4) In case a Member revokes his election to receive a deferred pension under Rule 11 (4), the first payment of pension to such Member shall become due on the First day of the month following the month in which he revokes the election.

21. Pension, whether immediately or prospectively payable are purely personal and cannot be alienated or charged. The Trust Deed contains provisions relating to any attempt to infringe this Rule and to cases of bankruptcy.

22. Every Member claiming or in receipt of a pension shall furnish to the Trustees such information as the Trustees shall require for the purpose of carrying the Trust Deed and these Rules into effect including inter alia proof of age and proof of survival as and when called for by the Trustees.

23. If the Trustees become liable to pay any income tax or any other tax or duty in respect of any payment out of the Fund, they may deduct an amount equal to such tax or duty from such payments in such manner as they think proper. Nothing in these Rules shall prejudice any other rights that the Trustees may have to deduct income tax or any other tax or duty from any payment out of the Fund.

(a) If as a result of an actuarial valuation the Fund discloses a surplus, the Trustees with the approval of the Company may transfer the whole or a portion of the said surplus to the Executive Staff Gratuity Fund of the Company.

(b) If a Member opts for gratuity in place of pension, no pension shall be payable to him. The gratuity opted for by the Members shall be payable from the Executive Staff Gratuity Fund of the Company.

Alterations to Rules

24. These Rules may be altered as provided in the Trust Deed.

RECORD OF AMENDMENTS

The document provides a list of amendments and approvals made at various Board of Directors (BoD) meetings and management approvals. The table includes the following columns: **Sr. No.**, **Page No.**, **Rule No.**, **BoD Meeting / Authority for Amendment**, **Date**, and **Subject**.

Here's a breakdown of the table's content, row by row:

- **Row 1:** On pages 67, 68, and 69, under rules 82.1 and 88.1, the 131st Management Committee Meeting and Management Approval on **18.05.2017** and **08.09.2017** respectively, concerned the subject of **Mobile Phone - Entitlement Billing & Cost of Handset**.
- **Row 2:** On page 45, under rule 27.2, the 496th BoD Meeting on **20.10.2017** addressed the subject of **Performance Award (approving authority)**.
- **Row 3:** On page 50, under rule 44.1, the 501st BoD Meeting on **12.01.2018** discussed **Leave without pay beyond six months**.
- **Row 4:** On page 12, the 502nd BOD Meeting on **02.02.2018** covered the **Custody Clause**.
- **Row 5:** On pages 56-57, under rule 57.1, the 507th BOD Meeting on **05.05.2018** discussed **Medical Treatment Abroad**.
- **Row 6:** On page 45 in Table V, Management on **09.07.2018** approved the **Revision of maxima of Pay scales**.
- **Row 7:** The Organogram (509th BOD Meeting) on **30.06.2018** concerned the **Creation of new position**: SGM(Compression), GM(Transmission-HO), GM(CS- South) ,GM(CS-North), GM(Sheikhupura-D) and GM(Material Control) Distribution.
- **Row 8:** The Organogram (511th BOD Meeting) on **21.09.2018** concerned the **Creation of new position of Chief Officer(OD) reporting to GM(HR)**.
- **Row 9:** On page 45 in Table V, Management on **18.07.2019** approved the **Revision of maxima of Pay scales**.
- **Row 10:** The Organogram (539th BOD Meeting) on **21.10.2019** specified that **GM (Admin) reports to DMD(S) instead of SGM(HR), CAO(S) reports to GM(Admin)**. Also, **GM (Risk Management) reports to DMD(S)**, vide the 533rd BOD meeting dated **25.07.2019**.
- **Row 11:** The Organogram (541st BOD Meeting) on **20.11.2019** changed the **nomenclature of SGM (Audit) as Head of Internal Audit**.
- **Row 12:** The Organogram (544th BOD Meeting) on **30.12.2019** changed the **nomenclature of GM(Sales) and GM(Corporate Sales) as GM(BD-Retail) and GM(BD-Corporate)**.
- **Row 13:** On page 45 in Table V, Management on **06.07.2020** approved the **Revision of maxima of Pay scales**.
- **Row 14:** The Organogram (555th BOD Meeting) on **13.07.2020** stated that **GM (Quality Assurance) reports directly to MD/CEO**, vide the 555th BOD meeting dated **13.07.2020**.
- **Row 15:** On pages 108-112, under rule numbers 137 (137.1-137.14), the 559th BOD Meeting on **12.09.2020** covered a **Revision in Whistle Blowing Policy**.
- **Row 16:** Under Annex-N APRF & Annex-O KPI's Form, the 560th BOD Meeting on **03.10.2020** addressed a **Revision in weight-age of KPI's i.e. 80% for technical skills and 20% for soft skills**.
- **Row 17:** On page 63 in Table XV, the 565th BOD Meeting on **31.12.2020** discussed the **Revision in vehicle entitlement of executive Grade VII & VIII**.

- **Row 18:** The Organogram (567th BOD Meeting) on **09.03.2021** approved changes in reporting lines of Senior Management as follows: **SGM(BD) reporting to MD/CEO, GM(Law) reporting to DMD(S), GM(Admin) reporting to SGM(HR)**.
- **Row 19:** On page 64, under rule 77.1, the 578th BoD Meeting on **03-11-2021** revised the **Useful Life of Vehicle to five years instead of four years**.
- **Row 20:** The Organogram (580th BOD Meeting) on **03-12-2021** approved changes in reporting lines of Senior Management as follows: **Mr. Amer Tufail posted as DMD (S) & following will report to him:- SGM (CSS), GM (IT/MIS), GM (Billing- North/ South) along with recovery assignment, GM (Law)**.
- **Row 21:** The Organogram (583rd BOD Meeting) on **08-02-2022** stated that **GM (Risk Management) reports directly to MD/CEO**.
- **Row 22:** On page 62, under rule 68.1, Management Approval on **27-04-2022** revised the **Kilometer Allowance from Rs.10/- per km to Rs.15/- per km**.

23. Comprehensive Review of HR Manual - Amendments Approved by BoD in its 587th Meeting Dated 21st June, 2022:

The provided document outlines amendments to various policies, categorized by **Sr. No.** and the corresponding **Policy Amended Clauses**.

- **Amendments to HR Policies**:
  - The **HR Vision Statement** and **HR Mission Statement** have been amended.
  - The **Preamble** was changed by removing the "No. of Consumers".
  - The **Organogram** was deleted, and a new clause regarding **Manpower Budgeting** was added to the **Organization Structure**.
  - The **User Guide** was updated to include the procedure of **Job Analysis and Evaluation**, while deleting **Job families**, and renaming "Guidelines for Continuous Performance Improvement".
  - The **Maintenance of the Manual** clause was amended regarding the **Manual Updation procedure**.
  - The **Employment Policy** now starts with an **Equal Opportunity Employment clause** that addresses **Gender Diversity**.
  - **Recruitment Prerequisites** were amended, restricting direct induction of **CA Inter/ CMA Inter** and creating a separate career path for **Secretaries**.
  - **Notes to Table I** were amended to include **Verification of credentials** from professional bodies, **Qualification requirements for the HR Department**, and that recruitments for the positions of **CFO, HoIA, and Company Secretary** must adhere to **SECP rules/ Code of Corp. Governance** and that details of candidates for recruitment on statutory positions be directly shared with HR,R&NC.
  - The **Terms and Conditions For Promotion** were amended to change the parking period of secretaries.
  - The **Interview Panel** clause was amended for **GR VIII-X**.
  - The clause regarding the **Recruitment of Management Trainees** was also amended.
  - The **Ex-Staff Recruitment** clause was amended.
  - The **Advertisement** clause was updated to define the minimum advertisement period and 4.5.1 & 4.5.2 clauses were added.
  - The procedure for **Secondment/ Deputation** from SNGPL was elaborated.

- The **Probationary Period** clause was updated to state that the reason for extension must be communicated.
- A clause was added defining a **Career path for Secretaries**.
- The **Accelerated Promotion** clause was amended.
- A restriction was placed on **Halting Allowance** for **Temporary Transfers**.
- The **Job Rotation** clause was amended.
- The **Attendance Register** clause was amended.
- The clause for **Termination/ Dismissal** was amended to clarify the wording, changing 'involving moral turpitude' to 'including moral turpitude'.
- The **Early Retirement** eligibility clause was amended, and the **SVSS Policy** was deleted.
- The **Increment on Qualification Improvement** clause was added to state "in their relevant field".

- **Amendments to Leave, Medical and Other Policies**:
  - The **Minimum Annual Leave Requirement** for Grade VII and above was amended to require submitting an annual leave plan.
  - The rate for **Annual Leave Accumulation & Encashment** was changed, and a new clause was added under 37.2.
  - The heading for **Maternity Leave / Paternity Leave** was changed.
  - A new paragraph allowing **Paternity Leave of 5 days** was added.
  - The limit for **Leave without Pay** was increased from 45 to 60 days.
  - The duration of **Study Leave** was increased.
  - The procedure for **Extension in Leave** was elaborated.
  - The **Benefits of Retired Staff** clause was amended due to the change in the **Early Retirement Clause**.
  - A new clause (77.2) was added to introduce a **Buy Back option** in the **Vehicle Policy**.
  - The requirement for payment after retirement/death was removed from the **Residential Accommodation** clause.
  - The **Outside Employment** clause was amended in the **Business Code of Conduct**.
  - The clause regarding reporting **Compliance and Corporate Governance violations** was amended to state that violations should be reported only to SGM (HR).
  - The definition of **Misconduct** was changed in the **Disciplinary Policy**.
  - An example of misconduct in case of other employment was elaborated.
  - The clause for **Misconduct** was amended to clarify the wording, changing 'involving moral turpitude' to 'including moral turpitude'.
  - The **Competent Authority** for **Stage 2 & 3** was defined.
  - The word "extra" was deleted from the 112.4.3.5 clause.
  - The clause 112.4.3.6 was amended to elaborate policy, specifying that employees are not to be represented by an advocate or outsider.
  - The **Performance Management Policy** was amended to ensure uniformity in wording used in formats and policy.
- **Amendments to Communication, Retirement and Management Tools**:
  - The procedure for writing and communicating **Adverse Remarks** was elaborated.
  - The **Early Retirement** eligibility clause was amended and the **Selective Voluntary Severance Scheme (SVSS)** was deleted.
  - A new clause was added for **Job Analysis and Evaluation** in the **Human Resource Management Tools**.
  - **Job Families** were deleted and the name of **Job Families Capability Matrix** was changed to '**Department wise Capability Matrix**'.

- The **Management** is allowed to update **Basic and Advanced Capabilities Matrix** in line with industry best practices.
- The name of the **Guidelines for Continuous Performance Improvement** policy was changed.
- The **Statement of Intent** for the **Training Policy** was updated to make the policy more explicit.

Other Amendments:

The provided document outlines various amendments and approvals, detailing the **Sr. No.**, **Page No.**, **Rule No.**, **BoD Meeting / Authority for Amendment**, **Date**, and **Subject** of each item.

Here's a breakdown of the table's content, row by row:

- **Row 1:** On page 46, under the heading **Table-V**, the **589th BoD Meeting** on **28-07-2022** approved a **Revision of Pay Scale**, specifically revising the minima of the pay scale effective from 01.07.2022.
- **Row 2:** On page 34, under rule **10.2.1**, the **601st BoD Meeting** on **16-03-2023** authorized the **Addition of Additional Charge/ Acting Charge Policy**.
- **Row 3:** On page 45, under rule **26.3**, the **614th BoD Meeting** on **09-11-2023** & **15-11-2023** led to the **Introduction of MD/CEO post allowance**.
- **Row 4:** On pages 26, 29, 34, 35, and 56, and rule numbers **4.7, 8.2.1, 10.2.1, 10.4.6, and 57**, the **615th BoD Meeting** on **30.11.2023** addressed the **Delegation of authorities to HR,R&NC** by the Board. This included the following: **a) Secondment/Deputation from SNGPL**, **b) Approval for confirmation in service for Grade-VIII & IX**, **c) Renewal of Additional/Acting Charge against positions of Grade-VII & above**, **d) Exemption from Job Rotation**, and **e) Approval of Medical Treatment Abroad**.
- **Row 5:** On page 63, under rule **72.1 Table XV**, the **621st BoD Meeting** on **23-02-2024** approved a **Revision in vehicle entitlement of Chairman of the Board, MD/CEO & Grade IX and X**.
- **Row 6:** On pages 68 and 69, under rule **88.1**, **Management Approval** on **22.05.2024** authorized the **Mobile Phone–Enhancement of Cost of Handset for Grade I-X & MD/CEO**.

30. Amendments in HR Manual Resultant to Approved Organogram by BoD in its 625th Meeting Dated 26th July, 2024:

The provided document details amendments to policies, categorized by **Sr. No.**, **Policy Page No.**, and **Amendments**.

- **Amendment 1:** On pages 12-13, clause 1.5 regarding **Establishment** is amended to change the nomenclature of **BD Retail & Corporate**, adding new departments **Recovery & IT(Ops)** to their respective groups.
- **Amendment 2:** On pages 13-18, **Table I** for **Recruitment Prerequisites** is amended by adding the **IT(Ops) Department** to **Group-IV** and replacing **SGM** with the term **CIO** in **Group IV** against **Grade-IX**.

- **Amendment 3:** On pages 20-21, **Table I-A** for **Terms & Conditions for Promotion** is amended to add the **IT(Ops) Department**.
- **Amendment 4:** On pages 23-24, clause 4.1.1 regarding **Selection Committees** is amended by adding the new **IT(Ops) Department**, and replacing **SGM (Audit)** with the term **HoIA** for the **Group III committee**.
- **Amendment 5:** On page 30, clause 9.2.1 regarding the **Promotion Board** is amended.
- **Amendment 6:** On page 95, **Table XVII** for the **Capability Matrix** is amended to change the nomenclature of **BD Retail & Corporate and P&D**, adding new departments **Recovery & IT(Ops)**.

31. Review of HR Manual - Amendments Approved by BoD in its 631st Meeting Dated 03rd January, 2025:

The provided document outlines a series of policy amendments, identified by **Sr. No.**, **Policy Page No.**, and the specific **Amended Clauses**.

Here's a breakdown of the table's content, maintaining the relationships between rows, columns, and merged cells:

- **Amendment 1:** On page 12, clause 1.5.1.1 is amended by deleting a separate sub-group of Group-I concerning **Establishment Groups**.
- **Amendment 2:** Also on page 12, clause 1.5.1.2 is amended to include the **Risk Management Department in Group-II**.
- **Amendment 3**: On page 13, a new clause 1.5.2 is added regarding **Cross-Group Movement.**
- **Amendment 4:** On page 26, clause 4.5 is amended, defining entry-level positions as Grades I-IV instead of Grades I-III, regarding **Advertisement**.
- **Amendment 5:** Also on page 26, clause 4.5.1 is amended to allow service continuity for internal candidates, subject to certain conditions.
- **Amendment 6:** On page 26, clause 4.7 is amended to define the period for the actualization of promotion of an executive on **Secondment/Deputation from SNGPL**.
- **Amendment 7:** On page 28, clause 6.2.1 is deleted regarding **Internal Recruitment**.
- **Amendment 8:** On page 31, a clause is added to include mandatory field experience for consideration of promotion against positions of Grade-VIII for certain Engineering Departments concerning **Promotions**.
- **Amendment 9:** Also on page 31, clause 9.2.4 is amended to restrict the re-designation of Secretaries, with a cut-off date of 30.06.2025.
- **Amendment 10:** On page 32, clause 9.2.7 regarding **Accelerated promotion** is deleted.
- **Amendment 11:** On pages 33-34, sub-clauses 10.1.1 and 10.1.2 are added regarding **Transfer/Re-designation as OSA** concerning **Transfers**.
- **Amendment 12**: On page 37, clause 11.2 regarding **Succession Planning** is amended to involve the constitution of a committee in place of MC.
- **Amendment 13**: On pages 37-38, clauses 11.3.1.4 , 11.3.2.3, and 11.3.3.4 are amended and clause 11.3.4.3 is deleted (regarding promotion of an employee upon arising of any vacancy) concerning **Succession Planning**.
- **Amendment 14:** On page 104, clause 137.4 regarding the **Grievance Handling Procedure** is amended, giving authority to decide grievances of executives (up to Grade-VII).

32. Other Amendments:

The document outlines amendments to policies, categorized by **Sr. No.**, **Page No.**, **Rule No.**, **BoD Meeting / Authority for Amendment**, **Date**, and **Subject**.

- **Amendment 32:** On page 28, under rule 6.4.1, the **631st BoD Meeting** on **03-01-2025** addressed a **Salary offer on appointment**.
- **Amendment 33:** On page 44, under rule 26.2, the **631st BoD Meeting** on **03-01-2025** led to a **Deletion of option for 10% upward sliding of maxima every year**, and an **Addition of policy of Personal Pay**.

PROMOTION CRITERIA APPLICABLE TO EXECUTIVE CADRE FOR GRADES II TO X APPROVED BY THE BOARD OF DIRECTORS

A). For Promotion to Grade II, III & VIII to X

The document outlines a marks allocation system for grades II-III and VIII-X, with a total of 100 marks distributed across four criteria. The criteria and their respective marks are as follows: **Merit** is allocated **80 marks**, **Length of Service in Company's Executive Cadre** is allocated **5 marks**, **Length of Service in Grade** is allocated **5 marks**, and **Suitability** is allocated **10 marks**.

B). For Promotion to Grade IV and above up to Grade VII

The document specifies the marks allocation for grades II-III and VIII-X, totaling 100 marks. These marks are distributed across four criteria: **Merit** is given **80 marks**, **Length of Service in Company's Executive Cadre** is given **5 marks**, **Length of Service in Grade** is given **5 marks**, and **Suitability** is given **10 marks**.

1. **Merit = 80 or 55 marks**
   Formula: Aggregate Marks of all AARs in present Grade X 80 or 55
   Total No. of AARs in present Grade (Minimum - equivalent to number of years of parking period) X 100
2. **Potential Assessment**
   Formula: Marks in Potential Assessment (out of 100) X 25
   100
3. **Length of Service in Company's Executive Cadre = 5 Marks**
   Total years of service in the Company in executive cadre of senior most eligible executive ***in the present grade*** will form the basis of computation and he will be entitled to full 5 marks. Executives having lesser service will be awarded prorated marks in accordance therewith:
   Worked example: Mr. X has served for 40 years Marks awarded = 5.00
   Mr. Y has served for 38 years Marks awarded = 4.75
   (5/40 X 38)
   Note: Those executives who join at a lateral position will be entitled to number of years of

service prescribed for minimum experience required for the position to which appointed and the actual service rendered in the Company thereafter.

4. **Length of Service in Grade = 5 Marks**

Total years of service in the present grade of the senior-most executive would form basis of computation and he will be entitled to full five marks. Executives having lesser service in that grade will be awarded prorated marks in accordance therewith:

Worked example:

Mr. X has served for 6 years in present grade Marks awarded = 5
Mr. Y has served for 4 years in present grade Marks awarded = 3.33
(5/6 X 4)

5. **Suitability = 10 Marks**

The Promotion Committee as per HR Manual will award these marks.

6. **Qualifying Marks**

A candidate is required to score a minimum aggregate of 65 marks to qualify for consideration against available vacancy(ies).